PROMISE GOLD REFINERY FZE

ENTERPRISE-WIDE RISK ASSESSMENT POLICY

2025

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1. DOCUMENT CONTROL

Version	Date	Description
V1.0	2024	Initial Issue
V2.0	2025	Regulatory alignment & methodology upgrade

This Enterprise-Wide Risk Assessment (EWRA) Policy has been reviewed, validated, and approved by the undersigned, confirming that it is aligned with the applicable UAE AML/CFT regulatory framework, including Federal Decree Law 20 of 2018, Cabinet Decision 10 of 2019, and Ministerial Decree No. 68 of 2024. The signatories confirm that the EWRA Policy accurately reflects the risk profile of Promise Gold Refinery FZE and that appropriate controls and governance mechanisms are in place for effective implementation.

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2. POLICY STATEMENT

Promise Gold Refinery FZE recognizes that the precious metals sector, and in particular the gold refining industry, presents inherently elevated risks of money laundering, terrorist financing, sanctions evasion, trade-based money laundering, smuggling, concealment of beneficial ownership, and misuse of high-value commodities as stores and transfer mechanisms of value. Gold and other precious metals possess characteristics that make them particularly vulnerable to misuse for illicit purposes. These include high value relative to weight, portability, divisibility, durability, liquidity, global acceptance, ease of transport, and the ability to be melted, recast, recycled, or otherwise transformed with limited traceability if adequate controls are not maintained. These characteristics may make refined bullion, doré gold, recycled gold, scrap gold, and related precious metal products attractive to criminal actors seeking to disguise the origin of funds, move value across borders, or integrate illicit proceeds into the formal economy.

Accordingly, Promise Gold Refinery FZE establishes, maintains, and periodically updates a comprehensive Entity-Wide Money Laundering and Terrorist Financing Risk Assessment ("EWRA") as a core component of its Risk-Based Approach. The EWRA serves as the foundation for identifying, assessing, understanding, and mitigating the ML/TF risks to which the Company is exposed through its business model, customer base, supplier relationships, products, services, jurisdictions, delivery channels, and transaction patterns. The EWRA is intended to ensure that the Company's AML/CFT controls are proportionate to its risk exposure as a gold refinery, bullion processor, and Dealer in Precious Metals and Stones (DPMS) operating in the United Arab Emirates.

These characteristics make refined bullion, doré gold, recycled gold, scrap gold, and related precious metal products particularly attractive to criminal actors seeking to disguise the origin of illicit funds, facilitate cross-border value transfer, conduct layering and integration activities, or obscure ownership structures within the formal financial system. In light of these inherent sectoral risks, Promise Gold Refinery FZE adopts a comprehensive and structured Risk-Based Approach (RBA) and establishes, maintains, and periodically updates a formal Enterprise-Wide Risk Assessment (EWRA) as a core component of its AML/CFT framework.

3. REGULATORY AND GUIDANCE FRAMEWORK

Promise Gold Refinery FZE conducts its Enterprise-Wide Risk Assessment (EWRA) in full alignment with the applicable legal, regulatory, and international standards governing Anti-Money Laundering (AML), Combating the Financing of Terrorism (CFT), and Proliferation Financing (PF).

The EWRA framework is developed and implemented in accordance with the following:

- Federal Decree by Law No (20) of 2018 on Anti-Money Laundering and Combatting the Financing of Terrorism and Illegal Organisations
- Cabinet Decision No (10) of 2019 concerning the Implementing Regulation of Decree Law No (20) of 2018 on Anti-Money Laundering and Combatting the Financing of Terrorism and Illegal Organisations.
- Ministerial Decree No. 68 of 2024, relating to the Due Diligence Regulations for Responsible Sourcing of Gold for Refineries
- Cabinet Decision No. 74 of 2020, regarding the implementation of Targeted Financial Sanctions (TFS) in line with United Nations Security Council Resolutions
- Cabinet Resolution No. (10) of 2019, concerning the previous AML/CFT framework, referenced for structural alignment and regulatory continuity
- UAE Ministry of Economy (MoE) DNFBP Guidance, including Risk-Based Approach (RBA) guidelines applicable to Dealers in Precious Metals and Stones (DPMS)
- Financial Action Task Force (FATF) Recommendations, particularly those applicable to DNFBPs and the precious metals sector

OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas (CAHRAs), including Annex II risk categories, addressing risks related to conflict financing, human rights abuses, and illicit sourcing.

4. SCOPE OF THE ENTERPRISE-WIDE RISK ASSESSMENT

Promise Gold Refinery FZE establishes that its Enterprise-Wide Risk Assessment (EWRA) encompasses the full scope of its business activities, operational functions, and risk exposures arising from its operations as a gold refinery and Dealer in Precious Metals and Stones (DPMS) within the United Arab Emirates. The EWRA is designed to provide a comprehensive, structured, and risk-based evaluation of the Company's exposure to Money Laundering (ML), Terrorist Financing (TF), and Proliferation Financing (PF), ensuring that all material risk factors are identified, assessed, and effectively mitigated.

The scope of the EWRA extends across the entire business lifecycle and includes an in-depth assessment of risks associated with the Company's customer base, supplier and counterparty relationships, and the nature and structure of Ultimate Beneficial Ownership (UBO), including exposure to Politically Exposed Persons (PEPs), sanctioned individuals or entities, and adverse media. It further includes risks arising from the Company's precious metals sourcing model, particularly in relation to recycled gold and the potential for indirect upstream exposure, traceability limitations, and compliance with responsible sourcing obligations.

The EWRA also evaluates geographic risk exposure, including the origin and destination of metals, funds, and counterparties, and considers both direct and indirect exposure to high-risk jurisdictions, sanctioned countries, and Conflict-Affected and High-Risk Areas (CAHRAs). In addition, the assessment incorporates product-related risks associated with refined gold, recycled gold, and other precious metal products, taking into account their inherent characteristics such as fungibility, liquidity, and susceptibility to misuse for financial crime purposes.

A critical component of the EWRA scope includes the assessment of transaction risk, encompassing the size, frequency, structure, and economic rationale of transactions, as well as the associated payment methods, including cash, bank transfers, and metal settlement arrangements. Particular emphasis is placed on identifying risks related to structuring, layering, Trade-Based Money Laundering (TBML), pricing anomalies, and transactions that are inconsistent with the customer's profile or business activity.

The EWRA further covers risks associated with delivery channels and distribution mechanisms, including the transportation, handling, and custody of precious metals, with specific consideration given to chain-of-custody integrity, logistics arrangements, onboarding channels, and potential vulnerabilities in the physical movement of gold. It also incorporates risks relating to sanctions compliance and Targeted Financial Sanctions (TFS), ensuring adherence to UAE regulatory obligations and United Nations Security Council (UNSC) requirements.

In addition, the EWRA includes an assessment of operational and internal control risks, including potential weaknesses in governance, compliance oversight, documentation standards, record-keeping practices, and internal processes. The assessment also considers risks arising from reliance on third-party service providers, including logistics partners and other external vendors, where such relationships may introduce additional compliance or operational vulnerabilities.

The EWRA adopts a dual-layered assessment approach, evaluating both inherent risk, being the level of risk prior to the application of mitigating controls, and residual risk, being the level of risk remaining after the implementation of such controls. This ensures that the Company maintains a clear and documented understanding of its risk exposure and the effectiveness of its control environment.

Through this comprehensive scope, Promise Gold Refinery FZE ensures that its EWRA framework remains fully aligned with applicable UAE AML/CFT laws, Ministry of Economy (MoE) requirements, Responsible Sourcing of Gold regulations, and international standards, including FATF Recommendations and OECD Due Diligence Guidance, thereby supporting a robust, proportionate, and risk-driven compliance framework.

5. RISK ASSESSMENT METHODOLOGY

Promise Gold Refinery FZE adopts a structured, systematic, and fully documented risk assessment methodology to evaluate its exposure to Money Laundering (ML), Terrorist Financing (TF), and Proliferation Financing (PF) risks across all areas of its operations. This methodology is designed to ensure a consistent, transparent, and risk-based evaluation of potential financial crime threats, aligned with the Company's Risk-Based Approach (RBA) and applicable UAE regulatory requirements. The methodology integrates qualitative analysis, quantitative indicators where applicable, management judgment, and established risk-rating principles, ensuring that risk assessments are both comprehensive and proportionate to the nature, scale, and complexity of the Company's business activities as a gold refinery and Dealer in Precious Metals and Stones (DPMS).

The EWRA framework is based on the evaluation of three core components:

Inherent Risk

Inherent risk represents the level of risk associated with a business activity, customer, product, transaction, geographic exposure, or delivery channel prior to the application of any mitigating controls. This assessment considers the intrinsic characteristics of the precious metals sector, including the high-value and fungible nature of gold, transaction complexity, and exposure to potential misuse for financial crime purposes.

Control Effectiveness

Control effectiveness refers to the adequacy, design, and operational effectiveness of the Company's AML/CFT controls in mitigating identified risks. This includes, but is not limited to:

- Customer Due Diligence (CDD) and Enhanced Due Diligence (EDD) measures
- Sanctions, PEP, and adverse media screening
- Transaction monitoring systems and controls
- Cash risk management and Source of Funds (SOF) verification
- STR/SAR reporting processes through GOAML
- Internal compliance monitoring, audit mechanisms, and governance oversight

The assessment evaluates whether controls are appropriately designed, consistently implemented, and capable of effectively reducing risk exposure.

Residual Risk

Residual risk represents the level of risk that remains after the application of mitigating controls and risk management measures. This assessment determines whether the remaining risk is acceptable within the Company's defined risk appetite or requires further mitigation, escalation, or corrective action. For the purposes of the EWRA, risks are classified into Low, Medium, and High-risk categories, based on a combined evaluation of inherent risk and control effectiveness. This classification ensures a standardized and consistent approach to risk rating across all business areas.

Where the residual risk exceeds the Company's approved risk appetite, Promise Gold Refinery FZE shall implement appropriate and proportionate mitigating actions. Such actions may include:

- Application of enhanced controls and monitoring measures
- Conducting Enhanced Due Diligence (EDD)
- Increased transaction scrutiny and approval requirements
- Imposition of transaction limits or restrictions
- Escalation to Senior Management for review and approval
- Refusal to onboard the customer or execute the transaction
- Suspension or termination of existing business relationships

All such actions shall be undertaken in accordance with the Company's AML/CFT framework, internal policies and procedures, and applicable UAE regulatory obligations. Through this structured methodology, Promise Gold Refinery FZE ensures that its risk assessment process remains robust, consistent, defensible, and aligned with regulatory expectations, enabling effective identification, measurement, and mitigation of financial crime risks across its operations.

6. INDUSTRY AND SECTOR RISK

Promise Gold Refinery FZE recognizes that the gold refining and bullion industry is inherently exposed to elevated risks of Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), sanctions evasion, and Trade-Based Money Laundering (TBML), arising from the unique characteristics of precious metals and the structural complexities of global and regional supply chains.

The Company acknowledges that gold, as a high-value, highly liquid, portable, and globally accepted commodity, presents a heightened risk of misuse for illicit purposes. Its intrinsic attributes including high value relative to weight, ease of transport, divisibility, fungibility, and the ability to be melted, recast, or transformed make it particularly attractive to criminal actors seeking to conceal the origin of illicit funds, transfer value across borders, or integrate proceeds of crime into the legitimate financial system. The sector is further exposed to vulnerabilities arising from cross-border sourcing, international trade flows, and multi-layered supply chains, particularly in jurisdictions where regulatory oversight, enforcement mechanisms, or supply chain transparency may be limited. In such environments, verifying the true origin, ownership, and legitimacy of gold can be inherently challenging, increasing the risk that illicitly sourced or conflict-related gold may be introduced into legitimate supply chains.

Additional sector-specific risks include:

- Commingling of illicit and legitimate gold, making detection and traceability more difficult
- Misuse of recycled or scrap gold channels to obscure provenance and disguise illicit origin
- Use of precious metals as a non-traditional settlement mechanism, facilitating value transfer outside the formal banking system
- Trade-Based Money Laundering (TBML) through over- or under-invoicing, false documentation, or artificial transaction chains
- Sanctions evasion and proliferation financing risks, particularly where supply chains involve complex or opaque trade routes

The upstream segment of the supply chain presents additional exposure to risks such as:

- Bribery and corruption
- Smuggling and illegal import/export activities
- Customs fraud and misdeclaration
- Use of intermediaries, aggregators, or traders with opaque ownership structures or limited transparency

As a refining entity positioned within the precious metals supply chain, Promise Gold Refinery FZE recognizes that its risk exposure extends beyond customer-facing activities and includes significant upstream sourcing and supplier-related risks, which may exceed those typically encountered by retail dealers or standard bullion trading entities. Accordingly, the Company adopts a heightened risk awareness and control framework for industry and sector risks and implements enhanced due diligence (EDD), transaction monitoring, and responsible sourcing controls to mitigate these exposures. This includes rigorous supplier verification, assessment of supply chain traceability, scrutiny of transaction patterns, and alignment with applicable regulatory and international standards governing responsible sourcing and AML/CFT compliance. Promise Gold Refinery FZE ensures that the risks inherent to the gold refining sector are proactively identified, continuously monitored, and effectively mitigated, thereby safeguarding the integrity of its operations and ensuring full compliance with UAE regulatory expectations and international best practices.

7. EWRA EVOLUTION

Based on comparative analysis:

Area	2024 EWRA	2025 EWRA	Policy Position
Customer Risk	Medium-High	Medium	Improved controls
Product Risk	Medium	Medium-High	Better risk recognition
Transaction Risk	Not deeply structured	High (primary)	Fully formalized
Supply Chain	Basic	Structured	Integrated into policy

Promise Gold Refinery FZE recognizes that the Enterprise-Wide Risk Assessment (EWRA) is a dynamic and evolving process, and as such, the Company is committed to the continuous enhancement of its risk assessment framework in line with regulatory expectations, operational developments, and emerging financial crime risks. Based on a comparative analysis of the EWRA conducted for the years 2024 and 2025, the Company has demonstrated measurable improvement in the maturity, depth, and effectiveness of its risk assessment methodology and control environment.

In particular, the Company has refined its approach to customer risk assessment, resulting in a reclassification from Medium-High to Medium risk, reflecting strengthened Customer Due Diligence (CDD), enhanced Ultimate Beneficial Ownership (UBO) verification, and improved screening controls. With respect to product risk, the Company has enhanced its understanding and recognition of risks associated with recycled gold and the inherent vulnerabilities of precious metals, leading to a more accurate classification of Medium-High risk. This reflects a more mature and risk-aware assessment aligned with industry realities and regulatory expectations.

The most significant advancement has been observed in the area of transaction risk, which was not previously structured in detail in the 2024 EWRA. In the 2025 assessment, transaction risk has been formally defined, quantified, and classified as a High-risk area, recognizing its critical importance within the Company's overall risk profile. This includes the incorporation of detailed analysis of payment methods, transaction patterns, structuring risks, and Trade-Based Money Laundering (TBML) indicators.

8. PROMISE GOLD REFINERY ALIGNMENT WITH UAE NATIONAL RISK ASSESSMENT

Promise Gold Refinery FZE confirms that its Enterprise-Wide Risk Assessment (EWRA) framework is fully aligned with the findings and expectations set out in the United Arab Emirates National Risk Assessment (NRA) 2024, which identifies the Dealers in Precious Metals and Stones (DPMS) sector as presenting Medium-High inherent risk, driven by sector-specific vulnerabilities and typologies.

1. Sector Risk Classification

Promise Gold Refinery FZE formally recognizes that the Dealers in Precious Metals and Stones (DPMS) sector has been classified under the UAE National Risk Assessment (NRA) 2024 as Medium-High risk, reflecting the inherent vulnerabilities associated with the gold trade, including high-value transactions, liquidity, and susceptibility to misuse for financial crime purposes. In alignment with this classification, the Company has adopted a Medium-High inherent risk rating at an enterprise level, ensuring that its AML/CFT framework, control measures, and risk appetite are calibrated to address the elevated risks associated with its role as a gold refinery.

2. High Cash Intensity

Promise Gold Refinery FZE acknowledges that cash transactions represent a significant vulnerability within the DPMS sector due to their inherent lack of transparency and traceability. Given that approximately 35% of the Company's transactions are conducted in cash, the Company applies stringent controls to mitigate associated risks, including mandatory Source of Funds (SOF) verification, enhanced scrutiny by the Compliance function, and mandatory reporting through the GOAML system for transactions exceeding AED 55,000. These measures ensure that cash transactions are closely monitored, documented, and aligned with regulatory expectations.

3. High-Value Transactions

The Company recognizes that the nature of gold refining involves high-value transactions, which inherently increase the risk of money laundering and value transfer. To address this exposure, Promise Gold Refinery FZE implements a structured transaction monitoring framework that includes threshold-based approvals, transaction pattern analysis, and anomaly detection mechanisms. All transactions are assessed for consistency with the counterparty's profile and economic rationale, ensuring that unusual or high-risk activities are promptly identified and escalated.

4. Trade-Based Money Laundering (TBML) Exposure
Promise Gold Refinery FZE acknowledges that the gold trade is particularly vulnerable to Trade-Based Money Laundering (TBML), especially through mechanisms such as over-invoicing, under-invoicing, or artificial transaction chains. The Company mitigates these risks through price benchmarking against market rates, invoice verification, reconciliation of quantity and purity, and validation of transaction rationale, ensuring that all transactions are commercially justified and transparent.

5. Portability of Gold
The Company recognizes that gold's high value-to-weight ratio and portability make it an attractive medium for illicit value transfer. To mitigate this risk, Promise Gold Refinery FZE has implemented robust chain-of-custody procedures, including the use of authorized personnel, vetted logistics providers, tamper-evident packaging, and documented transfer protocols. These controls ensure full traceability and integrity of gold movements within the Company's operations.

6. Responsible Sourcing Risk
Promise Gold Refinery FZE acknowledges that weaknesses in responsible sourcing practices within the sector may expose entities to risks related to illicit gold entering the supply chain. Given its involvement in recycled gold processing, the Company applies enhanced supplier due diligence, verification of origin documentation, and compliance with Ministerial Decree No. 68 of 2024, ensuring that sourcing practices are aligned with regulatory and international standards**.**

7. Cross-Border Risk
While the DPMS sector generally faces elevated risks from cross-border trade, Promise Gold Refinery FZE mitigates this exposure by operating under a domestic UAE-based sourcing and customer model, thereby eliminating direct exposure to high-risk jurisdictions. This significantly reduces geographic risk while maintaining strict verification of all counterparties within the UAE regulatory framework.

8. Upstream Supply Chain Risk
The Company recognizes that even within a domestic model, indirect upstream risks may arise, particularly in relation to recycled gold. To address this, Promise Gold Refinery FZE conducts enhanced supplier verification, transaction history analysis, and continuous monitoring of supply chain activities, ensuring that potential upstream risks are identified and mitigated.

9. Abuse of Legal Persons
Promise Gold Refinery FZE acknowledges the NRA-identified risk of misuse of legal persons and complex ownership structures. To mitigate this risk, the Company ensures full transparency of Ultimate Beneficial Ownership (UBO) through comprehensive identification, verification, and ongoing monitoring of ownership structures, ensuring that no relationship is established with entities lacking transparency.

10. Use of Intermediaries
The Company recognizes that intermediaries and aggregators may be used to obscure transaction flows and ownership. Accordingly, Promise Gold Refinery FZE applies Know Your Customer's Customer (KYCC) principles, enhanced verification of counterparties, and scrutiny of transaction relationships to ensure transparency and legitimacy.

11. Customer Risk Model Update
Promise Gold Refinery FZE ensures that its Customer Risk Assessment (CRA) model is continuously updated in line with EWRA outcomes and NRA findings. This includes revising risk weightings, incorporating new risk indicators, and ensuring that the risk classification framework remains accurate and reflective of current threats.

12. Customer Base Review
The Company conducts periodic reviews of its entire customer and supplier base, including all 14 UAE-based suppliers, to ensure that risk classifications remain current. This includes re-screening, updating KYC information, and reassessing risk profiles based on evolving risk factors**.**

13. Enhanced Due Diligence (EDD)
Promise Gold Refinery FZE applies Enhanced Due Diligence (EDD) measures to all high-risk relationships and transactions. This includes detailed verification of Source of Funds (SOF), Source of Wealth (SOW), enhanced monitoring, and Senior Management approval, ensuring that higher-risk exposures are effectively controlled.

14. Transaction Monitoring Enhancement
The Company maintains a robust and dynamic transaction monitoring system designed to detect structuring, unusual patterns, rapid turnover, and inconsistencies, particularly in relation to cash and metal settlement transactions. Alerts are reviewed by Compliance and escalated where necessary.

15. Onboarding Process Enhancement
Promise Gold Refinery FZE ensures that its onboarding processes are comprehensive and risk-based, capturing all relevant data points including UBO details, SOF, business activity, and risk indicators, ensuring informed decision-making at the onboarding stage.

16. Third-Party Risk Management
The Company mitigates risks associated with third-party service providers, including logistics partners, by conducting due diligence, maintaining an approved vendor list, and continuously monitoring third-party performance and compliance.

17. Supply Chain Risk Management
Promise Gold Refinery FZE implements strong supply chain controls, including chain-of-custody documentation, verification of sourcing records, and audit trails, ensuring traceability and integrity of all gold handled.

18. Documentation and Record-Keeping
The Company maintains comprehensive, structured, and auditable documentation across all AML/CFT processes, ensuring full compliance with regulatory requirements and readiness for inspection.

19. STR/SAR Reporting Compliance
Promise Gold Refinery FZE ensures timely and accurate reporting of suspicious transactions through the GOAML system, supported by internal escalation procedures and documentation standards.

20. Training and Awareness
The Company conducts role-based AML/CFT training, incorporating NRA findings, sector-specific risks, and typologies, ensuring staff are capable of identifying and responding to financial crime risks.

21. Senior Management Oversight
Senior Management provides active oversight of the AML/CFT framework, including approval of EWRA, allocation of resources, and ensuring alignment with regulatory expectations.

22. Gap Analysis and Continuous Improvement
Promise Gold Refinery FZE conducts periodic gap analysis to identify weaknesses and implement improvements, as demonstrated in the enhancement of EWRA from 2024 to 2025.

23. Product Risk Recognition
The Company has enhanced its product risk assessment by recognizing recycled gold as a higher-risk product, and applying appropriate controls to address associated vulnerabilities.

24. Delivery Channel Risk Management
The Company ensures secure delivery through controlled domestic logistics, strict custody procedures, and verified transport mechanisms.

25. Continuous Review of EWRA
Promise Gold Refinery FZE conducts annual and event-driven EWRA reviews to ensure ongoing alignment with regulatory and operational changes.

26. Demonstration of Risk-Based Approach
The Company demonstrates a clear Risk-Based Approach by linking EWRA findings to CRA, transaction monitoring, and reporting processes, ensuring consistency across the AML/CFT framework.

27. Compliance with Enforcement Expectations
Promise Gold Refinery FZE maintains a proactive compliance framework, including internal audits and monitoring, to ensure adherence to regulatory requirements and prevent enforcement actions.

UAE NRA 2024 vs PROMISE GOLD REFINERY FZE CONTROLS

NRA Requirement / Risk Factor	NRA Observation	PGR Risk Exposure (Tailored)	Control Measures Implemented (PGR)	Evidence / Audit Trail
1. Sector Risk Classification	DPMS = Medium-High Risk	PGR operates as refinery handling high-value gold transactions	EWRA classifies overall risk as Medium-High; risk appetite defined	EWRA Report 2025, Risk Appetite Statement
2. High Cash Intensity	Cash increases ML risk	PGR has ~35% cash transactions	SOF mandatory, Compliance approval, GOAML reporting above AED 55K	Cash Policy, GOAML filings, SOF forms
3. High-Value Transactions	Large value transfers enable ML	High-value gold transactions (kg-level volumes)	Transaction monitoring, approval thresholds, anomaly detection	Transaction Monitoring Logs
4. TBML Exposure	Gold trade vulnerable to TBML	Metal settlement (20%) + pricing risks	Price benchmarking, invoice matching, transaction rationale validation	Invoice checks, pricing records
5. Portability of Gold	Easy movement of value	High-value gold movement within UAE	Chain-of-custody, authorized logistics, tamper-proof controls	Logistics records, delivery logs
6. Weak Responsible Sourcing (Sector)	Supply chain gaps in some DPMS	PGR uses recycled gold (traceability risk)	Supplier due diligence, documentation verification, MD 68 compliance	Supplier files, sourcing records
7. Cross-Border Risk	High in sector generally	PGR operates UAE-only (LOW direct risk)	Domestic sourcing model, supplier verification	Supplier list, trade licenses
8. Upstream Risk (Indirect)	Hidden origin risks	Recycled gold may have upstream exposure	Enhanced supplier checks, transaction history review	Supplier DD files
9. Abuse of Legal Persons	Complex ownership misuse	Corporate customers and suppliers	Full UBO identification and verification	UBO register, KYC files
10. Use of Intermediaries	Layering risk via agents	Possible aggregators in supply chain	KYCC approach, verification of counterparties	Supplier due diligence reports
11. Customer Risk Model Update	CRA must reflect NRA	PGR updated CRA based on EWRA	Risk-based classification (Low/Medium/High)	CRA model, risk scoring sheets
12. Customer Base Review	Reassess existing customers	All 14 suppliers + customers reviewed	Periodic risk reassessment and re-screening	Customer review logs
13. Enhanced Due Diligence (EDD)	Required for high-risk	Applied for high-risk or trigger events	SOF/SOW checks, senior approval, enhanced monitoring	EDD files, approval records
14. Transaction Monitoring Enhancement	Detect structuring & patterns	Cash + metal settlement exposure	Pattern analysis, structuring detection, alerts	Monitoring reports
15. Onboarding Process Update	Capture new risk indicators	PGR onboarding updated	UBO, SOF, business profile, risk indicators captured	KYC forms, onboarding checklist
16. Third-Party Risk	Weak oversight risk	Logistics providers & vendors used	Vendor due diligence, approved provider list	Vendor DD files

17. Supply Chain Risk (Critical)	Weak traceability in sector	Recycled gold risk	Chain-of-custody, documentation checks, audit trails	Supply chain records
18.Documentation Requirement	Must be audit-ready	PGR maintains structured records	Full documentation across EWRA, CRA, transactions	Policy files, audit logs
19. STR/SAR Reporting	Mandatory reporting	Cash + suspicious activity triggers	GOAML reporting framework implemented	STR/SAR records
20. Training Requirements	Staff must understand NRA	AML/CFT training conducted	Role-based training + red flags + typologies	Training logs, attendance
21. Senior Management Oversight	Tone from top required	Active compliance oversight	Board approval of EWRA, risk appetite defined	Board minutes, approvals
22. Gap Analysis Requirement	Mandatory post-NRA	PGR performed EWRA upgrade	EWRA 2024 vs 2025 improvement documented	EWRA evolution section
23. Product Risk Update	Gold products misused	Recycled gold = higher risk	Product classification updated to Medium-High	EWRA product section
24. Delivery Channel Risk	Logistics vulnerabilities	Domestic movement only	Strong chain-of-custody controls	Transport logs
25. Continuous Review Requirement	Annual update required	EWRA updated annually	Event-triggered review framework in place	EWRA revision records
26. Risk-Based Approach Demonstration	Must show linkage	PGR links EWRA → CRA → Monitoring → STR	Full integration across AML framework	Policy cross-references
27. Enforcement Risk (Non-Compliance)	Penalties for failure	Compliance framework established	Internal audits + monitoring + reporting	Audit reports

9. OECD RESPONSIBLE SOURCING INTEGRATION

Promise Gold Refinery FZE formally adopts and integrates the principles of the OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas (CAHRAs) into its overall risk management, compliance, and operational framework, in full alignment with the requirements of Ministerial Decree No. 68 of 2024 governing responsible sourcing of gold within the United Arab Emirates. As a gold refinery operating within the DPMS sector, the Company recognizes that its position within the supply chain exposes it to potential upstream risks, particularly in relation to recycled gold sourcing, traceability limitations, and indirect exposure to illicit or unverified origins. In response, Promise Gold Refinery FZE applies the OECD 5-Step Framework as a structured and systematic methodology to ensure that its sourcing practices are ethical, transparent, and fully compliant with regulatory and international standards. The Company maintains a Board-approved Responsible Sourcing Policy, which establishes a zero-tolerance approach toward sourcing from conflict-affected areas, involvement in human rights abuses, corruption, illicit trade, or any activity that may contribute to financial crime. This policy is formally communicated to all suppliers and integrated into supplier onboarding and ongoing monitoring processes, ensuring that all counterparties are aware of and adhere to the Company's sourcing expectations.

Promise Gold Refinery FZE conducts comprehensive risk identification and assessment of its supply chain through the integration of its Enterprise-Wide Risk Assessment (EWRA), Supplier Risk Assessment framework, and Customer Due Diligence (CDD/EDD) processes. This includes evaluating supplier legitimacy, ownership structures, transaction behavior, and the traceability of gold, with particular focus on identifying risks associated with OECD Annex II, including conflict financing, human rights violations, bribery, smuggling, and illicit sourcing practices. Where risks are identified, the Company applies proportionate and risk-based mitigation measures, including Enhanced Due Diligence (EDD), verification of source documentation, strengthening of chain-of-custody controls, and ongoing monitoring of supplier activity and transaction patterns. High-risk relationships are subject to enhanced scrutiny and escalation to Senior Management, and where risks cannot be adequately mitigated, the Company shall suspend or terminate the business relationship in accordance with its risk appetite and regulatory obligations.

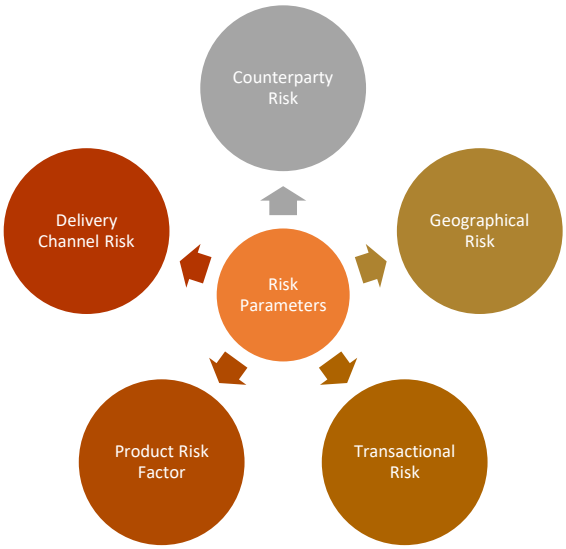
To ensure the effectiveness and integrity of its responsible sourcing framework, Promise Gold Refinery FZE subjects its due diligence processes to independent third-party audit, conducted by qualified and approved auditors. These audits evaluate compliance with regulatory requirements, assess the effectiveness of implemented controls, and identify areas for improvement. The Company ensures that all audit findings are addressed in a timely manner and that corrective actions are implemented to strengthen its control environment. The Company is committed to maintaining transparency and accountability in its sourcing practices and ensures that all due diligence activities are properly documented and supported by clear audit trails. Relevant information is made available to regulators, auditors, and stakeholders as required, demonstrating compliance with UAE regulatory expectations and OECD standards.

Through the integration of the OECD 5-Step Framework into its EWRA and supply chain due diligence processes, Promise Gold Refinery FZE ensures that its sourcing activities are risk-based, traceable, and aligned with both national and international best practices, thereby mitigating supply chain risks, preventing the entry of illicit gold into its operations, and safeguarding the integrity of its business.

10. RISK CATEGORIES AND CORE RISK PILLAR

Promise Gold Refinery FZE recognizes that risks within the gold refining and supply chain ecosystem are inherently multi-dimensional, interconnected, and dynamic, requiring a structured and comprehensive framework to ensure that all relevant risk exposures are systematically identified, assessed, and effectively managed. Accordingly, the Company adopts a holistic risk identification approach within its Enterprise-Wide Risk Assessment (EWRA), evaluating exposure across multiple critical risk dimensions that reflect both the nature of the precious metals sector and the Company's specific operational model as a UAE-based gold refinery and Dealer in Precious Metals and Stones (DPMS).

1) **Geographic Risk Assessment** of risks associated with the country of origin, transit, and destination of gold, including exposure to CAHRAs, jurisdictions with weak governance or regulatory controls, sanctioned or embargoed countries, and regions associated with illegal mining or smuggling activities.
2) **Supplier / Counterparty Risk: Assessment** of the legal, financial, and reputational profile of suppliers and intermediaries, including verification of legal existence, ownership structure, Ultimate Beneficial Ownership (UBO), Politically Exposed Person (PEP) exposure, sanctions screening, adverse media findings, and historical compliance behaviour.
3) **Product Risk:** Assessment of risks linked to the nature and type of gold supplied, including doré gold, recycled gold, scrap gold, or other gold-bearing materials, with particular focus on traceability, origin documentation, and potential exposure to illicit or unregulated sources.
4) **Transaction Risk:** Assessment of risks arising from transaction characteristics, including transaction size, value, frequency, structuring patterns, payment methods, use of intermediaries or third-party payments, and consistency with the supplier's business profile.
5) **Delivery Channel and Logistics Risk:** Assessment of risks associated with transportation routes, logistics providers, transit jurisdictions, chain-of-custody integrity, shipment security, and potential risks of diversion, substitution, or smuggling during transit.



10.1PRODUCT RISK ASSESSMENT

Promise Gold Refinery FZE recognizes that product risk constitutes a critical and inherent component of its Enterprise-Wide Risk Assessment (EWRA), particularly in light of the unique characteristics of gold and other precious metals as high-value, highly liquid, portable, fungible, and easily transformable commodities.

The Company acknowledges that these intrinsic properties significantly increase the susceptibility of precious metals to misuse for Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), and Trade-Based Money Laundering (TBML) activities. Gold, in particular, can be melted, recast, refined, or commingled with other materials, thereby obscuring its origin and enabling illicit actors to disguise the source of funds, transfer value across jurisdictions, or integrate illicit proceeds into the legitimate economy.

Promise Gold Refinery FZE further recognizes that not all precious metal products carry the same level of risk, and that risk exposure varies depending on a combination of product-specific and transactional factors. These include, but are not limited to:

- Source and Origin: The provenance of the gold, including whether it originates from artisanal and small-scale mining (ASM), large-scale mining (LSM), or recycled sources, and the associated risk of illicit sourcing or upstream opacity.
- Level of Processing: The stage of refinement of the product, such as doré gold, recycled gold, or fully refined bullion, which impacts traceability and verification of origin.
- Traceability: The ability to establish a clear and verifiable chain-of-custody, including the availability and reliability of supporting documentation and supplier declarations.
- Supply Chain Transparency: The degree of visibility into upstream and downstream supply chain participants, including intermediaries, aggregators, and logistics providers.
- Transaction Characteristics: The nature, structure, and economic rationale of transactions involving the product, including payment methods, pricing, and consistency with market benchmarks.

Given these considerations, Promise Gold Refinery FZE has established a structured and risk-based Product Risk Assessment Framework as an integral component of its EWRA. This framework is designed to:

- Systematically identify and categorize risks associated with different types of precious metal products handled by the refinery
- Classify products based on their inherent risk level, taking into account sector-specific vulnerabilities and operational exposure
- Apply proportionate and risk-based controls aligned with the level of identified risk
- Ensure that higher-risk products are subject to enhanced due diligence, monitoring, and approval mechanisms

The Product Risk Assessment Framework is fully integrated into the Company's broader AML/CFT control environment and directly informs:

- Customer and supplier due diligence measures (CDD / EDD)
- Transaction monitoring and anomaly detection
- Pricing validation and trade verification processes
- Supply chain due diligence and responsible sourcing controls

Promise Gold Refinery FZE ensures that all product-related risks are continuously monitored, periodically reviewed, and updated in response to changes in sourcing patterns, regulatory requirements, emerging financial crime typologies, and operational developments. Promise Gold Refinery ensures that its product risk management framework remains robust, proportionate, and aligned with UAE regulatory expectations, including Ministry of Economy (MoE) requirements, the UAE National Risk Assessment (NRA), and international best practices such as the OECD Due Diligence Guidance, thereby safeguarding the integrity of its operations and preventing the misuse of its refining activities for illicit purposes

10.1.1 PRODUCT RISK PARAMETERS

a. Type of Gold / Product Category

Promise Gold Refinery FZE recognizes that the level of product risk varies significantly depending on the type, form, and origin of gold handled within its operations. The Company processes a range of gold products, including doré gold (sourced from artisanal and small-scale mining (ASM) or large-scale mining (LSM)), recycled or scrap gold (both melted and unmelted), fine refined gold bars (995, 999, and 999.9 purity), and gold granules or mixed feedstock. Each product category presents distinct risk characteristics, particularly in relation to traceability, origin verification, and susceptibility to misuse. Doré gold and mixed-origin feedstock present higher risks due to limited traceability and upstream complexity, while recycled gold carries elevated risk due to aggregation and commingling. In contrast, refined gold bars present relatively lower risk due to increased transparency post-refining. Accordingly, the Company applies risk-based classification and proportionate controls based on the specific product type.

b. Source of Gold (ASM vs LSM vs Recycled)

Promise Gold Refinery FZE evaluates product risk based on the source of gold, recognizing that different sourcing channels present varying levels of exposure to financial crime risks. Gold originating from Artisanal and Small-Scale Mining (ASM) is considered higher risk due to informal supply chains, limited regulatory oversight, and increased potential for illicit sourcing.

Gold sourced from Large-Scale Mining (LSM) operations presents comparatively lower risk due to structured regulatory frameworks, established compliance practices, and greater supply chain transparency.
Recycled gold represents a distinct and elevated risk category, as it often involves aggregation from multiple sources, increasing the likelihood of commingling illicit and legitimate gold, and reducing the ability to verify provenance. Accordingly, the Company applies enhanced scrutiny to all recycled gold transactions.

c. Traceability and Origin Transparency

Promise Gold Refinery FZE places significant emphasis on the traceability and transparency of gold origin as a key determinant of product risk. The Company assesses the ability to establish a clear and verifiable chain-of-custody, including the availability, completeness, and reliability of supporting documentation such as supplier declarations, transport records, and transaction histories. Where traceability is limited or documentation is incomplete, the risk of ML/TF/PF is considered elevated. Accordingly, the Company applies enhanced due diligence measures, additional documentation requirements, and increased monitoring for products with reduced transparency.

d. Level of Gold Concentration and Composition

The Company evaluates product risk based on the level of gold concentration and composition variability. Doré gold, which is semi-refined and may contain varying levels of impurities and mixed metals, presents higher risk due to uncertainty in composition and origin, increasing the likelihood of misrepresentation or concealment of illicit material. In contrast, refined gold with high purity levels (995, 999, 999.9) presents relatively lower risk due to standardized composition and greater transparency. However, even high-purity gold remains subject to financial crime risks due to its value and liquidity.

e. Fungibility and Transformability

Promise Gold Refinery FZE recognizes that gold is inherently fungible and easily transformable, meaning it can be melted, recast, mixed, or converted into different forms without retaining identifiable characteristics of its original source. This property significantly increases the risk of origin concealment, layering, and integration of illicit gold into legitimate supply chains. The Company mitigates this risk through strict chain-of-custody controls, supplier verification, and monitoring of product flows, ensuring that transformation processes do not obscure traceability.

f. Misrepresentation Risk

The Company acknowledges that product risk includes exposure to misrepresentation, which may arise through false declarations of origin, incorrect reporting of purity levels, or manipulation of assay results. To mitigate this risk, Promise Gold Refinery FZE implements robust verification controls, including independent assay testing, cross-verification of supplier documentation, and consistency checks, ensuring that all product information is accurate, reliable, and verifiable.

g. Gold Laundering Exposure

Promise Gold Refinery FZE recognizes that certain gold products, particularly recycled gold and mixed feedstock, are vulnerable to gold laundering schemes, where illicit gold is introduced into legitimate refining processes through commingling or aggregation. This risk is mitigated through enhanced supplier due diligence, transaction monitoring, and verification of sourcing documentation, ensuring that illicit gold does not enter the Company's refining operations.

h. Document Forgery Risk

The Company acknowledges the risk of document forgery and falsification, including fake invoices, manipulated shipping records, and fraudulent assay certificates, which may be used to disguise illicit transactions or misrepresent the origin of gold. To address this risk, Promise Gold Refinery FZE implements strict document verification procedures, cross-checking of supporting documents, and validation against independent sources, ensuring authenticity and integrity of all documentation.

i. Trade-Based Money Laundering (TBML) Risk

Promise Gold Refinery FZE recognizes that gold transactions are susceptible to Trade-Based Money Laundering (TBML) schemes, including price manipulation, over-invoicing, under-invoicing, and artificial transaction structures designed to transfer value illicitly. The Company mitigates TBML risks through pricing validation against international benchmarks (e.g., LBMA rates), transaction pattern analysis, and verification of economic rationale, ensuring that all transactions are commercially justified and aligned with market conditions.

10.1.2 PRODUCT RISK CLASSIFICATION

Based on EWRA analysis and operational exposure:

Product	Inherent Risk	Key Risk Drivers	Controls	Residual Risk
Doré Gold	Very High	Traceability, ASM exposure	EDD, origin verification	Medium
Recycled Gold	High	Mixing risk	Chain-of-custody, monitoring	Medium
Fine Gold	Medium	Value transfer	Monitoring, pricing checks	Low-Medium
Feedstock	High	Mixed origin	Supplier controls	Medium
Certified Gold	Medium	Trade exposure	Verification	Low

PRODUCT RISK PARAMETERS & WEIGHTAGE

Parameter	Weight (%)	Description
Type of Gold / Product	20%	Doré, recycled, refined, feedstock
Source of Gold (ASM/LSM/Recycled/ Fine)	15%	Origin risk level
Traceability & Documentation	15%	Chain-of-custody strength
Gold Concentration / Composition	10%	Purity & variability
Fungibility & Transformability	10%	Ability to conceal origin
Misrepresentation Risk	10%	False declarations / assay issues
Gold Laundering Exposure	10%	Mixing illicit gold risk
Document Forgery Risk	5%	Fake invoices / certificates
TBML Risk	5%	Pricing / trade manipulation

RISK BASED CONTROLS IMPLEMENTED BY PGR

Risk Level	Control Action (PGR)
High	EDD + Senior Management Approval + Enhanced Monitoring
Medium-High	EDD + Compliance Review
Medium	Standard CDD + Monitoring
Low	Simplified Controls

10.1.3 PRODUCT RISK MITIGATION CONTROLS

Promise Gold Refinery FZE applies a risk-based product control framework to ensure that precious metals presenting higher exposure to Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), sanctions evasion, and Trade-Based Money Laundering (TBML) are subject to proportionate due diligence, monitoring, approval, and escalation measures. The Company recognizes that different gold products present different levels of vulnerability depending on their source, level of processing, traceability, and potential for commingling or concealment of origin. Accordingly, the Company classifies products into risk tiers and applies enhanced controls based on the level of identified risk

A. DORÉ GOLD

Promise Gold Refinery FZE recognizes doré gold as a high-risk product category due to its semi-refined nature, variable composition, limited traceability, mine-origin exposure, and the elevated risk of illicit, conflict-related, or smuggled gold entering the legitimate refining chain. Doré gold may originate from upstream environments where transparency is limited, including jurisdictions or mining segments with weak governance, informal extraction methods, or heightened exposure to bribery, corruption, illegal mining, and supply chain manipulation. In view of these inherent vulnerabilities, the Company applies the highest level of scrutiny to all doré gold transactions and supplier relationships.

Enhanced Due Diligence (EDD)

All transactions and relationships involving doré gold are subject to Enhanced Due Diligence (EDD). This includes a more detailed review of the supplier's legal status, ownership structure, UBO information, operational legitimacy, historical transaction behavior, source of funds, source of wealth where relevant, and the commercial rationale for the transaction. EDD is intended to ensure that the Company does not accept doré gold from suppliers or counterparties that cannot demonstrate legitimacy, transparency, and compliance with responsible sourcing expectations.

Supplier Declaration of Origin

The Company requires a formal declaration of origin from the supplier for all doré gold received. This declaration must clearly identify the source mine, upstream supplier chain, and any intermediaries involved in the movement of the gold. The purpose of this requirement is to establish origin transparency and reduce the risk that illicit, conflict-affected, or smuggled gold is introduced into the refining process under false pretences.

Mine Verification (Where Applicable)

Where doré gold is sourced from mined origin, Promise Gold Refinery FZE performs mine verification, where feasible and applicable, as part of its responsible sourcing framework. This may include review of mining licenses, source-country documents, mine ownership information, and consistency of origin documentation with commercial records. This control is designed to mitigate the risk of receiving gold derived from illegal mining, unlicensed extraction, sanctioned jurisdictions, or conflict-affected supply chains.

Independent Assay Testing

All doré gold received is subject to independent assay testing or equivalent technical verification procedures to confirm purity, metal content, and consistency with supplier declarations. This control helps detect misrepresentation, concealment of composition, manipulation of metal content, and possible inconsistencies between declared and actual product characteristics. Independent assay is a key control in preventing fraud, inaccurate valuation, and laundering of illicit gold through falsified product descriptions.

Chain-of-Custody Verification

Promise Gold Refinery FZE requires complete chain-of-custody verification for doré gold transactions. This includes documentation evidencing the movement of the gold from source to refinery, identification of all transport and handling parties, and verification that the product has not been diverted, substituted, or unlawfully commingled during transit. This control is critical in mitigating risks of smuggling, substitution, concealment of origin, and supply chain integrity failures.

Senior Management Approval

All doré gold transactions and supplier relationships require Senior Management approval prior to onboarding or processing, particularly where elevated residual risk remains after the application of EDD and verification controls. This ensures that the acceptance of high-risk products is subject to oversight at the appropriate management level and is aligned with the Company's risk appetite, regulatory obligations, and responsible sourcing commitments.

Risks Mitigated

The controls applied to doré gold are specifically designed to mitigate:

- Conflict gold exposure
- Illegal mining and illicit sourcing
- Smuggling and diversion risks
- Misrepresentation of origin and composition
- Supply chain opacity
- Entry of illicit gold into the refining process

B. RECYCLED GOLD / FEEDSTOCK

Promise Gold Refinery FZE recognizes recycled gold, scrap gold, melted recyclables, unprocessed recyclables, and mixed feedstock as medium-high risk products, due to the potential for aggregation from multiple sources, commingling of legitimate and illicit material, weak provenance, and reduced visibility into upstream origin. Although recycled gold may often be sourced through legitimate commercial channels, its nature creates heightened vulnerability to concealment of source, introduction of illicit gold into the legitimate market, and TBML-related manipulation.

Supplier Onboarding Verification

All suppliers of recycled gold and mixed feedstock must undergo full supplier onboarding verification prior to any transaction. This includes verification of legal existence, trade license validity, business activity, beneficial ownership, sanctions and PEP screening, adverse media review, and supplier risk assessment. This control ensures that recycled gold is accepted only from verified, transparent, and compliant counterparties.

Chain-of-Custody Documentation

The Company requires chain-of-custody documentation for recycled gold and feedstock to establish visibility over the movement of the material through the supply chain. While recycled products may not always allow for source-mine identification, the Company requires sufficient documentary evidence to demonstrate the immediate source, handling history, and transfer pathway of the material. This helps reduce the risk of origin concealment and improper introduction of illicit material into the refinery.

Pricing Benchmark Checks (LBMA Alignment)

Transactions involving recycled gold and feedstock are subject to pricing benchmark checks, including comparison against relevant bullion market reference prices, such as LBMA rates where applicable. This control is intended to identify overpricing, under-pricing, artificial discounts or premiums, and other anomalies that may indicate TBML, disguised value transfer, or improper commercial rationale.

Transaction Monitoring

Promise Gold Refinery FZE applies enhanced transaction monitoring to recycled gold and feedstock transactions, including review of transaction value, frequency, volume, customer behavior, linked transactions, and deviations from expected commercial patterns. Monitoring is used to identify suspicious patterns, possible structuring, layering, or repetitive activity inconsistent with the supplier's known profile or business activity.

Source of Funds (SOF) Validation

Where relevant, particularly for cash-linked or higher-risk recycled gold transactions, the Company conducts Source of Funds (SOF) validation to ensure that the financial proceeds or consideration used in connection with the transaction are legitimate, documented, and consistent with the customer's or supplier's profile. This is particularly important where recycled gold may be used to disguise criminal proceeds or facilitate value transfer through commodity transactions.

Risks Mitigated

The controls applied to recycled gold and feedstock are specifically intended to mitigate:

- Mixing of illicit gold with legitimate supply
- Concealment of origin through aggregation or melting
- TBML and pricing manipulation
- Supply chain opacity
- Use of recycled channels to introduce illegal gold into the refinery

C. REFINED GOLD

Promise Gold Refinery FZE classifies refined gold, including fine gold and refined gold bars of 995, 999, and 999.9 purity, as medium-risk products. Although refined gold generally presents greater transparency and standardization than doré or recycled gold, it remains exposed to ML/TF/PF risks due to its high value, portability, liquidity, and suitability as a mechanism for storing and transferring wealth. Even where traceability is comparatively stronger, refined gold may still be used in structuring schemes, disguised value transfer, and suspicious high-value transactions.

Standard Customer Due Diligence (CDD) | Simplified Due Diligence

Transactions involving refined gold are subject to standard Customer Due Diligence (CDD) measures, including identification and verification of the customer or supplier, confirmation of legal status, screening of beneficial ownership, and sanctions/PEP checks. This ensures that all parties dealing in refined gold are properly verified and risk-classified before business is conducted.

Transaction Monitoring
The Company applies ongoing transaction monitoring to refined gold transactions to assess transaction size, frequency, profile consistency, and economic rationale. Even where the product itself presents lower traceability risk than doré or recycled gold, the transaction pattern may reveal heightened ML or structuring concerns that require escalation or further scrutiny.

Pricing Validation
All refined gold transactions are subject to pricing validation to ensure alignment with prevailing market rates and commercial reasonableness. This helps identify attempts to manipulate value, conceal transfers of wealth, or conduct non-arm's-length transactions under the cover of legitimate bullion trade.

Documentation Checks
The Company performs documentation checks to confirm that all invoices, trade documents, transport records, and transaction records are complete, accurate, and internally consistent. This reduces the risk of fraud, false documentation, and unsupported transactions involving refined gold.

Risks Mitigated
The controls applied to refined gold are designed to mitigate:

- Value transfer risk
- Structuring and layering risk
- Inconsistent high-value trading behavior
- False or incomplete documentation
- Suspicious commercial activity masked as normal bullion trade

D. Cross-Cutting Controls – Applicable to All Product Categories
In addition to product-specific controls, Promise Gold Refinery FZE applies a set of cross-cutting AML/CFT controls across all precious metal products, regardless of risk classification. These controls are designed to ensure consistency, regulatory compliance, and enterprise-wide oversight.

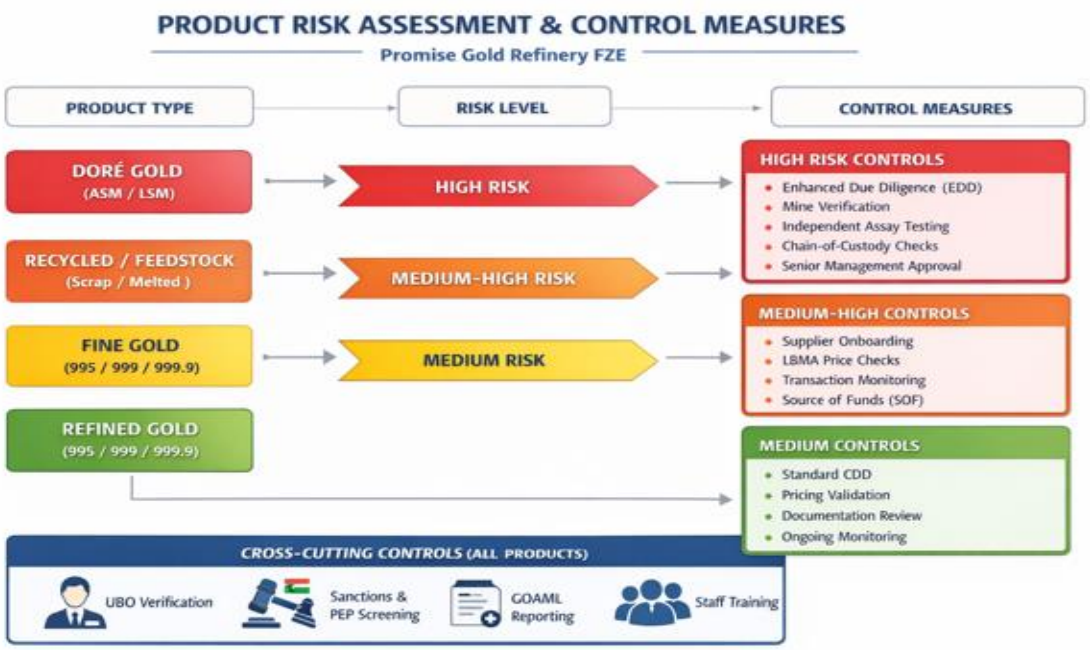
UBO Verification
The Company performs Ultimate Beneficial Owner (UBO) verification for all relevant customers, suppliers, and counterparties. This ensures transparency of ownership and control structures and reduces the risk of misuse of legal persons, nominee arrangements, or concealed beneficial ownership.

Sanctions / PEP Screening
All counterparties and relevant associated persons are subject to sanctions screening, PEP screening, and adverse media checks at onboarding and on an ongoing basis. This control ensures compliance with UAE Targeted Financial Sanctions obligations and reduces the risk of dealing with sanctioned, politically exposed, or otherwise high-risk parties.

GOAML Reporting
Promise Gold Refinery FZE maintains a robust GOAML reporting framework to ensure timely reporting of suspicious transactions, suspicious activities, and threshold-linked reporting obligations as required under UAE law. Where product-related transactions give rise to suspicion, the matter is escalated internally and reported through the appropriate regulatory channel.

Internal Audit Reviews
The Company conducts internal audit and compliance reviews to assess the adequacy and effectiveness of product-related controls, due diligence measures, documentation standards, and escalation procedures. This supports continuous improvement and demonstrates that controls are not merely documented, but actively tested and monitored.

Staff Training
Relevant employees receive role-based AML/CFT and responsible sourcing training, including training on product-specific risks, red flags, documentation review, transaction monitoring indicators, and escalation procedures. This ensures that staff handling higher-risk products are capable of identifying suspicious activity and applying the Company's controls effectively.



Refinery Product Risk Matrix (Inherent vs Residual Risk Table)

Product / Commodity	Description	Inherent Risk	Key Risk Drivers	Key Controls Implemented	Residual Risk
Doré Gold	Semi-refined gold sourced from mines	Very High	Limited traceability, conflict gold risk, smuggling exposure	Enhanced Due Diligence (EDD), origin verification, assay testing, mine documentation verification	Medium
Recycled / Scrap Gold	Gold sourced from recycled Jewellery, scrap metals	High	Risk of illicit gold mixing, weak provenance	Chain-of-custody documentation, supplier onboarding checks, transaction monitoring	Medium
High Purity Gold Bars (999 / 999.9)	Refined gold bullion products	Medium	High value-to-weight ratio, portability	Transaction monitoring, pricing analysis, KYC verification	Low–Medium
Gold Granules / Refinery	Raw material used in refining process	High	Mixed origin metals, traceability risk	Supplier risk assessment, refining intake verification	Medium
Certified Refined Gold Bars	Gold bars from accredited refineries	Medium	Cross-border trade exposure	Supplier verification, LBMA accreditation verification	Low
Silver Bars	Refined silver bullion	Medium	Commodity trade risks, smuggling exposure	KYC, transaction monitoring, documentation verification	Low–Medium

Enhanced Documentation and Traceability Controls

Product Category	Documentation Requirement	Description of Control	Purpose / Risk Mitigated
Doré Gold	Supplier Declaration of Origin	Suppliers must provide a formal declaration confirming the origin of the gold and the source mine or supplier chain from which the metal was obtained.	Ensures transparency of the metal's origin and reduces risk of illicit or conflict gold entering the supply chain.
Doré Gold / Recycled Gold	Chain-of-Custody Documentation	Documentation evidencing the movement of the metal through each stage of the supply chain from source to refinery.	Mitigates risk of supply chain manipulation and helps detect smuggled or illegally sourced gold.
All Precious Metal Feedstock	Assay and Refining Records	Assay reports and refining records documenting the composition, purity, and processing details of the metal received.	Ensures accurate verification of metal content and prevents misrepresentation or concealment of metal origin.
Cross-Border Shipments	Export and Shipping Documentation	Verification of export permits, customs documentation, shipping manifests, and logistics records related to the transport of precious metals.	Prevents smuggling, trade-based money laundering, and falsified shipping documentation.

10.1.4 ENHANCED DOCUMENTATION REQUIREMENTS

Promise Gold Refinery FZE recognizes that robust documentation and verifiable audit trails are fundamental to mitigating product-related risks, particularly in relation to high-risk precious metal products such as doré gold, recycled gold, and mixed-origin feedstock. Given the elevated exposure of such products to Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), Trade-Based Money Laundering (TBML), smuggling, and illicit sourcing, the Company mandates the collection, verification, and retention of comprehensive supporting documentation as a core component of its AML/CFT and responsible sourcing framework.

For all high-risk product categories, Promise Gold Refinery FZE requires the submission and validation of the following documentation prior to acceptance, processing, or transaction execution:

Supplier Declaration of Origin

The Company requires a formal and signed Supplier Declaration of Origin for all high-risk gold products, clearly identifying the source of the gold, including the upstream supplier, mine of origin (where applicable), and the supply chain pathway through which the gold has been obtained. This declaration must be consistent with all supporting documentation and is subject to verification by the Compliance function. This control is critical in ensuring transparency of origin, mitigating the risk of conflict gold, illicit sourcing, and misrepresentation, and aligning with responsible sourcing obligations under UAE regulations.

Chain-of-Custody Records

Promise Gold Refinery FZE requires detailed Chain-of-Custody documentation evidencing the movement of gold from its origin through all stages of the supply chain to the refinery. This includes identification of all intermediaries, transport handlers, storage points, and transfer records. The purpose of this requirement is to ensure traceability, prevent diversion or substitution, and detect any breaks or inconsistencies in the supply chain, thereby reducing the risk of smuggling, unauthorized handling, or introduction of illicit material.

Assay Reports and Technical Verification

All high-risk gold products must be supported by Assay Reports or equivalent technical verification documents confirming the composition, purity, and metal content of the gold. Where necessary, Promise Gold Refinery FZE conducts or requires independent assay testing to validate supplier-provided data. This control mitigates risks related to misrepresentation of purity, concealment of material composition, and valuation discrepancies, ensuring that all products processed are accurately identified and verified.

Export and Shipping Documentation
Where applicable, particularly in cases involving movement of gold or cross-border elements, the Company requires complete Export and Shipping Documentation, including customs declarations, export permits, shipping manifests, airway bills, and logistics records. These documents are reviewed for consistency, authenticity, and alignment with the declared transaction details. This control is essential in mitigating risks related to smuggling, falsified trade documentation, sanctions evasion, and TBML schemes.

Transaction Invoices and Commercial Documentation
Promise Gold Refinery FZE requires all transactions involving high-risk products to be supported by valid Transaction Invoices and commercial documentation, clearly reflecting the transaction value, quantity, purity, counterparties, and payment terms. These documents are cross-verified against market benchmarks, transaction patterns, and customer profiles to ensure commercial legitimacy. This control supports the detection of price manipulation, over- or under-invoicing, and disguised value transfer, which are common indicators of TBML.

Verification and Compliance Review
All documentation submitted is subject to comprehensive review and validation by the Compliance function, including cross-verification across multiple documents, consistency checks, and escalation where discrepancies are identified. Where documentation is incomplete, inconsistent, or unverifiable, the Company shall apply enhanced due diligence measures, suspend processing, or reject the transaction in accordance with its AML/CFT framework.

Record Retention and Audit Readiness
All documentation is securely maintained in accordance with UAE regulatory requirements, including minimum retention periods, and is readily accessible for internal review, independent audit, and regulatory inspection. The Company ensures that all documentation forms part of a complete audit trail, demonstrating compliance with AML/CFT obligations and responsible sourcing requirements.

10.1.5 ESCALATION AND DECISION FRAMEWORK
Promise Gold Refinery FZE establishes a formal escalation and decision-making framework to ensure that all product-related risks identified through its Enterprise-Wide Risk Assessment (EWRA) and Product Risk Assessment Framework are appropriately managed, controlled, and aligned with the Company's defined risk appetite and regulatory obligations.
The Company recognizes that certain products, transactions, or supply chain arrangements may present elevated or unacceptable levels of residual risk, particularly in relation to high-risk products such as doré gold, recycled gold, or mixed-origin feedstock. Accordingly, where product risk is assessed to exceed acceptable thresholds, a structured escalation process is initiated to ensure appropriate oversight and decision-making.

Escalation to Compliance Officer
Where elevated product risk is identified, the matter shall be immediately escalated to the Compliance Officer / MLRO for review. The Compliance function shall conduct a detailed assessment of the transaction or relationship, including:

- Review of all supporting documentation
- Assessment of supplier credibility and risk profile
- Evaluation of transaction structure, pricing, and economic rationale
- Identification of any red flags, inconsistencies, or adverse indicators

The purpose of this escalation is to ensure that all high-risk scenarios are independently reviewed by the designated compliance authority prior to any further action.

Senior Management Approval
For cases involving high-risk products or transactions, or where residual risk remains elevated after initial review, Senior Management approval is mandatory prior to onboarding, processing, or continuation of the relationship.

Senior Management shall evaluate:

- The overall risk exposure
- Adequacy of mitigating controls
- Alignment with the Company's risk appetite
- Potential regulatory, reputational, and financial implications

This ensures that acceptance of high-risk exposure is subject to appropriate governance and accountability at the highest operational level.

Application of Enhanced Controls
Where the Company determines that the identified risk can be mitigated to an acceptable level, enhanced control measures shall be applied. These may include:

- Enhanced Due Diligence (EDD)
- Additional documentation and verification requirements
- Strengthened chain-of-custody controls
- Increased transaction monitoring and frequency of review
- Restriction of transaction limits or payment methods

These controls are designed to reduce residual risk and ensure that the transaction or relationship remains within acceptable parameters.

Risk Reassessment and Decision Threshold
Following the application of enhanced controls, the Company shall reassess the residual risk. Where risk remains within acceptable limits, the transaction or relationship may proceed under enhanced monitoring conditions. However, where residual risk continues to exceed the Company's risk appetite, the Company shall take decisive action in accordance with its AML/CFT framework and regulatory obligations.

Transaction Rejection
Promise Gold Refinery FZE shall reject any transaction where:

- Adequate documentation cannot be obtained or verified
- The origin of gold cannot be reasonably established
- The transaction lacks a clear and legitimate economic rationale
- Significant red flags or inconsistencies remain unresolved

This ensures that the Company does not engage in transactions that may expose it to financial crime risk.

Supplier Suspension
Where concerns arise regarding a supplier's legitimacy, transparency, or compliance, the Company may impose temporary suspension of the supplier relationship pending further investigation. During suspension:

- No new transactions shall be processed
- Additional due diligence may be conducted
- Clarifications and supporting documentation may be requested

This control allows the Company to manage risk while conducting further assessment.

Relationship Termination
Promise Gold Refinery FZE shall terminate the business relationship with any supplier or counterparty where:

- Risks cannot be mitigated to an acceptable level
- There is evidence or reasonable suspicion of illicit activity
- The supplier fails to provide required documentation or transparency
- The relationship is inconsistent with regulatory or responsible sourcing obligations

Termination decisions are documented and, where required, may be accompanied by regulatory reporting obligations, including submission of Suspicious Transaction Reports (STR) through the GOAML system.

Regulatory Reporting and Documentation
All escalation decisions, including approvals, rejections, suspensions, and terminations, are fully documented and maintained as part of the Company's audit trail. Where suspicion of ML/TF/PF arises, the Company ensures timely reporting to the UAE Financial Intelligence Unit (FIU) in accordance with regulatory requirements.

PRODUCT RISK DECISION MATRIX

Risk Level	Risk Indicators	Required Action	Approval Authority	Outcome / Decision
LOW	Fully traceable gold, verified supplier, complete documentation	Standard CDD, routine monitoring	Business / Compliance	Proceed
MEDIUM	Minor gaps in documentation, standard product (refined gold), normal transaction pattern	Standard CDD + enhanced monitoring + documentation verification	Compliance Officer	Proceed with monitoring
MEDIUM-HIGH	Recycled gold, partial traceability, unusual transaction pattern, minor red flags	Enhanced Due Diligence (EDD), SOF verification, transaction review	Compliance Officer + Senior Management	Proceed with controls OR conditional approval
HIGH	Doré gold, unclear origin, high cash exposure, multiple red flags, inconsistent documentation	Full EDD, chain-of-custody validation, independent verification, enhanced monitoring	Senior Management (mandatory)	Conditional approval OR escalation
VERY HIGH / UNACCEPTABLE	No origin proof, forged documents, sanctions/PEP concerns, TBML indicators, refusal to provide information	Reject transaction, suspend supplier, escalate to MLRO, file STR if required	Compliance Officer + Senior Management	Reject / Terminate

ESCALATION MATRIX

Trigger Event	Escalation Level	Required Action
Missing documentation	Compliance Officer	Request clarification / apply EDD
Pricing anomaly (>10%)	Compliance Officer	Transaction review + validation
High cash transaction	Compliance Officer	SOF verification + monitoring
Traceability gap	Compliance + Senior Management	Enhanced verification
Multiple red flags	MLRO	Investigation + possible STR
Sanctions / PEP hit	Immediate escalation	Freeze / report as required

DECISION OUTCOME MATRIX

Residual Risk After Controls	Decision	Control Action
Acceptable	Proceed	Standard / Enhanced Monitoring
Moderate	Conditional Approval	EDD + Monitoring
High	Restricted Approval	Senior Management + Controls
Unacceptable	Reject	No transaction
Suspicious	Report	STR filing (GOAML)

ONGOING MONITORING AND REVIEW

Promise Gold Refinery FZE maintains a dynamic and continuous monitoring framework to ensure that product-related risks remain effectively identified, assessed, and managed in line with its Enterprise-Wide Risk Assessment (EWRA) and evolving regulatory expectations. The Company conducts ongoing monitoring of product risk exposure, supported by periodic transaction reviews, supplier performance assessment, and compliance oversight. In addition, the EWRA is formally reviewed and updated on an annual basis to reflect changes in business operations, regulatory requirements, and emerging financial crime risks. Furthermore, the Company undertakes event-triggered reassessments where material changes occur, including changes in sourcing patterns, supplier risk profile, transaction behaviour, or the emergence of new risk indicators.

10.2DELIVERY CHANNEL RISK ASSESSMENT

Promise Gold Refinery FZE recognizes that delivery channels, logistics arrangements, and third-party involvement constitute a critical risk vector within its Enterprise-Wide Risk Assessment (EWRA), with potential exposure to Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), Trade-Based Money Laundering (TBML), as well as risks of smuggling, diversion, substitution, and supply chain manipulation. The Company acknowledges that, given the high value, portability, liquidity, and physical nature of gold, financial crime risks may arise not only through transactional activity but also through the physical movement, handling, storage, and delivery structure of precious metals. The logistics chain, if not adequately controlled, may be exploited to introduce illicit gold, obscure origin, facilitate unauthorized transfers, or bypass regulatory oversight.

Accordingly, Promise Gold Refinery FZE has established a structured, risk-based Delivery Channel Risk Framework, which is fully integrated into its:

- Enterprise-Wide Risk Assessment (EWRA)
- Customer Risk Assessment (CRA)
- Responsible Sourcing and Supply Chain Due Diligence Framework

This framework ensures that all delivery-related risks are systematically identified, assessed, and mitigated across the entire lifecycle of gold movement from supplier to refinery and onward where applicable.

Third-Party Delivery Risk

Promise Gold Refinery FZE recognizes that the use of third-party delivery arrangements, particularly where delivery is made to unrelated or unverified parties, presents a significant financial crime risk. The involvement of intermediaries without a clear commercial rationale, or where counterparty relationships are obscured, may indicate attempts to conceal beneficial ownership, facilitate layering, or structure transactions for Trade-Based Money Laundering (TBML) purposes.

Accordingly, the Company strictly prohibits delivery of gold to unverified or unrelated third parties unless a clear, documented, and commercially justified rationale is provided and approved. All third-party delivery arrangements are subject to enhanced due diligence, verification of all involved parties, and alignment checks between supplier, payer, and delivery recipient, ensuring transparency and legitimacy of the transaction structure.

Logistics and Transport Security Risk

Promise Gold Refinery FZE acknowledges that inadequate logistics and transport security controls may expose the Company to risks of theft, substitution, diversion, and smuggling of gold during transit. Weak custody controls, absence of tamper-evident packaging, or insecure transportation arrangements can compromise the integrity of the product and the supply chain. To mitigate these risks, the Company mandates the use of secure transport arrangements, including tamper-evident packaging, controlled handling procedures, verified transfer points, and documented custody protocols. All movements of gold must be conducted under conditions that ensure physical security, traceability, and accountability at each stage of transit.

Transport Provider Risk (KYC and Reliability)

The Company recognizes that the use of unverified, informal, or unregulated logistics providers introduces significant risk to the integrity of the supply chain. Such providers may lack proper licensing, regulatory oversight, or operational controls, increasing the risk of non-traceable movement, diversion, or involvement in illicit activities.

Accordingly, Promise Gold Refinery FZE conducts due diligence on all logistics and transport providers, including verification of licensing, operational capability, regulatory standing, and reputation. Only approved and vetted logistics providers are permitted to handle the transportation of gold, and their performance is subject to ongoing monitoring.

Chain-of-Custody Integrity Risk

Promise Gold Refinery FZE recognizes that breaks in chain-of-custody or incomplete documentation represent a critical risk, as they may result in loss of traceability and create opportunities for introduction of illicit gold into the supply chain. The Company requires complete and continuous chain-of-custody documentation, evidencing each stage of handling, transfer, and storage of gold. Any gaps, inconsistencies, or missing records are treated as high-risk indicators and are subject to immediate escalation, enhanced verification, or rejection of the transaction.

Cross-Border Routing Risk
Although Promise Gold Refinery FZE primarily operates within a domestic UAE-based model, the Company acknowledges that cross-border routing, where applicable, may introduce risks associated with complex or indirect shipment routes, transit through high-risk jurisdictions, sanctions exposure, and TBML schemes. Where cross-border elements exist, the Company conducts enhanced scrutiny of transport routes, transit jurisdictions, and supporting documentation, ensuring that shipments do not pass through sanctioned or high-risk areas without proper justification and control measures.

Non-Standard Delivery Structures
Promise Gold Refinery FZE recognizes that non-standard or unusual delivery arrangements, including remote or non-face-to-face delivery instructions, irregular delivery locations, or atypical logistics patterns, may indicate attempts to conceal identity, facilitate fraud, or bypass standard controls. Such arrangements are subject to enhanced review and approval, including verification of the legitimacy of the request, confirmation of counterparties, and alignment with normal business practices. Unjustified or high-risk delivery structures may result in rejection or escalation.

Payment vs Delivery Mismatch Risk
The Company acknowledges that misalignment between the payer, supplier, and delivery recipient represents a key indicator of potential financial crime, particularly where third-party payments or complex transaction structures are involved. Such mismatches may indicate layering, disguised transactions, or attempts to obscure the true flow of funds and ownership. Promise Gold Refinery FZE requires strict alignment between transaction parties and conducts enhanced verification where discrepancies are identified. Transactions involving unexplained third-party payments or delivery instructions are subject to enhanced due diligence, escalation, or rejection.

10.2.1 DELIVERY RISK MATRIX

Risk Parameter	Risk Level (Inherent)	Key Risk Indicators	Control Measures (PGR)	Residual Risk	Evidence / Audit Trail
Third-Party Delivery Risk	High	Delivery to unrelated parties, unclear intermediaries, mismatched counterparties	Third-party verification, KYCC checks, alignment of payer–supplier–receiver, Compliance approval	Medium	Delivery instructions, KYC files, approval logs
Logistics & Transport Security Risk	Medium-High	No tamper-proof packaging, weak custody controls, unsecured transport	Tamper-evident packaging, secure transport protocols, authorized personnel only	Low-Medium	Logistics SOP, transport logs, packaging records
Transport Provider Risk	Medium-High	Unlicensed logistics provider, informal handlers	Vendor due diligence, approved logistics list, periodic review	Low-Medium	Vendor DD files, contracts, license copies
Chain-of-Custody Risk	High	Missing records, breaks in transfer documentation	Full chain-of-custody documentation, mandatory verification at each stage	Medium	Chain-of-custody logs, transfer records
Cross-Border Routing Risk	Medium	Complex routing, transit via high-risk jurisdictions	Route validation, documentation checks, sanctions screening	Low-Medium	Shipping documents, route records
Non-Standard Delivery Structures	Medium-High	Remote delivery, unusual locations, inconsistent instructions	Enhanced review, justification requirement, Compliance approval	Medium	Delivery approvals, communication records
Payment vs Delivery Mismatch Risk	High	Third-party payments, mismatch of transaction parties	Payment alignment checks, SOF verification, escalation procedures	Medium	Payment records, invoices, SOF forms

DELIVERY RISK SCORING

Parameter	Weight (%)
Third-Party Risk	20%
Chain-of-Custody	20%
Payment Mismatch	15%
Transport Security	15%
Transport Provider	10%
Cross-Border Risk	10%
Non-Standard Delivery	10%

CONTROL ACTION MATRIX

Risk Level	Required Controls	Approval Level
Low	Standard controls	Business
Medium	Monitoring + documentation checks	Compliance
Medium-High	Enhanced Due Diligence + verification	Compliance + Management
High	Full EDD + strict controls	Senior Management
Unacceptable	Reject / terminate	Compliance + Senior Management

10.2.2 DELIVERY CHANNEL RISK ASSESSMENT FRAMEWORK

A. Assessment of Delivery Structures and Third-Party Involvement

Promise Gold Refinery FZE conducts a comprehensive assessment of all delivery arrangements to ensure transparency, traceability, and commercial legitimacy across the supply chain. The Company recognizes that the involvement of intermediaries or third parties in delivery structures may introduce risks related to concealment of beneficial ownership, layering, and Trade-Based Money Laundering (TBML).

Accordingly, the Company performs verification of the identity, legal status, and functional role of all intermediaries and delivery parties, ensuring that each party involved in the transaction is clearly identified and appropriately documented. The Company further confirms that the involvement of any third party is supported by a clear and legitimate commercial rationale, and that Ultimate Beneficial Ownership (UBO) transparency is fully established. Where delivery structures involve unrelated or unverified third parties, or where relationships between transaction parties are unclear or inconsistent, such arrangements are classified as high-risk.

High-Risk Indicator:

Delivery involving unrelated third parties, opaque structures, or lack of commercial justification.

Control Actions:

In such cases, Promise Gold Refinery FZE applies Enhanced Due Diligence (EDD), escalates the matter to the Compliance Officer for detailed review, and may proceed with transaction rejection or relationship termination where risks cannot be adequately mitigated.

B. Transport and Logistics Risk Assessment

Promise Gold Refinery FZE conducts full due diligence on all logistics and transport arrangements to ensure the secure, controlled, and traceable movement of gold. The Company recognizes that weak logistics controls may expose operations to risks of theft, substitution, diversion, and smuggling. The Company performs Know Your Counterparty (KYC) checks on all transport providers, including verification of licensing, regulatory standing, operational reliability, and reputation. Only approved and vetted logistics providers are permitted to handle gold shipments.

Mandatory transport controls include:

- Use of tamper-evident packaging
- Implementation of secure custody and handling procedures
- Maintenance of documented transport logs and transfer records
- Verification of authorized personnel involved in handling

High-Risk Indicator:

Use of unverified transport providers, absence of security controls, or weak custody procedures.

Control Actions:
Where such risks are identified, the Company applies Enhanced Due Diligence (EDD) and may suspend shipment or halt the transaction until adequate controls and verification are established.

C. Cross-Border Logistics and Routing Risk
Although Promise Gold Refinery FZE primarily operates within a domestic UAE-based model, the Company recognizes that certain transactions may involve indirect routing, multi-jurisdictional movement, or exposure to international logistics channels, which may increase the risk of TBML, sanctions evasion, and smuggling.

The Company evaluates:
- Transit jurisdictions and routing pathways
- Exposure to Conflict-Affected and High-Risk Areas (CAHRAs)
- Logical consistency between origin, route, and destination

Red Flag Indicators:
- Circular or unnecessarily complex routing
- Mismatch between declared origin and transport route
- Routing through high-risk or sanctioned jurisdictions

Control Actions:
Where such indicators are identified, the Company applies Enhanced Due Diligence (EDD), conducts independent verification of routing and documentation, and escalates the matter to Compliance and Senior Management for review.

D. Non-Standard Delivery Arrangements
Promise Gold Refinery FZE applies heightened scrutiny to non-standard or unusual delivery arrangements, including:
- Third-party delivery instructions
- Non-face-to-face or remote transaction arrangements
- Unusual delivery locations or patterns inconsistent with normal business practices

Such arrangements may indicate attempts to conceal identity, bypass controls, or facilitate fraudulent or illicit transactions.

High-Risk Indicator:
Delivery structures with reduced transparency, unverifiable counterparties, or deviation from standard operational procedures.

Control Actions:
In such cases, the Company applies Enhanced Due Diligence (EDD), requires Senior Management approval, and may reject the transaction where sufficient transparency and justification cannot be established.

E. Payment Linkage to Delivery Channels
Promise Gold Refinery FZE ensures strict alignment between physical delivery of gold and associated financial transactions, recognizing that discrepancies between payment flows and delivery arrangements may indicate money laundering, layering, or disguised transactions.

The Company verifies:
- Identity and legitimacy of the payer
- Consistency between contractual agreements, invoices, and delivery instructions
- Alignment between supplier, payer, and delivery recipient

High-Risk Indicator:
Third-party payments, mismatched transaction parties, or lack of linkage between financial and physical flows.

Control Actions:
Where such risks are identified, the Company conducts:
- Source of Funds (SOF) and Source of Wealth (SOW) verification
- UBO validation
- Escalation to the Compliance Officer / MLRO

Where suspicion arises, appropriate action is taken, including transaction suspension, rejection, or regulatory reporting (STR via GOAML).

10.2.3 RISK CLASSIFICATION AND MITIGATION FRAMEWORK

Promise Gold Refinery FZE applies a structured and proportionate Risk-Based Approach (RBA) to assess and manage risks arising from delivery channels, logistics arrangements, and third-party involvement. This framework ensures that delivery-related risks are classified into defined categories based on their inherent and residual risk characteristics, and that appropriate controls, approvals, and mitigation measures are applied in line with the Company's risk appetite and regulatory obligations. The Company classifies delivery channel risks into Low, Medium, and High-risk categories, with each category linked to specific control measures, monitoring requirements, and escalation protocols

LOW-RISK DELIVERY ARRANGEMENTS

Promise Gold Refinery FZE classifies delivery arrangements as Low Risk where the structure of the transaction demonstrates a high degree of transparency, traceability, and operational control, with minimal exposure to delivery-related financial crime risks. Such arrangements typically involve direct delivery from verified suppliers to the refinery, with no involvement of unrelated third parties or intermediaries, and where all counterparties have been fully identified, verified, and risk-assessed in accordance with the Company's AML/CFT framework.

In low-risk scenarios, logistics and transportation are handled exclusively through approved and vetted logistics providers, whose credentials, licensing, and operational reliability have been verified by the Company. The delivery structure reflects clear alignment between the supplier, payer, and delivery recipient, with no discrepancies or inconsistencies in transaction documentation. All supporting documents, including invoices, transport records, and chain-of-custody documentation, are complete, consistent, and readily verifiable.

Although the inherent risk is considered low, Promise Gold Refinery FZE maintains appropriate oversight through the application of standard Customer Due Diligence (CDD) measures, verification of delivery documentation, and routine transaction monitoring. This ensures that even low-risk delivery arrangements remain subject to continuous review and that any emerging risks are promptly identified and addressed.

MEDIUM-RISK DELIVERY ARRANGEMENTS

Delivery arrangements are classified as Medium Risk where certain elements introduce moderate complexity or limited uncertainty, but where the overall structure remains reasonably transparent and justifiable. This may include scenarios involving limited use of intermediaries with a defined and legitimate role, minor routing variations, or situations where additional clarification or documentation is required to fully understand the transaction.

Promise Gold Refinery FZE recognizes that while such arrangements do not inherently indicate illicit activity, they may present increased exposure to risks such as partial loss of transparency, increased reliance on third parties, or potential inconsistencies in delivery or transaction structure. As such, these transactions require enhanced scrutiny to ensure that risks do not escalate.

For all medium-risk delivery arrangements, the Company applies enhanced monitoring and additional verification measures, including detailed review of delivery structures, validation of the commercial rationale for intermediaries, and confirmation of alignment between transaction parties. The Company also ensures that documentation is complete, consistent, and supported by credible evidence.

Through these enhanced controls, Promise Gold Refinery FZE ensures that medium-risk delivery arrangements remain within acceptable risk thresholds and are effectively managed in line with its risk-based approach.

HIGH-RISK DELIVERY ARRANGEMENTS

Promise Gold Refinery FZE classifies delivery arrangements as High Risk where significant risk indicators are present, indicating a heightened potential for Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), Trade-Based Money Laundering (TBML), smuggling, diversion, or concealment of beneficial ownership.

High-risk scenarios include, but are not limited to:

- Involvement of unrelated or unverified third parties in the delivery process
- Complex, non-transparent, or unjustified delivery structures
- Mismatch between the payer, supplier, and delivery recipient
- Use of indirect or unusual routing without clear commercial rationale
- Incomplete, inconsistent, or unverifiable documentation

In such cases, Promise Gold Refinery FZE applies a comprehensive set of Enhanced Due Diligence (EDD) measures, including in-depth verification of all involved parties, review of chain-of-custody documentation, validation of source of funds (SOF), and confirmation of Ultimate Beneficial Ownership (UBO). All high-risk delivery arrangements are subject to mandatory escalation to Senior Management, ensuring that acceptance of such risk is reviewed at the appropriate level of governance and aligned with the Company's risk appetite.

Where risks can be mitigated through enhanced controls, the transaction may proceed under strict monitoring and approval conditions. However, where risks remain elevated, unjustified, or inconsistent with regulatory expectations, the Company shall take decisive action, including:

- Rejection of the transaction
- Suspension of shipment or delivery
- Termination of the supplier or counterparty relationship
-

Additionally, where suspicion of financial crime arises, the matter is escalated to the Compliance Officer / MLRO for further investigation and, where required, regulatory reporting through GOAML.

DELIVERY CHANNEL RISK SCORING MODEL

Risk Parameter	Weight (%)
Third-Party Involvement	20%
Transparency of Structure	15%
Logistics Security	15%
Routing Complexity	10%
Jurisdiction Risk	10%
Transport Provider KYC	10%
Payment Alignment	10%
Remote Handling	5%
Delivery Pattern	5%

Risk Classification Thresholds

Risk Level	Required Action
Low	Standard CDD
Medium	Enhanced Monitoring
High	EDD + Approval

10.2.4 ESCALATION AND DECISION FRAMEWORK

Promise Gold Refinery FZE establishes a formal and structured Escalation and Decision Framework to ensure that all risks arising from delivery channels, logistics arrangements, and third-party involvement are appropriately identified, reviewed, escalated, and resolved in line with the Company's Risk-Based Approach (RBA), defined risk appetite, and UAE regulatory requirements. The Company recognizes that delivery channel risks may escalate due to factors such as third-party involvement, non-transparent logistics structures, chain-of-custody gaps, payment mismatches, or routing complexities, which may expose the Company to risks of Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), Trade-Based Money Laundering (TBML), smuggling, diversion, or concealment of beneficial ownership.

A. Escalation to Compliance Officer / MLRO

Promise Gold Refinery FZE ensures that any delivery arrangement identified as presenting elevated or higher-than-acceptable risk is subject to immediate escalation to the Compliance Officer and/or Money Laundering Reporting Officer (MLRO) for independent review and assessment. This escalation is triggered where risk indicators such as third-party involvement, unclear delivery structures, inconsistencies in documentation, chain-of-custody gaps, unusual routing, or payment mismatches are identified. Upon escalation, the Compliance function conducts a detailed evaluation of all aspects of the delivery arrangement, including verification of involved parties, assessment of transaction alignment, review of logistics documentation, and identification of any red flags or suspicious indicators. The purpose of this process is to ensure that all high-risk delivery scenarios are independently assessed by the designated compliance authority, and that no transaction proceeds without appropriate oversight and validation.

B. Senior Management Approval

For delivery arrangements classified as high risk, or where residual risk remains elevated following Compliance review, Promise Gold Refinery FZE requires mandatory approval from Senior Management prior to proceeding with the transaction or shipment. Senior Management evaluates the overall risk exposure, adequacy of mitigating controls, commercial rationale, and alignment with the Company's defined risk appetite.

This governance layer ensures that decisions involving elevated risk are reviewed at the highest level of operational authority, providing accountability and ensuring that risk acceptance is deliberate and justified. No high-risk delivery arrangement may proceed without formal documentation of Senior Management approval.

C. Application of Enhanced Controls

Where elevated delivery channel risks are identified but can be reasonably mitigated, Promise Gold Refinery FZE applies Enhanced Due Diligence (EDD) and additional control measures to reduce residual risk to acceptable levels.

These enhanced controls may include:

- Additional verification of all parties involved in delivery and logistics
- Strengthening of chain-of-custody documentation and verification procedures
- Request for supplementary supporting documentation
- Enhanced monitoring of delivery and transaction patterns
- Restrictions on delivery structure, routing, or payment methods

These measures are designed to ensure greater transparency, traceability, and control, thereby mitigating risks associated with financial crime and supply chain vulnerabilities.

D. Transaction Rejection

Promise Gold Refinery FZE shall reject any transaction where delivery channel risks are deemed unacceptable or cannot be adequately mitigated, particularly in cases where:

- Delivery structures lack transparency or clear commercial rationale
- Chain-of-custody documentation is incomplete, inconsistent, or unverifiable
- Counterparties cannot be properly identified or validated
- Significant red flags remain unresolved

Transaction rejection ensures that the Company does not engage in activities that may expose it to ML/TF/PF risks, regulatory breaches, or reputational damage.

E. Shipment Suspension

The Company may impose immediate suspension of shipment or delivery where risks are identified during the execution stage of a transaction, including:

- Discovery of inconsistencies in documentation
- Emergence of new risk indicators or adverse information
- Failure of the counterparty to meet required compliance standards

Shipment suspension enables the Company to pause the transaction and conduct further investigation, ensuring that no movement of gold occurs until all risks are adequately assessed and resolved.

F. Relationship Termination

Promise Gold Refinery FZE shall terminate the business relationship with any supplier, logistics provider, or counterparty where delivery-related risks persist, escalate, or indicate potential involvement in illicit activity.

- Termination may be initiated where:
- The counterparty fails to provide required transparency or documentation
- Risks cannot be mitigated to an acceptable level
- There is reasonable suspicion of involvement in ML/TF/PF, smuggling, or other illicit practices
- Continued engagement would conflict with regulatory obligations or responsible sourcing principles

All termination decisions are formally documented and, where applicable, escalated for further regulatory action.

CORE ESCALATION & DECISION MATRIX

Risk Level	Escalation To	Key Action	Final Decision
Low	No escalation	Standard CDD + routine monitoring	Proceed
Medium	Compliance Officer	Additional verification + monitoring	Proceed with controls
Medium-High	Compliance Officer	Enhanced Due Diligence (EDD) + review	Conditional approval
High	Senior Management	Full EDD + strict controls	Approve OR escalate
Unacceptable	Senior Management	Investigation	Reject / Terminate / Report

10.2.5 ONGOING MONITORING AND REVIEW – DELIVERY CHANNEL RISK

Promise Gold Refinery FZE maintains a structured and continuous monitoring framework to ensure that delivery channel and logistics-related risks are effectively identified, assessed, and managed on an ongoing basis in alignment with its Risk-Based Approach (RBA).

The Company conducts continuous monitoring of delivery risks, including review of logistics arrangements, transport providers, delivery structures, and chain-of-custody controls, to ensure that all movements of gold remain secure, traceable, and consistent with approved transaction parameters.

Delivery channel risks are fully integrated into the Company's Enterprise-Wide Risk Assessment (EWRA) and Customer Risk Assessment (CRA) frameworks, ensuring that insights from delivery patterns, logistics behavior, and supply chain activity are reflected in overall risk ratings and due diligence measures applied to customers and suppliers.

In addition, Promise Gold Refinery FZE performs event-triggered reassessments where material changes or risk indicators arise, including:

- Changes in delivery structure or routing
- Introduction of new logistics providers or intermediaries
- Identification of chain-of-custody gaps or documentation inconsistencies
- Emergence of red flags or suspicious activity

Such reassessments ensure that risks are promptly re-evaluated and that appropriate controls, escalation measures, or decisions are applied without delay. Through this continuous monitoring and review process, the Company ensures that delivery-related risks remain current, responsive, and aligned with UAE regulatory expectations, thereby maintaining a secure, transparent, and compliant supply chain.

Risk Parameters & Weight Allocation

Risk Parameter	Weight (%)	Description
Third-Party Involvement	20%	Use of intermediaries, brokers, unrelated delivery parties
Transparency of Delivery Structure	15%	Clarity of roles (supplier, transporter, buyer)
Logistics & Transport Security	15%	Tamper-proof packaging, secure transport
Cross-Border Routing Complexity	10%	Multiple jurisdictions, indirect routing
High-Risk Jurisdiction Exposure	10%	CAHRA / FATF / sanctioned transit points
Transport Provider Reliability (KYC)	10%	Verified, licensed logistics providers
Payment vs Delivery Alignment	10%	Consistency between payer, supplier, delivery party
Non-Face-to-Face / Remote Handling	5%	Lack of physical interaction / verification
Unusual Delivery Patterns	5%	Deviations from normal business practices

Scoring Guide

Score	Risk Level	Interpretation
1	Low	Fully transparent, controlled
2	Low–Medium	Minor complexity
3	Medium	Some risk indicators
4	Medium–High	Significant concerns
5	High	Major red flags / non-transparent

Sample Risk Scoring Matrix

Risk Parameter	Weight	Low Risk Scenario (Score 1–2)	Medium Risk (Score 3)	High Risk Scenario (Score 4–5)
Third-Party Involvement	20%	Direct supplier delivery	Limited intermediaries	Multiple / unknown intermediaries
Transparency	15%	Clear documented structure	Partial clarity	Obscured ownership / roles
Logistics Security	15%	Secure, sealed shipment	Standard logistics	Weak / unverifiable security
Routing Complexity	10%	Direct shipment	1–2 transit points	Complex / circular routing
Jurisdiction Risk	10%	Low-risk countries	Mixed exposure	CAHRA / FATF / high-risk
Transport Provider KYC	10%	Fully verified provider	Partial KYC	Unverified / informal courier
Payment Alignment	10%	Same entity payer	Minor deviation	Third-party / unexplained payments
Remote Handling	5%	Face-to-face verified	Partial remote	Fully remote, unverifiable
Delivery Pattern	5%	Normal business pattern	Minor anomalies	Unusual / inconsistent

Risk Score Calculation

Scenario	Final Score	Risk Classification
Direct supplier + secure logistics	~1.8	Low Risk
Moderate intermediaries + mixed routing	~3.0	Medium Risk
Complex routing + third-party + high-risk jurisdictions	~4.5	High Risk

Risk Classification Thresholds

Score Range	Risk Level	Required Controls
1.0 – 2.0	Low	Standard CDD
2.1 – 3.5	Medium	Enhanced Monitoring
3.6 – 5.0	High	EDD + Senior Approval

Promise Gold Refinery FZE conducts a structured and risk-based assessment of delivery channels to identify and mitigate risks arising from logistics arrangements, transportation methods, and third-party involvement. The Company evaluates factors such as delivery structure, transport security, chain-of-custody integrity, routing, and alignment between financial and physical flows to ensure full transparency and traceability.
All delivery arrangements are assessed for potential exposure to ML, TF, PF, TBML, smuggling, and diversion risks, and are subject to proportionate controls based on risk level. Higher-risk scenarios, including third-party involvement, complex routing, or payment mismatches, are escalated for enhanced due diligence and management review.
This framework is fully integrated into the Company's EWRA, CRA, and Responsible Sourcing processes, ensuring that delivery-related risks are effectively managed and aligned with UAE regulatory requirements and best practices.

10.3TRANSACTION RISK ASSESSMENT

Promise Gold Refinery FZE recognizes that Transaction Risk constitutes the most significant contributor to its overall financial crime risk exposure, and is therefore treated as a critical focus area within the 2025 Enterprise-Wide Risk Assessment (EWRA) and the Company's broader AML/CFT framework. IN light of the Company's operational model, which involves the processing and handling of high-value transactions in recycled gold and fine gold, the nature, size, and structure of transactions inherently expose the Company to elevated risks of:

- Money Laundering (ML)
- Terrorist Financing (TF)
- Proliferation Financing (PF)
- Trade-Based Money Laundering (TBML)

The Company acknowledges that gold, due to its high value-to-weight ratio, liquidity, portability, divisibility, and global acceptability, may be misused as an effective vehicle for value transfer, concealment of illicit proceeds, and layering of transactions across jurisdictions and counterparties. Complex transaction structures, rapid turnover, and alternative settlement mechanisms further increase the vulnerability of the sector to financial crime risks.

Accordingly, Promise Gold Refinery FZE has established and implemented a structured and risk-based Transaction Risk Assessment Framework, designed to systematically identify, assess, monitor, and mitigate risks arising from transaction activity across its operations.

This framework incorporates both:

- Quantitative analysis, including evaluation of payment structures, transaction volumes, values, and composition; and
- Qualitative risk indicators, including assessment of transaction patterns, behavioural anomalies, inconsistencies in documentation, and deviations from expected customer or supplier profiles.

The Transaction Risk Assessment Framework is fully aligned with the Company's Risk-Based Approach (RBA) and is integrated into its core compliance architecture, including:

- The Enterprise-Wide Risk Assessment (EWRA), ensuring that transaction risk is appropriately reflected in the overall risk profile of the Company
- The Customer Risk Assessment (CRA), enabling alignment between transaction behaviour and customer risk classification
- The Company's Transaction Monitoring Systems, which facilitate ongoing surveillance, detection of suspicious activity, and timely escalation

Through this integrated approach, Promise Gold Refinery FZE ensures that transaction risks are continuously monitored, proportionately controlled, and effectively mitigated, in full alignment with UAE AML/CFT legislation, Ministry of Economy (MoE) expectations, and international best practices, thereby safeguarding the integrity of its operations and preventing misuse of its services for illicit purposes.

The Company further aligns its transaction risk framework with:

- UAE National Risk Assessment (NRA 2024) – identifying the DPMS sector as vulnerable due to high-value transactions, cash intensity, and TBML exposure
- Cabinet Decision No. 74 of 2020 (Targeted Financial Sanctions) – ensuring screening of transactions against sanctions risks
- UAE Ministry of Economy DNFBP Guidance – requiring structured transaction monitoring and documentation.

10.3.2 Payment Structure Analysis

The Company's transaction profile for 2025 is composed as follows:

Payment Type	Percentage
Cash	35%
Bank Transfer	45%
Metal Settlement	20%

This diversified payment mix introduces **varying levels of inherent risk**, requiring differentiated controls.

10.3.3 Risk Assessment by Payment Type

A. Cash Transactions (35%) – HIGH RISK

Promise Gold Refinery FZE recognizes that cash transactions constitute a significant and inherently high-risk component of its transaction profile, representing approximately 35% of total transactions in 2025. Cash, by its nature, lacks the transparency and traceability associated with regulated financial channels, thereby increasing exposure to Money Laundering (ML) risks, particularly at the placement and layering stages.

The Company acknowledges that cash transactions may be susceptible to misuse where funds originate from unverified, illicit, or undocumented sources, or where transactions are deliberately structured to avoid regulatory thresholds and reporting requirements. In the precious metals sector, the use of cash may also be driven by commercial practices; however, such usage inherently elevates financial crime risk and requires enhanced scrutiny.

Key risks associated with cash transactions include:

- Use of illicit funds introduced into the financial system (placement)
- Layering through fragmented or structured transactions
- Lack of formal audit trail and reduced traceability
- Potential misuse to avoid regulatory reporting thresholds

To mitigate these risks, Promise Gold Refinery FZE applies a comprehensive control framework, including:

- Mandatory Source of Funds (SOF) verification for all cash transactions
- Pre-transaction review and approval by the Compliance Officer
- Strict adherence to GOAML reporting obligations, including reporting of cash transactions meeting or exceeding AED 55,000 threshold (single or linked transactions)
- Ongoing monitoring for structuring behaviour and unusual transaction patterns

Despite the implementation of these controls, cash transactions continue to represent a primary driver of the Company's inherent transaction risk, requiring continuous monitoring, strict governance, and enhanced oversight in line with UAE regulatory expectations.

B. Bank Transfers (45%) – MEDIUM RISK

Bank transfers represent the largest proportion of Promise Gold Refinery FZE's transaction profile (approximately 45%) and are generally considered to present a moderate level of risk, as they are conducted through regulated financial institutions and provide a formal and traceable audit trail.

The Company recognizes that, while bank transfers offer greater transparency compared to cash transactions, they are not without risk. Financial crime exposure may arise through:

- Layering of funds across multiple bank accounts or jurisdictions
- Use of third-party or unrelated bank accounts
- Transactions that are inconsistent with the customer's known financial profile or business activity
- Complex or non-transparent payment flows

To mitigate these risks, Promise Gold Refinery FZE implements robust control measures, including:

- Verification of bank account ownership and linkage to the customer or supplier
- Comprehensive counterparty screening, including sanctions, PEP, and adverse media checks
- Ongoing transaction monitoring, including review of transaction patterns, values, and frequency
- Validation of alignment between transaction flows and customer profile (CRA integration)

These controls ensure that bank transfer transactions are transparent, traceable, and commercially justified, thereby reducing exposure to financial crime risks. However, due to the potential for misuse through layering and indirect payment structures, the residual risk associated with bank transfers remains moderate.

C. Metal Settlement (20%) – MEDIUM-HIGH RISK

Promise Gold Refinery FZE identifies metal settlement transactions, which account for approximately 20% of its transaction profile, as a medium-high risk category, due to their inherent exposure to Trade-Based Money Laundering (TBML) risks.

In metal settlement arrangements, value is transferred through physical gold rather than traditional financial channels, which may reduce transparency and create opportunities for manipulation of value, documentation, and transaction structure.

The Company recognizes that metal settlement transactions may be exposed to the following risks:

- Valuation manipulation, including overstatement or understatement of gold value
- Circular trading arrangements, designed to create artificial transaction flows
- Creation of artificial or non-commercial transaction chains
- Misuse of gold as a mechanism for value transfer outside the formal banking system

To mitigate these risks, Promise Gold Refinery FZE applies a structured set of controls, including:

- Price benchmarking against internationally recognized market rates (e.g., LBMA) to ensure fair and consistent valuation
- Reconciliation of weight and purity, including technical verification of gold content
- Validation of the commercial rationale and economic purpose of each transaction
- Review of transaction patterns to detect circular trading or artificial arrangements
- Comprehensive documentation requirements to support each transaction

Through these controls, the Company ensures that metal settlement transactions are commercially justified, accurately valued, and fully documented, thereby reducing exposure to TBML risks.

10.3.4 TRANSACTION RISK FACTORS AND INDICATORS

Promise Gold Refinery FZE adopts a comprehensive and structured approach to identifying and assessing transaction-related risks, recognizing that transaction behaviour is a primary indicator of exposure to Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), and Trade-Based Money Laundering (TBML). The Company evaluates transaction risk across multiple dimensions, combining quantitative analysis and qualitative indicators, to ensure that all transactions are consistent with the counterparty's profile, commercially justified, and aligned with regulatory expectations.

1. Transaction Value Risk – HIGH

Promise Gold Refinery FZE recognizes that transaction value is a critical determinant of financial crime risk, with high-value transactions presenting a significantly elevated exposure to Money Laundering (ML), Terrorist Financing (TF), and Proliferation Financing (PF). Due to the inherent characteristics of gold as a high-value commodity, the Company routinely processes transactions involving substantial monetary amounts, which may be misused as a mechanism for transferring illicit funds or integrating proceeds of crime into the legitimate economy.

High-value transactions increase the potential impact of a single transaction and may enable rapid movement of significant funds across counterparties. Accordingly, the Company applies heightened scrutiny to all high-value transactions, including detailed Compliance review, validation of commercial rationale, and alignment with the customer's financial profile. Continuous transaction monitoring is applied to ensure that such transactions are legitimate, consistent, and supported by adequate documentation.

2. Frequency and Pattern Risk – MEDIUM-HIGH

Promise Gold Refinery FZE assesses transaction frequency and behavioural patterns as key indicators of potential financial crime risk. Unusual or repetitive transaction patterns, including sudden increases in transaction volume, frequent small transactions, or activity inconsistent with historical behaviour, may indicate structuring, layering, or other forms of illicit activity.

The Company recognizes that such patterns may be used to disguise the origin or purpose of funds through repeated or fragmented transactions. To mitigate this risk, Promise Gold Refinery FZE applies pattern analysis tools, automated monitoring alerts, and periodic transaction reviews, ensuring that deviations from expected behaviour are promptly identified, investigated, and escalated where necessary.

3. Structuring and Threshold Evasion Risk – HIGH

Promise Gold Refinery FZE acknowledges that structuring transactions to avoid regulatory thresholds represents a significant and well-established money laundering typology. This risk arises where transactions are deliberately fragmented into smaller amounts to circumvent reporting obligations, particularly in relation to cash thresholds applicable under UAE regulations. Given the Company's exposure to cash transactions, this risk is treated as a high-risk factor. The Company mitigates this risk through aggregation of linked transactions, monitoring systems designed to detect threshold evasion patterns, and escalation protocols. Where structuring behaviour is suspected, transactions are subject to Compliance review and, where appropriate, reported through the GOAML system.

4. Third-Party Payment Risk – MEDIUM-HIGH

Promise Gold Refinery FZE recognizes that third-party payment arrangements introduce heightened risk, as they may obscure the true origin of funds and facilitate layering or concealment of beneficial ownership. Such arrangements may involve payments made by entities unrelated to the contractual counterparty or complex payment structures lacking clear commercial justification. The Company maintains a strict policy prohibiting third-party payments, and confirms that no such transactions were processed during 2025. Where any such request or scenario arises, it is treated as high risk, triggering enhanced verification, assessment of relationships, and escalation to the Compliance function. This approach ensures that all financial flows are transparent, traceable, and directly linked to the contracting parties.

5. Rapid Movement / Turnover Risk – MEDIUM-HIGH
Promise Gold Refinery FZE monitors for rapid movement or turnover of funds and gold, including back-to-back transactions, immediate resale of material, or unusually short holding periods. Such activity may indicate circular trading arrangements or layering mechanisms designed to obscure ownership and transaction origin. The Company recognizes that rapid transaction sequencing may lack a legitimate commercial basis and may be indicative of artificial transaction chains. To mitigate this risk, Promise Gold Refinery FZE performs transaction sequencing analysis, review of holding periods, and monitoring of transaction flow patterns, ensuring that all activity is consistent with genuine commercial operations.

6. Pricing Deviation Risk – MEDIUM
Promise Gold Refinery FZE recognizes that transactions executed at prices deviating from prevailing market benchmarks may indicate potential Trade-Based Money Laundering (TBML) risks, including over-invoicing or under-invoicing. Such practices may be used to transfer value illicitly between parties under the guise of legitimate trade. The Company mitigates this risk through systematic price benchmarking against internationally recognized market indicators (such as LBMA pricing), ensuring that all transactions are conducted at commercially reasonable and justifiable values. Any significant deviation is subject to further review and validation to confirm the legitimacy of the transaction.

7. Documentation Risk – MEDIUM-HIGH
Promise Gold Refinery FZE acknowledges that incomplete, inconsistent, or unreliable documentation significantly increases the risk of fraud, misrepresentation, and financial crime. Documentation deficiencies may indicate attempts to conceal the true nature of transactions or misrepresent product details. The Company applies strict documentation verification controls, including cross-checking of invoices, transport records, assay reports, and transaction documentation. Any inconsistencies or gaps are treated as risk indicators and are subject to escalation, clarification requests, or rejection of the transaction where necessary.

8. Customer Profile Mismatch Risk – HIGH
Promise Gold Refinery FZE recognizes that transactions inconsistent with a customer's known business profile, financial capacity, or historical activity represent a significant red flag for potential financial crime. Such mismatches may indicate misuse of accounts, undisclosed activities, or attempts to integrate illicit funds. To mitigate this risk, the Company ensures strong integration between Transaction Monitoring and Customer Risk Assessment (CRA) frameworks. Transactions are continuously assessed against customer profiles, and any inconsistencies trigger Enhanced Due Diligence (EDD), Compliance review, and escalation to the MLRO where appropriate.

10.3.5 TRANSACTION MONITORING
Promise Gold Refinery FZE establishes and maintains a comprehensive Transaction Monitoring Framework to ensure the continuous identification, assessment, and escalation of transactions that may present exposure to Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), and Trade-Based Money Laundering (TBML) risks. This framework applies to all transaction types, including cash transactions, bank transfers, and metal settlement arrangements, and is fully integrated into the Company's Enterprise-Wide Risk Assessment (EWRA), Customer Risk Assessment (CRA), and regulatory reporting obligations through GOAML.

The objective of this framework is to ensure that all transactions are consistent with the counterparty's risk profile, supported by legitimate commercial rationale, adequately documented, and fully compliant with UAE AML/CFT legislation and Ministry of Economy expectations.

Monitoring Approach
Promise Gold Refinery FZE adopts a structured Risk-Based Transaction Monitoring Approach, combining both real-time (preventive) and post-transaction (detective) monitoring mechanisms to ensure comprehensive risk coverage. Real-time monitoring involves pre-transaction screening, including sanctions and PEP checks, threshold-based alerts, and compliance validation prior to execution. This ensures that high-risk transactions are identified and assessed before they are processed. Post-transaction monitoring includes analysis of transaction patterns, behavioural trends, and periodic reviews, enabling the detection of structuring, layering, circular trading, and other suspicious activities that may not be immediately evident at the point of execution. This dual-layer approach ensures that the Company maintains continuous oversight of transaction activity, enabling early detection and timely escalation of risks.

Cash Transaction Threshold Monitoring
Promise Gold Refinery FZE monitors all cash transactions against the regulatory threshold of AED 55,000 (single or linked transactions). Transactions meeting or exceeding this threshold are subject to mandatory Source of Funds (SOF) verification, Compliance review, and GOAML reporting obligations where applicable. This control mitigates risks associated with placement of illicit funds, structuring behaviour, and threshold evasion, ensuring regulatory compliance.

Structuring Detection
The Company actively monitors for structuring behaviour, including multiple transactions deliberately conducted below regulatory thresholds. Where such patterns are identified across related transactions or counterparties, transactions are aggregated and analysed as a single exposure, and escalated for Compliance review. This ensures effective detection of attempts to circumvent reporting requirements and obscure transaction intent.

Customer Profile Mismatch Monitoring
Transactions are continuously assessed against the customer's known business profile, financial capacity, and historical activity patterns. Any transaction inconsistent with expected behaviour is treated as a high-risk indicator. Such cases trigger Enhanced Due Diligence (EDD), reassessment of the Customer Risk Assessment (CRA), and escalation to the Compliance function, ensuring alignment between transaction behaviour and customer profile.

Third-Party Payment Monitoring
Promise Gold Refinery FZE enforces strict controls over third-party payment arrangements, recognizing the elevated risk of layering and concealment of beneficial ownership. Any transaction involving a mismatch between payer and contracting counterparty is subject to relationship verification, Source of Funds/Wealth checks, and escalation to the MLRO. Policy Position: The Company does not facilitate third-party payments. Any such occurrence is treated as high risk and subject to immediate escalation.

Rapid Turnover and Circular Trading Monitoring
The Company monitors for rapid movement of funds or gold, including back-to-back transactions, immediate resale, or circular trading structures. Such activity may indicate layering or artificial transaction chains designed to obscure ownership and origin. mitigate this risk, Promise Gold Refinery FZE conducts transaction sequencing analysis, review of holding periods, and enhanced monitoring, ensuring that all transactions are commercially justified.

Pricing Deviation Monitoring
All transactions are assessed against recognized market benchmarks (e.g., LBMA pricing) to identify deviations beyond acceptable thresholds. Significant deviations may indicate Trade-Based Money Laundering (TBML) typologies, including over- or under-invoicing. Such transactions are subject to pricing validation and review of commercial rationale.

Metal Settlement Monitoring
Metal settlement transactions are subject to enhanced monitoring due to their exposure to TBML risks, including valuation manipulation and artificial transaction structures. The Company ensures reconciliation of weight and purity, validation of pricing, and assessment of commercial rationale, ensuring that all metal settlement transactions are legitimate and properly documented.

High-Value Transaction Monitoring
Transactions significantly exceeding the customer's normal activity or industry benchmarks are classified as high risk. Such transactions are subject to Compliance review, enhanced verification, and approval prior to execution, ensuring that the transaction is consistent with the customer's profile and business activity.

Documentation Integrity Monitoring
Promise Gold Refinery FZE verifies the completeness, consistency, and authenticity of all transaction-related documentation, including invoices, shipping documents, and supporting records. Any inconsistencies, discrepancies, or missing documentation trigger escalation, clarification requests, or rejection of the transaction, mitigating risks of fraud and misrepresentation.

Sanctions and PEP Monitoring
All transactions and counterparties are subject to sanctions screening, PEP identification, and adverse media checks. Any confirmed or potential match is immediately escalated to Compliance and MLRO, and appropriate actions are taken, including transaction suspension, freezing of assets (where required), and regulatory reporting, in line with UAE Targeted Financial Sanctions requirements.

Risk Scoring and Alert Management
Promise Gold Refinery FZE applies a structured risk scoring and alert management system, categorizing identified risks into defined levels ranging from Low to Critical. Each alert category is linked to specific actions, escalation requirements, and control measures, ensuring a consistent, proportionate, and auditable response to transaction risks.

STR and GOAML Reporting
Where suspicion of ML, TF, or PF arises and cannot be reasonably resolved, Promise Gold Refinery FZE submits a Suspicious Transaction Report (STR) through the GOAML system, in full compliance with UAE AML/CFT regulatory requirements.

Monitoring Frequency
The Company applies monitoring frequency based on risk level:

- Low Risk – Periodic monitoring
- Medium Risk – Regular monitoring
- High Risk – Continuous monitoring
- Critical Risk – Immediate escalation and action

This ensures that monitoring efforts are proportionate to risk exposure.

ESCALATION FRAMEWORK – GOVERNANCE TABLE

Escalation Level	Function / Role	Key Responsibilities	Objective / Control Outcome
Level 1	Operations Team	Initial identification and flagging of alerts and risk indicators during transaction processing	Early detection of potential risks
Level 2	Compliance Officer	Detailed review of alerts, conduct due diligence, validate documentation, assess transaction legitimacy	Risk assessment and control validation
Level 3	MLRO	Evaluate suspicion, determine presence of ML/TF/PF risk, decide on STR filing via GOAML	Regulatory reporting and risk escalation
Level 4	Senior Management	Approval of high-risk transactions, strategic decision-making, risk acceptance or rejection	Governance oversight and accountability

CONTROL PRINCIPLES

Principle	Description
Segregation of Duties	Clear separation between operational, compliance, and decision-making functions
Accountability	Defined ownership of decisions at each escalation level
Independence	Compliance and MLRO operate independently from business operations
Oversight	Senior Management ensures alignment with risk appetite and regulatory requirements

TRANSACTION RISK MATRIX

Risk Element	Risk Level	Mitigation Measures
Cash Transactions	High	SOF, Compliance review, GOAML
Bank Transfers	Medium	Verification, monitoring
Metal Settlement	Medium-High	Benchmarking, reconciliation
Transaction Value	High	Monitoring, approvals
Frequency & Pattern	Medium-High	Alerts, pattern analysis
Structuring Risk	High	Monitoring, escalation
Third-Party Payments	Medium-High	Prohibited / verification
Rapid Movement	Medium-High	Sequencing review
Pricing Deviations	Medium	Benchmarking
Documentation	Medium-High	Verification
Customer Mismatch	High	CRA alignment

PAYMENT STRUCTURE ANALYSIS (CORE KPI)

Payment Type	% Share	Risk Level	Control Status
Cash	35%	**High**	SOF + GOAML + Review
Bank Transfer	45%	**Medium**	Monitoring + Screening
Metal Settlement	20%	**Medium-High**	Benchmark + Validation

CONTROL EFFECTIVENESS DASHBOARD

Control	Effectiveness	Remarks
SOF Verification	Strong	Applied to all cash
Transaction Monitoring	Strong	Pattern detection active
Pricing Benchmarking	Strong	TBML control
GOAML Reporting	Strong	Fully compliant
EDD Framework	Strong	Applied to high-risk
Third-Party Controls	Strong	No exposure

10.4 CUSTOMER SUPPLIER RISK ASSESSMENT

Promise Gold Refinery FZE adopts a structured, documented, and proportionate Risk-Based Approach (RBA) to assess risks arising from its customers, suppliers, and counterparties. The Company recognizes that counterparties represent a primary exposure channel for Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), and Trade-Based Money Laundering (TBML) risks, particularly within the precious metals sector. Given the nature of the Company's operations, which involve high-value gold transactions and supply chain interactions, effective counterparty risk assessment is critical to ensuring the integrity of its business and preventing misuse of its services for illicit purposes.

1. Risk-Based Approach (RBA) to Customer and Supplier Risk

Promise Gold Refinery FZE adopts a structured and proportionate Risk-Based Approach (RBA) to assess, manage, and mitigate risks arising from its customers, suppliers, and counterparties. The Company recognizes that counterparties represent a primary channel through which financial crime risks may materialize, particularly within the precious metals sector where high-value transactions, supply chain complexity, and cross-functional interactions are prevalent. Under this approach, the level of due diligence, monitoring, and control measures applied is commensurate with the assessed level of risk, ensuring that higher-risk counterparties are subject to enhanced scrutiny and governance. This methodology enables the Company to allocate resources effectively, prioritize high-risk exposures, and maintain a balanced and defensible compliance framework aligned with UAE AML/CFT regulations and Ministry of Economy expectations.

2. Inherent Risk Assessment

Promise Gold Refinery FZE conducts an inherent risk assessment to evaluate the level of risk associated with each customer and supplier prior to the application of any mitigating controls. This assessment focuses on identifying the intrinsic risk posed by the counterparty based on factors such as their business nature, geographic exposure, product involvement, and transaction characteristics. The objective of this assessment is to establish a baseline risk profile, enabling the Company to identify counterparties that may present elevated exposure to ML/TF/PF and TBML risks, and to determine the appropriate level of due diligence and control measures required at the onboarding stage.

3. Residual Risk Assessment

Following the implementation of due diligence procedures and control measures, Promise Gold Refinery FZE performs a residual risk assessment to determine the level of risk that remains after mitigation. This process evaluates the effectiveness of controls, including CDD/EDD measures, transaction monitoring, and ongoing compliance oversight, and determines whether the remaining risk is acceptable within the Company's defined risk appetite. Where residual risk remains elevated, additional controls, escalation, or restrictive measures are applied to ensure compliance and risk mitigation.

4. Counterparty Characteristics and Business Profile

Promise Gold Refinery FZE conducts a detailed assessment of the counterparty's characteristics and business profile to ensure that the relationship is legitimate, commercially justified, and consistent with lawful economic activity.

This includes verification of:

- The nature and scope of business operations
- Industry sector and operational model
- Financial capacity and transaction capability
- Alignment between declared activities and actual transactions

Any inconsistencies between the counterparty's stated profile and observed behaviour are treated as risk indicators, potentially signalling attempts to misuse the relationship for illicit purposes. Such cases are subject to enhanced due diligence and escalation.

5. Ownership Structure and UBO Transparency

The Company performs a comprehensive review of the ownership and control structure of each counterparty, with a specific focus on identifying and verifying Ultimate Beneficial Owners (UBOs) in accordance with UAE regulatory requirements.

Particular attention is given to:

- Multi-layered or complex ownership structures
- Use of nominee shareholders or intermediaries
- Jurisdictions known for limited transparency
- Changes in ownership or control

Lack of clarity or transparency in ownership structures is treated as a high-risk indicator, as it may indicate attempts to conceal beneficial ownership or facilitate financial crime. In such cases, enhanced verification and escalation procedures are applied.

6. Source and Legitimacy of Gold Supplied

Promise Gold Refinery FZE places significant emphasis on assessing the source and legitimacy of gold supplied, recognizing that upstream supply chain risks are a critical exposure in the refining sector.

The Company verifies:

- Supplier declarations and origin documentation
- Chain-of-custody records
- Traceability of gold through the supply chain
- Compliance with Responsible Sourcing and OECD guidelines

Particular scrutiny is applied to recycled gold, where traceability may be limited. Where the origin of gold cannot be reasonably verified, the transaction is classified as high risk, and may be subject to enhanced controls, rejection, or termination.

7. Transaction Behaviour and Patterns

Promise Gold Refinery FZE continuously monitors and evaluates transaction behaviour and patterns to ensure consistency with the counterparty's profile and expected activity.

This includes analysis of:

- Transaction frequency and volume
- Transaction value and growth trends
- Payment methods and structure

Unusual or inconsistent patterns such as sudden increases in activity, rapid turnover, or irregular transaction structures may indicate structuring, layering, or TBML risks. Such indicators trigger enhanced monitoring, escalation, and potential reassessment of the counterparty's risk rating.

8. Documentation Quality and Consistency

The Company assesses the quality, completeness, and consistency of all documentation provided by customers and suppliers as a key component of its risk assessment framework.

This includes verification of:

- KYC and identification documents
- Commercial invoices and contracts
- Transport and logistics documentation
- Supporting compliance records

Any inconsistencies, discrepancies, or missing information are treated as risk indicators, as they may signal fraud, misrepresentation, or attempts to obscure transaction details. Such cases are subject to further verification, escalation, or rejection.

9. Integration with Customer Due Diligence (CDD)

The Customer and Supplier Risk Assessment framework is fully integrated into the Company's Customer Due Diligence (CDD) processes, ensuring that all counterparties are identified, verified, and risk-classified prior to onboarding. The results of the risk assessment directly determine the scope and depth of due diligence measures applied, ensuring that controls are proportionate and effective.

10. Integration with Enhanced Due Diligence (EDD)

Where counterparties are identified as high risk, Promise Gold Refinery FZE applies Enhanced Due Diligence (EDD) measures, including:

- Additional verification of identity and ownership
- Detailed review of source of funds and business activities
- Increased scrutiny of transactions and relationships

This ensures that higher-risk exposures are subject to heightened oversight and control.

CUSTOMER RISK SCORING TABLE

Risk Approach

Component	Explanation	Regulatory Relevance
Risk-Based Approach	Risk assessed based on counterparty, transaction, and product	Mandatory under UAE AML law
Inherent vs Residual Risk	Risk measured before and after controls	Required for EWRA
Integration with AML Framework	Linked to CDD, EDD, monitoring	Ensures operational effectiveness

Counterparty Profile

Parameter	Detailed Explanation	Risk Level	Control Measures
Supplier Base	14 UAE-based suppliers only	Low	Verified onboarding
Customer Base	Traders, wholesalers, corporates	Medium	Risk-based CDD
Geographic Exposure	UAE only	Low	No CAHRA exposure
Sector Exposure	Precious metals (high-risk industry)	Medium-High	Enhanced controls

10.4.1 SUPPLIER RISK ASSESSMENT

The Company's customer base consists of **wholesalers, retailers, and corporate entities** operating within the UAE precious metals sector. While these entities are generally regulated and licensed, the Company acknowledges that risks may arise due to variations in business models, transaction volumes, and ownership transparency. Accordingly, customers are subject to risk-based classification and continuous monitoring.

Risk Factor	Detailed Explanation	Risk Level	Mitigation Measures
Supplier Location	UAE-based only	Low	Domestic sourcing
UBO Transparency	Fully verified and documented	Low	UBO validation
Sanctions/PEP Exposure	Not identified	Low	Continuous screening
Documentation Quality	High and complete	Low	KYC controls
Indirect Sourcing Risk	Possible through upstream supply	Medium	Enhanced due diligence

1. CUSTOMER BASE (DOMESTIC TRADERS AND CORPORATES)

The Company's customer base consists of wholesalers, retailers, and corporate entities operating within the UAE precious metals sector. While these entities are generally regulated and licensed, the Company acknowledges that risks may arise due to variations in business models, transaction volumes, and ownership transparency. Accordingly, customers are subject to risk-based classification and continuous monitoring.

Risk Factor	Detailed Explanation	Risk Level	Mitigation Measures
Customer Type	Traders and corporates	Medium	Business verification
UBO Transparency	May vary by entity	Medium	UBO validation
PEP/Sanctions Risk	Possible	Medium	Screening
Transaction Behavior	High-value transactions	Medium-High	Monitoring

2. GEOGRAPHIC EXPOSURE (UAE ONLY)

All customers and suppliers of the Company are located within the United Arab Emirates, resulting in a low level of direct geographic risk. The absence of cross-border sourcing eliminates exposure to international smuggling routes and high-risk jurisdictions. However, the Company recognizes that indirect exposure may still arise where gold originates from upstream sources outside the UAE.

3. SECTOR RISK (PRECIOUS METALS INDUSTRY)

The Company operates within the precious metals sector, which is inherently classified as high risk due to the high value, portability, and liquidity of gold. These characteristics make the sector vulnerable to financial crime, including ML, TF, and TBML. As such, sector risk remains a key driver of overall risk assessment despite strong controls.

4.CDD AND EDD IMPLEMENTATION

Promise Gold Refinery FZE ensures that all counterparties are subject to comprehensive Customer Due Diligence (CDD) and, where applicable, Enhanced Due Diligence (EDD) measures. This includes verification of identity, trade license validation, assessment of business activity, and risk-based due diligence for higher-risk entities. These procedures ensure that only legitimate and compliant counterparties are onboarded.

5. UBO TRANSPARENCY

The Company maintains full transparency of Ultimate Beneficial Ownership (UBO) across all customers and suppliers. UBOs are identified, verified, and documented in accordance with regulatory requirements, ensuring that ownership structures are clearly understood and that risks associated with concealed ownership are mitigated.

6. SANCTIONS AND PEP SCREENING
All counterparties are screened against sanctions lists, Politically Exposed Persons (PEP) databases, and adverse media sources at onboarding and on an ongoing basis. This ensures that the Company does not engage with individuals or entities associated with financial crime, terrorism, or regulatory violations.

7. DOCUMENTATION QUALITY
The Company maintains a high standard of documentation quality, ensuring that all KYC records, transaction documents, and supporting evidence are complete, accurate, and verifiable. Strong documentation controls reduce the risk of fraud, misrepresentation, and regulatory non-compliance.

8. INDIRECT SOURCING RISK
Despite operating within a domestic sourcing model, the Company acknowledges the presence of indirect sourcing risk, particularly in relation to recycled gold. Upstream sources may not always be fully transparent, creating potential exposure to illicit or unverified origins. This risk is mitigated through enhanced due diligence and supplier verification.

9.CASH TRANSACTION EXPOSURE
The presence of cash transactions within the business model introduces elevated risk due to limited traceability and increased susceptibility to money laundering. Cash transactions are therefore classified as high risk and are subject to enhanced controls, including Source of Funds verification, compliance review, and mandatory regulatory reporting.

Risk Element	Detailed Explanation	Risk Level	Mitigation Measures
Cash Usage	Present in transactions	High	SOF verification
Transparency	Limited audit trail	High	Enhanced scrutiny
Compliance Control	Strong	Low	GOAML reporting

10.CONTROL EFFECTIVENESS
The Company's control environment is assessed as strong, supported by full KYC implementation, UBO transparency, continuous screening, and robust documentation practices. These controls significantly reduce residual risk and demonstrate a high level of compliance maturity.

Factor	Impact on Risk
Strong KYC & UBO controls	Reduces risk
UAE-only counterparties	Reduces risk
Cash transactions	Increases risk
Gold sector nature	Increases risk
Indirect sourcing	Increases risk

CUSTOMER & SUPPLIER RISK

Risk Factor	Detailed Assessment	Risk Level	Mitigation Measures
Supplier Base	14 UAE-based suppliers	Low	Verified onboarding
Customer Base	Traders and corporates	Medium	Risk-based monitoring
Geographic Exposure	UAE only	Low	No CAHRA exposure
Sector Risk	Precious metals industry	Medium-High	Enhanced controls
CDD & EDD	Fully implemented	Low	Verification procedures
UBO Transparency	Fully verified	Low	UBO validation
Sanctions/PEP	Not identified	Low	Continuous screening
Documentation	High quality	Low	Record verification

Indirect Sourcing	Possible	Medium	Enhanced due diligence
Cash Exposure	Present	Medium-High	SOF + GOAML reporting

Factor	Impact on Risk
Strong KYC & UBO controls	Reduces risk
UAE-only counterparties	Reduces risk
Cash transactions	Increases risk
Gold sector nature	Increases risk
Indirect sourcing	Increases risk

CUSTOMER RISK SCORING TABLE

Risk Factor	Description	Weight (%)
Customer Type	Individual / Corporate / Intermediary	10%
Geographic Risk	Country of residence / operation (FATF / CAHRA)	15%
Business Activity	Nature of business (trader, aggregator, unknown)	10%
Ownership & UBO Transparency	Complexity, opacity, nominee structures	15%
PEP / Sanctions Exposure	PEP status, sanctions, adverse media	10%
Product Risk Exposure	Type of gold (recycled / dore / refined)	10%
Transaction Behaviour	Volume, frequency, unusual patterns	10%
Payment Method Risk	Cash / bank / metal settlement	10%
Delivery Channel Risk	Third-party delivery / logistics complexity	5%
Documentation Quality	Completeness, consistency, reliability	5%

CONTROL ACTION MATRIX

Risk Level	Required Controls
Low	Standard CDD
Medium	CDD + enhanced monitoring
Medium-High	Enhanced Due Diligence (EDD) + Compliance review
High	Full EDD + Senior Management approval
Unacceptable	Reject / terminate relationship

11. DPMS-SPECIFIC SCORING GUIDANCE

A. Geographic Risk

Category	Score
UAE / Low-risk country	1–2
Moderate-risk country	3
High-risk / FATF grey list	4
CAHRA / sanctioned	5

B. Product Risk

Product Type	Score
Refined gold	2
Recycled gold	3–4
Doré gold	5

C. Payment Method Risk

Type	Score
Established corporate	2
SME trader	3

Aggregator / intermediary	4
Unknown / complex entity	5

D. Supplier Risk Assessment

Risk Factor	Assessment	Risk Level	Mitigation Measures
Supplier Location	UAE-based only	Low	Domestic sourcing
UBO Transparency	Fully verified	Low	UBO validation
Sanctions / PEP Exposure	Not identified	Low	Continuous screening
Documentation Quality	Complete and verified	Low	KYC controls
Indirect Sourcing Risk	Possible upstream exposure	Medium	Enhanced Due Diligence

E. Customer Risk Assessment

Risk Factor	Assessment	Risk Level	Mitigation Measures
Customer Type	Traders and corporates	Medium	Business verification
UBO Transparency	Varies by entity	Medium	UBO validation
PEP / Sanctions Exposure	Possible	Medium	Screening
Transaction Behaviour	High-value transactions	Medium-High	Monitoring

F. RISK SCORING METHODOLOGY

Risk Level	Score	Description
Low Risk	1	Minimal ML/TF/ESG exposure
Medium Risk	2	Moderate risk requiring monitoring
High Risk	3	Significant risk requiring EDD
Prohibited	4	Not acceptable – reject

12. CUSTOMER SUPPLIER RISK MATRIX

A. CUSTOMER PROFILE RISK

Factor	Low (1)	Medium (2)	High (3)	Prohibited (4)
Customer Type	Established UAE company	SME / new entity	Complex structure	Shell / unknown
Business Activity	Regulated gold trader	Mixed activities	Cash-intensive business	No clear business
UBO Transparency	Fully verified	Minor gaps	Difficult to identify	Anonymous ownership

B. GEOGRAPHIC RISK

Factor	Low	Medium	High	Prohibited
Country Risk	UAE / low-risk FATF	Medium-risk country	High-risk country	Sanctioned country
CAHRA Exposure	None	Indirect	Direct exposure	Undisclosed CAHRA

C. AML / FINANCIAL CRIME RISK

Factor	Low	Medium	High	Prohibited
Sanctions	No match	Name similarity	Adverse match	Confirmed match
PEP Status	Non-PEP	Domestic PEP	Foreign PEP	Undisclosed PEP

Adverse Media	None	Minor	Significant	Criminal links

D. TRANSACTION BEHAVIOR

Factor	Low	Medium	High	Prohibited
Volume	Consistent	Slight fluctuation	Sudden spikes	Unjustified
Payment Type	Bank transfer	Mixed	High cash	Structuring
Economic Rationale	Clear	Limited clarity	Weak	No rationale

E.SOURCE OF GOLD RISK

Factor	Low	Medium	High	Prohibited
Source Type	Recycled UAE gold	Mixed sources	ASM / unknown	Conflict gold
Traceability	Fully traceable	Partial	Weak	No traceability
Documentation	Complete	Minor gaps	Inconsistent	False/missing

F.ESG & HUMAN RIGHTS RISK

Factor	Low	Medium	High	Prohibited
Labour Practices	Verified compliant	Limited visibility	Risk indicators	Child/forced labour
Environmental Impact	Controlled	Moderate	High impact	Illegal mining
Conflict Risk	None	Indirect	Direct CAHRA	Armed groups

G.SUPPLY CHAIN RISK

Factor	Low	Medium	High	Prohibited
Intermediaries	Direct supplier	1 layer	Multiple layers	Unknown chain
Chain of Custody	Fully documented	Partial	Weak	Broken chain
Transport Risk	Secure logistics	Mixed	Informal	Smuggling routes

H.COMPLIANCE & DOCUMENTATION

Factor	Low	Medium	High	Prohibited
KYC	Complete	Minor gaps	Incomplete	Refusal
SOF / SOG	Verified	Partial	Weak	Not provided
Cooperation	Fully cooperative	Delays	Resistant	Refusal

I. Promise Gold Refinery FZE evaluates ASM and Doré sourcing based on:

Risk Factor	Assessment Focus
Geographic Risk	CAHRA exposure, FATF status, sanctions
Supplier Risk	Ownership, UBO, PEP exposure
Traceability Risk	Chain-of-custody, origin verification
Product Risk	Doré composition, variability
Transaction Risk	Payment method, pricing, patterns
Logistics Risk	Transport routes, custody integrity

J. RISK CLASSIFICATION AND CONTROL MATRIX

Risk Category	Inherent Risk	Control Measures	Residual Risk
ASM Sourcing	High	EDD, origin verification, supplier vetting	Medium
Doré Gold	High	Assay testing, chain-of-custody, documentation	Medium
CAHRA Exposure	High	Senior approval, enhanced monitoring	Medium-High
Traceability Gaps	High	Documentation requirements, verification	Medium

K.FINAL RISK CLASSIFICATION

Score Range	Risk Level	Action
1.0 – 1.5	Low	Standard CDD
1.6 – 2.2	Medium	Enhanced monitoring
2.3 – 3.0	High	EDD + Senior Approval
>3.0	Prohibited	Reject / exit

L. ESCALATION FRAMEWORK

Trigger	Action
Sanctions match	Immediate freeze + report
Suspicious activity	STR via goAML
ESG violation	Suspend / terminate
CAHRA exposure	EDD + approval

10.5 GEOGRAPHIC RISK ASSESSMENT

1. GEOGRAPHICAL RISK ASSESSMENT FACTORS

Promise Gold Refinery FZE implements a comprehensive, structured, and evidence-based Geographical Risk Assessment Framework as a core component of its Supply Chain Due Diligence and Responsible Sourcing Program. This framework is designed to ensure that all gold sourced, transported, processed, and refined is derived from legitimate, traceable, and responsible jurisdictions, in full alignment with applicable regulatory and international standards.

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The assessment process involves the systematic evaluation of:

- Country of origin of gold, including verification of mining locations and source declarations;
- Transit jurisdictions and transportation routes, particularly where gold passes through multiple regions or high-risk corridors;
- Destination and trading hubs, including jurisdictions known for gold aggregation, refining, or re-export activities;

Special emphasis is placed on identifying exposure to Conflict-Affected and High-Risk Areas (CAHRAs), as defined under OECD Due Diligence Guidance, as well as jurisdictions characterized by:

- weak or ineffective AML/CFT regulatory frameworks;
- elevated levels of corruption, bribery, or organized criminal activity;
- presence of illegal mining operations or gold smuggling networks;
- ongoing armed conflict, political instability, or security risks;
- documented instances of human rights abuses, including forced labour, child labour, or exploitation;
- jurisdictions subject to international sanctions, embargoes, or trade restrictions imposed by the United Nations or the United Arab Emirates.

Geographical risk assessments are conducted using credible and verifiable sources, including regulatory advisories, international risk indices, sanctions lists, industry reports, and internal due diligence findings. The assessment methodology ensures that risk identification is consistent, objective, and capable of withstanding regulatory scrutiny.

Where geographic risk exposure is identified, Promise Gold Refinery FZE applies a risk-based approach, which may include:

- implementation of Enhanced Due Diligence (EDD) measures;
- increased frequency and depth of transaction monitoring and supplier review;
- requirement for additional documentation and verification of origin and chain of custody;
- escalation of high-risk cases to the Compliance Officer, Responsible Sourcing Officer, and relevant governance committees;
- development and implementation of risk mitigation and corrective action plans;
- restriction, suspension, or termination of sourcing relationships where risks cannot be adequately mitigated.

Geographical risk assessments are not treated as a one-time exercise but are maintained as a continuous and dynamic process, with periodic reviews and event-driven reassessments triggered by changes in geopolitical conditions, regulatory updates, sanctions developments, or emerging risk indicators. All geographical risk assessments, supporting documentation, and decisions are fully documented and maintained within internal risk registers, ensuring a complete audit trail and readiness for inspection by the Ministry of Economy and other competent authorities. Geographical Risk Assessment Framework, Promise Gold Refinery FZE ensures that its supply chain operations remain transparent, compliant, and aligned with UAE Ministry of Economy Responsible Sourcing Regulations, OECD Due Diligence Guidance, and AML/CFT obligations, thereby safeguarding against exposure to high-risk jurisdictions and unethical sourcing practices.

2. ORIGIN OF GOLD BASED RISK ASSESSMENT

2.1. Identification and Verification of Mined Gold Origin

Promise Gold Refinery FZE establishes and maintains a robust, documented, and verifiable framework for the identification and verification of the origin of gold as a fundamental control within its Supply Chain Due Diligence and Responsible Sourcing Program. All reasonable and proportionate measures are undertaken to ensure that the origin of gold is accurately identified, independently validated, and supported by reliable evidence, in accordance with the UAE Ministry of Economy Due Diligence Regulations for Responsible Sourcing of Gold (Ministerial Decree No. 68 of 2024) and the OECD Due Diligence Guidance.

The identification of gold origin is conducted using an evidence-based and risk-based approach, and is supported by the systematic collection, verification, and analysis of:

- Supplier-provided documentation, including declarations of origin, mine or source details, and supporting certifications;
- Independent verification and research, including cross-referencing information against credible external sources, risk intelligence, and regulatory data;
- Chain-of-custody documentation, ensuring traceability of gold from the point of origin through all intermediaries to the refinery;
- Transportation, shipping, and export documentation, including customs records, export permits, logistics documentation, and proof of lawful movement of gold.

All information obtained is subject to verification controls to assess its authenticity, consistency, completeness, and reliability. Reliance is not placed solely on supplier declarations, and independent validation is performed where required based on the assessed risk level. Where inconsistencies, gaps, or red flags are identified, Promise Gold Refinery FZE applies Enhanced Due Diligence (EDD) measures, which may include additional documentation requests, independent source verification, escalation to the Compliance Officer and Responsible Sourcing Officer, and suspension of transactions pending satisfactory resolution.

2.2. Specific controls are implemented to detect and prevent:

- misrepresentation of newly mined gold as recycled or secondary material;
- falsification or manipulation of origin and export documentation;
- concealment of sourcing from Conflict-Affected and High-Risk Areas (CAHRAs) or sanctioned jurisdictions;
- breaks, gaps, or inconsistencies in chain-of-custody records.

The identification and verification of gold origin is maintained as a continuous and ongoing process, with periodic reassessment conducted based on transaction activity, supplier risk profile, and emerging risk indicators. All origin verification records, supporting documentation, and assessment outcomes are fully documented, securely maintained, and retained in accordance with UAE regulatory requirements, ensuring:

- complete audit trail integrity;
- readiness for inspection by the Ministry of Economy and other competent authorities;
- traceability of decisions and verification outcomes.

Through the implementation of this controlled and auditable framework, Promise Gold Refinery FZE ensures that all gold processed within its operations is sourced from legitimate, traceable, and responsible origins, and that the supply chain remains fully compliant with applicable regulatory and international standards.

2.3. Mined Gold Origin Identification and Verification:

Promise Gold Refinery FZE applies a structured and evidence-based approach to the identification and verification of origin for mined gold as part of its Supply Chain Due Diligence Framework. For mined gold, the origin is defined as the specific mine of extraction, including cases where gold is produced as a by-product of other mining activities (such as copper or other base metal mining).

The identification of origin is supported by verifiable documentation and independent validation measures to ensure accuracy and traceability. Enhanced due diligence measures are applied to all mined gold supply chains to ensure that the source is legitimate, lawful, and compliant with applicable regulatory and responsible sourcing standards.

These measures include:

- Verification of the legitimacy of the mining operation, including validation of mining licenses, permits, ownership details, and regulatory compliance status within the country of origin;
- Assessment of the nature and scale of mining activities, including differentiation between artisanal and small-scale mining (ASM) and large-scale mining (LSM), and evaluation of associated risk exposure;
- Detection of misrepresentation risks, including controls to identify and prevent the misclassification of newly mined gold as by-product material or recycled gold in order to obscure its true origin;
- Verification of consistency between declared origin and supporting documentation, including mine production records, export permits, transport documentation, and chain-of-custody records;
- Cross-verification using independent sources, where necessary, to confirm the authenticity of the mine, its operational status, and its involvement in lawful extraction activities.

Where discrepancies, inconsistencies, or red flag indicators are identified, Promise Gold Refinery FZE applies Enhanced Due Diligence (EDD) measures, including escalation to the Compliance Officer and Responsible Sourcing Officer, additional documentation requirements, and suspension of transactions pending satisfactory resolution. Where discrepancies, inconsistencies, or red flag indicators are identified, Promise Gold Refinery FZE applies Enhanced Due Diligence (EDD) measures, including escalation to the Compliance Officer and Responsible Sourcing Officer, additional documentation requirements, and suspension of transactions pending satisfactory resolution All due diligence findings, verification records, and supporting documentation are fully documented and maintained, ensuring complete traceability and audit trail integrity, and are made available for inspection by the Ministry of Economy and other competent authorities upon request.

2.4.Mined Gold Origin Identification & Verification Process Table

Step No.	Process Stage	Control Objective	Key Control Activities	Documentation Required	Responsible Function	Risk Indicators / Red Flags
1	Supplier Submission	Ensure initial transparency of source	Collection of supplier declaration and mine origin details	Supplier Declaration, Mine Origin Declaration, Invoice	Procurement / Operations	Missing or vague origin details
2	Supplier KYC & Onboarding	Verify legitimacy of supplier	Conduct KYC, UBO identification, license validation, sanctions screening	Trade License, MOA, UBO Declaration, Passport Copies	Compliance / KYC Team	Complex ownership, shell entities, sanctions hits
3	Mine Origin Identification	Establish actual source of gold	Identify specific mine of extraction including by-product classification	Mine License, Mining Permit, Production Details	Responsible Sourcing Officer	Misclassification of mined vs by-product gold
4	Mine Legitimacy Verification	Confirm lawful mining operations	Validate mining permits, regulatory compliance, ownership authenticity	Government Issued Mining License, Regulatory Records	Responsible Sourcing / Compliance	Expired/invalid licenses, unregistered mining
5	Nature of Mining Assessment	Determine risk profile (ASM vs LSM)	Assess scale and type of mining operations	Site Info, Mining Reports, Supplier Declarations	Responsible Sourcing Officer	ASM exposure, informal mining indicators

6	Chain of Custody Verification	Ensure traceability from mine to refinery	Review full chain of custody including intermediaries	Chain-of-Custody Records, Transfer Docs	Operations / Compliance	Gaps in custody trail
7	Transport & Export Validation	Confirm lawful movement of gold	Verify transport routes, export permits, customs declarations	Export Permit, Customs Docs, Shipping Records	Logistics / Compliance	Unusual routes, inconsistent transit countries
8	Cross Verification	Independently validate source information	Verify against external databases, risk intelligence, and public sources	External Reports, Risk Databases, Industry Sources	Compliance / Risk Team	Mismatch with external data
9	Red Flag Assessment	Identify OECD Annex II risks	Screen for human rights abuse, conflict links, illicit sourcing indicators	Screening Reports, Red Flag Register	Compliance / MLRO	CAHRA exposure, adverse media
10	Enhanced Due Diligence (EDD)	Address high-risk scenarios	Conduct deeper verification, request additional documents, possible site visits	Additional Docs, Site Visit Reports, Audit Reports	Compliance / Responsible Sourcing	High-risk geography, PEP involvement
11	Risk Classification	Assign risk level	Classify supplier as Low / Medium / High Risk based on findings	Risk Assessment Sheet, Scoring Model	Compliance / Risk Function	High residual risk
12	Approval / Rejection Decision	Ensure controlled onboarding	Approve, escalate, or reject supplier based on risk outcome	Approval Memo, Committee Minutes	Compliance / Senior Management	Unresolved risks
13	Record Keeping & Audit Trail	Ensure audit readiness	Maintain complete documentation and traceability	All Above Documents, Audit Logs	Compliance	Missing documentation
14	Ongoing Monitoring	Ensure continued compliance	Periodic review, transaction monitoring, trigger-based reassessment	Monitoring Reports, Transaction Logs	Compliance / Operations	Change in behavior, new risks

1. **Supplier Submission:** Promise Gold Refinery FZE requires all suppliers to submit complete and accurate origin-related documentation at the initial stage of engagement, including mine origin declarations, commercial invoices, and supporting evidence of source. No transaction or onboarding process shall proceed unless sufficient information is obtained to establish baseline transparency regarding the origin of gold. Incomplete, inconsistent, or unclear submissions are treated as risk indicators and may result in escalation or rejection.
2. **Supplier KYC and Onboarding:** Promise Gold Refinery FZE conducts comprehensive Customer Due Diligence (CDD) on all suppliers prior to establishing a business relationship. This includes verification of legal existence, licensing status, ownership structure, Ultimate Beneficial Ownership (UBO), and screening against sanctions lists, Politically Exposed Person (PEP) databases, and adverse media sources. Suppliers demonstrating elevated risk characteristics are subject to Enhanced Due Diligence (EDD) prior to approval.

3. **Identification of Mine Origin:** The origin of mined gold is formally identified as the specific mine of extraction, including cases where gold is produced as a by-product of other mining activities. Promise Gold Refinery FZE ensures that origin declarations are specific, verifiable, and supported by appropriate documentation, and does not accept vague or unverifiable origin descriptions.
4. **Verification of Mine Legitimacy:** Promise Gold Refinery FZE verifies the legitimacy of the mining operation by validating mining licenses, permits, ownership records, and regulatory compliance status within the jurisdiction of operation. Only gold sourced from lawfully operating and authorized mining entities is accepted. Any indication of illegal or unregulated mining activity results in immediate escalation and potential rejection.
5. **Assessment of Mining Type (ASM vs LSM):** Promise Gold Refinery FZE assesses the nature and scale of mining operations, distinguishing between Artisanal and Small-Scale Mining (ASM) and Large-Scale Mining (LSM). ASM sources are recognized as inherently higher risk and are subject to enhanced due diligence measures, including additional verification and monitoring controls.
6. **Chain of Custody Verification:** Promise Gold Refinery FZE ensures full traceability of gold through the verification of chain-of-custody records, documenting the movement of gold from the point of extraction through all intermediaries to the refinery. Any gaps, inconsistencies, or unexplained transfers within the supply chain are treated as material red flags and require further investigation.
7. **Transport and Export Validation:** All shipments of mined gold are subject to verification of transportation and export documentation, including customs declarations, export permits, and logistics records. Promise Gold Refinery FZE ensures that gold has been transported through lawful and transparent channels and that declared routes are consistent with supporting documentation.
8. **Independent Cross Verification:** Promise Gold Refinery FZE performs independent verification of supplier-provided information using credible external sources, including regulatory databases, industry reports, and risk intelligence tools. This ensures that origin claims and supply chain information are not solely reliant on supplier declarations and are independently validated.
9. **Red Flag Identification and Assessment:** All supply chain information is assessed against OECD Annex II risk indicators and internal red flag frameworks. Indicators relating to conflict exposure, human rights abuses, corruption, illicit sourcing, or financial crime are systematically identified and documented. The presence of red flags triggers enhanced due diligence and escalation procedures.
10. **Enhanced Due Diligence (EDD):** Where higher-risk indicators are identified, Promise Gold Refinery FZE applies Enhanced Due Diligence measures, including additional documentation requirements, deeper verification processes, and, where necessary, site visits or third-party validation. Transactions may be suspended until risks are adequately mitigated.
11. **Risk Classification:** Following completion of due diligence, each supplier and supply chain is assigned a risk classification (Low, Medium, High, or Prohibited) based on defined risk criteria. This classification determines the level of monitoring, approval authority, and ongoing controls applied to the relationship.
12. **Approval, Escalation, or Rejection:** All sourcing decisions are subject to a formal approval and escalation framework. High-risk cases are escalated to the Compliance Officer, Responsible Sourcing Officer, and relevant governance committees. Suppliers may be approved, conditionally approved, or rejected based on the outcome of the risk assessment. All decisions are documented and supported by evidence.

13. **Record Keeping and Audit Trail:** Promise Gold Refinery FZE maintains comprehensive records of all due diligence activities, documentation, risk assessments, and decisions. Records are retained in accordance with UAE. Regulatory requirements and are maintained to ensure full audit trail integrity and inspection readiness by the Ministry of Economy and other competent authorities.
14. **Ongoing Monitoring and Review:** Supply chain due diligence is maintained as an ongoing process, with periodic reviews, transaction monitoring, and event-driven reassessments conducted throughout the business relationship. Changes in supplier risk profile, transaction behaviour, or external risk indicators trigger immediate reassessment and appropriate action**.**

Gold Origin Verification – Unified Document Checklist

Document Requirement	Purpose / Control Objective
Supplier Declaration of Origin (Signed & Stamped)	Establish initial origin claim
Mine Origin Declaration	Identify source of gold
Country of Origin Certificate	Confirm jurisdiction of origin
Gold Source Type Declaration (Mined/Recycled/By-product)	Validate classification of gold
Beneficial Ownership Declaration	Link ownership to source
Mining License / Permit	Verify lawful mining activity
Mine Registration Certificate	Confirm official registration
Mining Concession Agreement	Validate mining rights (if applicable)
Production / Output Reports	Confirm operational activity
Environmental / Regulatory Approvals	Ensure regulatory compliance
Government Compliance Certificate	Validate compliance with laws
Chain-of-Custody Declaration	Ensure traceability
Transfer Certificates	Track movement between parties
Upstream Purchase Agreements	Verify transaction legitimacy
Delivery Notes / Receipts	Confirm physical transfer
Material Movement Records	Ensure continuity in supply chain
Export Permit	Verify legal export
Customs Declarations	Confirm lawful trade
Airway Bill / Bill of Lading	Validate shipment details
Packing List	Confirm shipment contents
Logistics / Shipment Records	Track transport route
Transport Security Evidence	Ensure integrity of shipment
Commercial Invoice	Validate transaction value
Sales / Purchase Agreement	Establish contractual terms
Proof of Payment (SWIFT / Bank Transfer)	Confirm financial legitimacy
Payment Consistency Check	Validate SoF/SoW alignment
Weighing Report	Verify quantity received
Sampling Report	Validate material composition
Assay Report	Confirm gold purity
Material Receipt Note (MRN)	Record intake of material
Internal Inspection Report	Validate consistency with docs
Trade License / Incorporation Certificate	Verify legal existence
Memorandum & Articles of Association	Confirm structure & control
UBO Identification Documents	Identify beneficial owners
Passport Copies (Owners/Signatories)	Identity verification
Board Resolution / Authorization Letter	Confirm authority
PEP Declaration	Identify political exposure
Sanctions Screening Results	Ensure no restricted entities
Adverse Media Screening Report	Identify reputational risks
Supplier Risk Assessment Report	Evaluate overall risk
CAHRA Risk Assessment	Identify conflict exposure
Red Flag Assessment Record	Capture risk indicators
Enhanced Due Diligence Report	Investigate high-risk cases
Site Visit Report	Validate physical operations
Internal Approval / Committee Decision	Document approval process
Periodic Re-KYC Records	Ensure updated information
Transaction Monitoring Reports	Identify suspicious activity
Updated Risk Assessment	Reflect current risk profile
Incident / Red Flag Register	Track compliance issues
Regulatory Reporting Records	Ensure compliance reporting

11. IDENTIFICATION AND VERIFICATION FRAMEWORK RECYCLED GOLD ORIGIN

Promise Gold Refinery FZE applies a structured and evidence-based approach to the identification and verification of recycled gold to ensure that all material classified as recycled is legitimate, traceable, and not used as a channel to conceal the origin of newly mined or illicit gold. For the purpose of supply chain due diligence, the origin of recycled gold is defined as the point at which gold enters the formal recycling stream, being the stage at which it is first sold, transferred, or returned to a recognized recycler, refiner, or authorized market participant for processing. The refinery ensures that this point of origin is clearly identified, documented, and supported by verifiable evidence prior to accepting any recycled gold into its supply chain.

11.1 CONTROL FRAMEWORK FOR RECYCLED GOLD

Promise Gold Refinery FZE has established a comprehensive and risk-based control framework governing the sourcing, verification, and acceptance of recycled gold, ensuring full alignment with the UAE Ministry of Economy Due Diligence Regulations for Responsible Sourcing of Gold (Ministerial Decree No. 68 of 2024), the OECD Due Diligence Guidance, and applicable UAE AML/CFT legislation. This framework is formally embedded within the refinery's Supply Chain Policy and is operationalized through defined procedures, control checkpoints, documentation requirements, and escalation protocols across the supplier onboarding, transaction execution, and ongoing monitoring lifecycle. Recycled gold is treated as a distinct risk category within the supply chain, requiring specific verification controls to ensure that such material is not used as a mechanism to conceal the origin of newly mined, illicit, or conflict-associated gold.

1. Verification of Recycled Gold Authenticity – Policy Implementation

Promise Gold Refinery FZE requires that all recycled gold undergo structured verification prior to acceptance into the supply chain. This requirement is embedded within the Supplier Onboarding and Material Acceptance Procedures.

Implementation includes:

- mandatory submission of supplier declarations clearly identifying the material as recycled gold
- classification of recycled gold types (e.g., scrap jewellery, industrial by-products, post-consumer gold) within supplier documentation
- physical inspection and assessment of material characteristics at the refinery intake stage to ensure consistency with declared recycled origin
- verification of supporting documentation, including invoices, prior ownership records, recycling certificates, or equivalent evidence

Operational teams are required to validate documentation completeness and consistency as part of first-line controls, while Compliance and Responsible Sourcing functions perform independent review and verification. Any inconsistencies between declared origin and material characteristics are formally recorded as red flags, triggering escalation in accordance with the refinery's escalation framework.

2. Prevention of Misrepresentation of Mined Gold

Recognizing the inherent risk of misclassification of newly mined gold as recycled gold, Promise Gold Refinery FZE incorporates targeted controls within its Risk Identification and Red Flag Framework.

Implementation includes:

- comparative analysis of supplied material against typical recycled gold profiles, including volume, purity, and form
- identification of anomalies such as unusually large volumes of recycled gold originating from mining jurisdictions
- cross-referencing supplier business activities with the nature of supplied material
- application of OECD Annex II risk indicators and internally defined red flag scenarios

Where indicators of potential misrepresentation are identified:

- cases are escalated to the Compliance Officer and Responsible Sourcing Officer
- Enhanced Due Diligence (EDD) is initiated, including additional documentation, independent verification, or site inspections
- transactions are suspended pending resolution of identified risks

This control ensures that recycled gold classification cannot be used to bypass regulatory scrutiny or due diligence requirements.

3. Traceability and Source Verification Policy Implementation

Traceability of recycled gold is enforced through the refinery's Chain-of-Custody and Documentation Control Framework, ensuring full transparency from the point of entry into the recycling stream.

Implementation includes:

- mandatory collection of chain-of-custody documentation covering all intermediaries
- verification of prior ownership records and transaction history
- validation of supplier-provided documentation against independent data sources where available
- identification and verification of all intermediaries involved in the supply chain

The refinery enforces a zero-tolerance approach to breaks in traceability, whereby:

- any gaps, inconsistencies, or unexplained transfers are treated as material red flags
- such cases are escalated for further investigation and subject to EDD measures
- unresolved traceability issues may result in rejection or disengagement

4. Risk-Based Due Diligence Application – Policy Implementation

Recycled gold is subject to the refinery's Enterprise-Wide Risk-Based Due Diligence Framework, ensuring that the level of scrutiny applied is proportionate to the identified risk.

Implementation includes structured risk assessment across:

- geographic exposure, including CAHRA considerations
- supplier risk profile, including UBO transparency, PEP exposure, sanctions screening, and adverse media findings
- transaction characteristics, including value, frequency, and payment mechanisms
- presence of red flags or inconsistencies in documentation

Based on the outcome of risk assessment:

- suppliers and transactions are classified as Low, Medium, High, or Prohibited risk
- Enhanced Due Diligence (EDD) is applied to higher-risk cases, including deeper verification, additional documentation, and senior management approval
- high-risk sourcing decisions are subject to governance oversight and formal approval mechanisms

5. Ongoing Monitoring and Review – Policy Implementation

Promise Gold Refinery FZE ensures that recycled gold sourcing is not treated as a one-time verification exercise but as an ongoing compliance obligation integrated into the Continuous Monitoring Framework.

Implementation includes:

- periodic re-assessment of supplier risk profiles (Re-KYC)
- transaction monitoring to identify unusual patterns or deviations from expected behaviour
- re-validation of documentation and declarations during the course of the relationship
- updating of risk classifications based on new information, adverse media, or regulatory developments
- maintenance of red flag registers and escalation logs

Event-driven reviews are conducted where trigger events arise, including:

- changes in supplier ownership or structure
- unusual transaction patterns
- adverse intelligence or sanctions alerts

Governance and Accountability

The implementation of the recycled gold control framework is supported through the refinery's governance structure:

- First Line of Defence (Operations & Procurement): responsible for initial document collection, verification, and material inspection
- Second Line of Defence (Compliance / MLRO / Responsible Sourcing Officer): responsible for oversight, risk assessment, EDD, and escalation decisions
- Third Line of Defence (Internal / External Audit): responsible for independent validation of control effectiveness

Control Objective

Through the implementation of this structured control framework, Promise Gold Refinery FZE ensures that:

- recycled gold accepted into the refinery is genuine, traceable, and compliant
- risks of misrepresentation, illicit sourcing, and financial crime are effectively identified and mitigated
- full alignment is maintained with UAE regulatory requirements and OECD responsible sourcing standards
- the integrity, transparency, and audit readiness of the refinery's supply chain are consistently upheld

RECYCLED GOLD ORIGIN IDENTIFICATION & VERIFICATION – PROCESS TABLE

Step No.	Process Stage	Control Activity	Key Documents / Evidence
1	Supplier Submission	Obtain declaration confirming gold is recycled and details of origin point	Supplier Declaration, Origin Declaration, Invoice
2	Supplier KYC & Onboarding	Conduct full CDD including UBO, sanctions, PEP, adverse media	Trade License, UBO Docs, Screening Reports
3	Identification of Recycled Origin Point	Identify point where gold entered recycling stream	Prior ownership records, recycling entry records
4	Classification of Recycled Gold Type	Validate type (scrap jewellery, industrial, post-consumer)	Material Declaration, Product Description
5	Physical Material Assessment	Inspect physical form and condition of gold	Intake Inspection Report, Photos, Assay Pre-check
6	Verification of Supporting Documentation	Validate invoices, ownership history, recycling certificates	Invoices, Recycling Certificates, Transfer Docs
7	Chain of Custody Verification	Trace movement from recycling point to refinery	Chain-of-Custody Records, Transfer Certificates
8	Transport & Logistics Validation	Verify transport route and shipment integrity	Airway Bill, Customs Docs, Packing List
9	Independent Cross Verification	Validate supplier claims using external sources	External databases, market intelligence, reports
10	Red Flag Identification	Assess against OECD Annex II and internal red flags	Red Flag Register, Risk Assessment Sheet
11	Misrepresentation Check	Detect if mined gold is disguised as recycled	Comparative analysis (volume, form, origin)
12	Enhanced Due Diligence (EDD)	Apply deeper checks for high-risk cases	EDD Report, Site Visit Report, Third-party verification
13	Risk Classification	Assign risk level (Low / Medium / High / Prohibited)	Risk Assessment Matrix
14	Approval / Escalation	Approve, conditionally approve, or reject supplier/transaction	Approval Memo, Committee Decision
15	Record Keeping	Maintain full audit trail of documents and decisions	Due Diligence File, Audit Logs
16	Ongoing Monitoring	Conduct periodic review and transaction monitoring	Monitoring Reports, Re-KYC Records

12. IDENTIFICATION AND VERIFICATION FRAMEWORK GRANDFATHERED STOCKS

Promise Gold Refinery FZE recognizes the concept of Grandfathered Stocks in accordance with internationally accepted responsible sourcing frameworks and applicable UAE regulatory expectations. For gold material where a verifiable and documented date of extraction, production, or entry into the supply chain is established as prior to 1 January 2012, the Refinery may, on a risk-based basis, exempt such material from full origin determination requirements, provided that:

- Sufficient and reliable documentation is obtained to substantiate the pre-2012 status (e.g., historical invoices, refinery records, inventory logs, or third-party certifications);
- The material is assessed to be consistent with the declared historical origin and nature of supply; and
- There are no indicators suggesting misrepresentation or falsification of the material's history.

Notwithstanding the above, Promise Gold Refinery FZE applies a strict risk-based override principle, whereby:

- If any red flags are identified including but not limited to concerns relating to money laundering, terrorist financing, proliferation financing, sanctions exposure, conflict financing, or human rights abuses the material shall no longer qualify for simplified treatment as Grandfathered Stock;
- In such cases, the Refinery shall conduct enhanced supply chain due diligence, including:
  - Re-assessment of the supplier and all intermediaries
  - Verification of chain-of-custody and ownership history
  - Screening against sanctions, PEP, and adverse media databases
  - Evaluation of potential links to Conflict-Affected and High-Risk Areas (CAHRA)

12.1. LOCATION-BASED RISK IDENTIFICATION

Promise Gold Refinery FZE conducts a structured and comprehensive assessment of geographic and jurisdictional risks across its supply chain as part of its Risk-Based Approach (RBA) to responsible sourcing and AML/CFT compliance. This assessment is undertaken using reasonable efforts and supported by credible, independent, and internationally recognized sources of information to ensure that risks arising from the origin, transit, and destination of gold are appropriately identified, evaluated, and mitigated.

The refinery recognizes that geographic exposure is a critical determinant of supply chain risk and therefore evaluates each jurisdiction involved in the supply chain against a defined set of risk factors, as outlined below:

- Money Laundering (ML)
- Terrorist Financing (TF)
- Proliferation Financing (PF)
- Sanctions evasion
- Conflict financing, including association with armed groups
- Human rights abuses, including forced labour and child labour
- Illicit mining, smuggling, or other unlawful extraction and trade activities

The geographic risk assessment framework forms a critical pillar of the refinery's Risk-Based Approach (RBA) and is fully integrated into its supply chain due diligence, supplier onboarding, transaction monitoring, and ongoing risk management processes.

Regulatory and International Alignment

This framework is established and implemented in full alignment with:

- Federal Decree-Law No. 10 of 2025 on Anti-Money Laundering, Combating the Financing of Terrorism, and Proliferation Financing (AML/CFT/CPF)
- Cabinet Decision No. 134 of 2025, being the Executive Regulations of the AML/CFT Law
- Ministerial Decree No. 68 of 2024 on Due Diligence Regulations for Responsible Sourcing of Gold
- OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas (CAHRAs), including Annex II risk indicators
- Applicable UAE regulatory guidance relating to sanctions compliance, financial crime prevention, and ethical sourcing practices
- OECD Due Diligence Guidance for CAHRA

12.2. LOCATION BASED FACTOR OF RISK ASSESSMENT

1. AML/CFT AND REGULATORY ENVIRONMENT

Promise Gold Refinery FZE conducts a structured and evidence-based assessment of the Anti-Money Laundering, Counter-Terrorist Financing, and Proliferation Financing (AML/CFT/CPF) regulatory environment of the supplier's jurisdiction, as well as any country forming part of the supply chain, to determine the level of financial crime risk exposure. This assessment includes evaluating the jurisdiction's alignment with internationally recognized standards, particularly the Financial Action Task Force (FATF) recommendations, assessing the effectiveness of regulatory supervision and enforcement mechanisms, and identifying jurisdictions with weak, deficient, or non-compliant AML/CFT frameworks. Jurisdictions that demonstrate inadequate regulatory controls, limited enforcement capability, or are identified by FATF as higher risk are classified as elevated risk and are subject to enhanced due diligence measures, including increased scrutiny, additional verification requirements, and senior-level approval prior to establishing or continuing business relationships.

https://www.fatf-gafi.org/en/publications/Fatfgeneral/outcomes-fatf-plenary-june-2024.html
https://www.knowyourcountry.com/ratings-table/
https://www.fatf-gafi.org/en/countries/global-network/middle-east-and-north-africa-financial-action-task-force--menafa.html

2. CONFLICT AND HUMAN RIGHTS RISK

Promise Gold Refinery FZE conducts a comprehensive and evidence-based assessment of conflict exposure and human rights risks across all jurisdictions associated with its supply chain, including countries of origin, transit, and destination. This assessment includes identifying regions affected by armed conflict, political instability, or the presence of non-state armed groups, as well as evaluating risks related to serious human rights abuses such as forced labour, child labour, exploitation, and inhumane or degrading treatment. The refinery relies on credible and internationally recognized sources, including OECD guidance, United Nations reports, and independent human rights organizations, to assess the severity and prevalence of such risks. Jurisdictions exhibiting indicators of conflict or systemic human rights violations are classified as high risk and may be designated as Conflict-Affected and High-Risk Areas (CAHRAs), triggering enhanced due diligence measures, heightened monitoring, and senior-level oversight in accordance with the refinery's responsible sourcing and AML/CFT compliance framework.

https://www.ohchr.org/en/countries
https://www.amnesty.org/en/countries/
https://www.hrw.org

3. CORRUPTION AND BRIBERY RISK

Promise Gold Refinery FZE conducts a structured and evidence-based assessment of corruption and bribery risks across all jurisdictions connected to its supply chain, including countries of origin, transit, and destination, to identify exposure to illicit practices that may compromise the integrity of gold sourcing. This assessment includes evaluating internationally recognized corruption indices and governance indicators, identifying jurisdictions characterized by widespread bribery or weak anti-corruption enforcement frameworks, and assessing the risk of illicit payments, facilitation practices, or undue influence within the supply chain. The refinery relies on credible sources such as Transparency International, World Bank governance indicators, and regulatory advisories to inform its assessment. Jurisdictions demonstrating high levels of corruption or ineffective anti-corruption controls are classified as elevated risk, triggering enhanced due diligence measures, increased scrutiny of transactions and counterparties, and heightened monitoring to mitigate risks associated with illicit sourcing, financial crime, and regulatory non-compliance.

https://www.transparency.org
https://www.traceinternational.org

4. CRIMINAL ORGANIZATION AND ILLICIT ACTIVITY RISK

Promise Gold Refinery FZE conducts a comprehensive and intelligence-driven assessment of the presence or potential involvement of organized criminal groups across all jurisdictions associated with its supply chain, including countries of origin, transit, and destination. This assessment specifically considers exposure to networks engaged in illegal mining, gold smuggling, money laundering, trade-based financial crime, trafficking, and other forms of illicit activity that may compromise the integrity of the gold supply chain. The refinery relies on credible and internationally recognized sources, including FATF reports, law enforcement intelligence, and global risk databases, to identify jurisdictions with elevated levels of criminal activity or systemic vulnerabilities. Jurisdictions characterized by significant organized crime presence or weak law enforcement controls are classified as high risk, triggering enhanced due diligence measures, increased scrutiny of transactions and counterparties, and escalation to the Compliance Officer and Responsible Sourcing Officer for further assessment and approval in line with the refinery's risk-based supply chain framework.

https://globalinitiative.net/initiatives/ocindex
https://www.unodc.org

5. PROXIMITY TO CONFLICT-AFFECTED AND HIGH-RISK AREAS (CAHRAS)

Promise Gold Refinery FZE conducts a structured and risk-based assessment of the geographic proximity of all supply chain locations to Conflict-Affected and High-Risk Areas (CAHRAs), recognizing that indirect exposure to conflict-related risks may arise even where gold is not directly sourced from such areas. This assessment includes identifying jurisdictions that border, transit through, or maintain economic or logistical links with CAHRAs, evaluating access routes to high-risk markets or processing hubs, and assessing the potential for diversion, aggregation, or mixing of gold originating from high-risk regions. The refinery applies heightened scrutiny to supply chains connected to such jurisdictions, as proximity to CAHRAs significantly increases the likelihood of indirect exposure to conflict financing, illicit sourcing, and human rights risks. Where such exposure is identified, the jurisdiction is classified as elevated risk and is subject to enhanced due diligence measures, strengthened chain-of-custody verification, and senior-level review in accordance with the refinery's responsible sourcing and risk management framework.

https://www.ohchr.org
https://www.hrw.org

6. LAW ENFORCEMENT EFFECTIVENESS

Promise Gold Refinery FZE conducts a structured and evidence-based assessment of the effectiveness of law enforcement and judicial systems across all jurisdictions associated with its supply chain, including countries of origin, transit, and destination. This assessment evaluates the capacity of competent authorities to investigate, prosecute, and deter financial crime, illegal mining, smuggling, and other illicit activities, as well as the strength of regulatory oversight and the consistency of compliance enforcement. It further considers the presence of systemic weaknesses, institutional limitations, or lack of enforcement capability that may undermine the effectiveness of legal and regulatory frameworks. Jurisdictions exhibiting weak law enforcement, limited prosecutorial effectiveness, or inadequate regulatory supervision are classified as elevated risk, as such environments increase the likelihood of illicit activities within the supply chain. In such cases, enhanced due diligence measures are applied, including increased scrutiny of counterparties, strengthened verification controls, and escalation in accordance with the refinery's risk-based supply chain framework.

https://worldjusticeproject.org
https://data360.worldbank.org/en/dataset/WJP_ROL

7. PAYMENT MECHANISM RISK

Promise Gold Refinery FZE conducts a structured and risk-based assessment of payment mechanisms utilized within its supply chain to ensure that all financial flows are transparent, traceable, and compliant with applicable Anti-Money Laundering, Counter-Terrorist Financing, and Proliferation Financing (AML/CFT/CPF) requirements. This assessment includes evaluating whether transactions are conducted through formal, regulated banking systems or involve informal, cash-based, or non-banking channels, reviewing the use of third-party payments or complex financial arrangements that may obscure the true source or destination of funds, and assessing overall alignment with financial transparency and AML/CFT control standards. Transactions involving cash payments, informal value transfer systems, or non-transparent payment structures are classified as elevated risk and are subject to enhanced due diligence measures, including additional verification of source of funds and source of wealth, increased transaction monitoring, and senior-level approval in accordance with the refinery's risk-based supply chain and financial crime compliance framework.

https://baselgovernance.org/basel-aml-index

8. SANCTIONS AND EMBARGO EXPOSURE

Promise Gold Refinery FZE conducts comprehensive and continuous sanctions screening across its entire supply chain to identify any exposure to sanctioned jurisdictions, entities, or individuals. This includes screening against the United Nations Security Council (UNSC) sanctions lists, the UAE national sanctions list, and applicable international embargoes and trade restrictions. The screening process is applied at onboarding, prior to transaction execution, and on an ongoing basis to ensure real-time compliance with evolving sanctions regimes. Any direct or indirect involvement of sanctioned jurisdictions, designated persons, or restricted entities is treated as a critical compliance risk. In such cases, transactions are immediately halted, and the matter is escalated to the Compliance Officer / MLRO for assessment and action in accordance with UAE regulatory requirements. Where required, appropriate regulatory reporting obligations are fulfilled, including notifications to competent authorities. The refinery adopts a zero-tolerance approach to sanctions breaches, and any confirmed exposure may result in rejection of the transaction, suspension of the relationship, or termination of the supplier in line with its AML/CFT and responsible sourcing framework.

https://www.un.org/securitycouncil/sanctions/information
https://www.uaeiec.gov.ae
https://ofac.treasury.gov
https://www.sanctionsmap.eu

9. CAHRA INVOLVEMENT

Promise Gold Refinery FZE conducts a structured and risk-based assessment to determine whether any jurisdiction associated with its supply chain, including countries of origin, transit, or destination, is classified as a Conflict-Affected and High-Risk Area (CAHRA) in accordance with the OECD Due Diligence Guidance and relevant regulatory and risk intelligence sources. This assessment forms an integral part of the refinery's supply chain risk identification and due diligence framework. Where exposure to CAHRAs is identified, the refinery applies mandatory Enhanced Due Diligence (EDD) measures, including comprehensive verification of supply chain documentation, strengthened chain-of-custody controls, and detailed assessment of potential risks relating to conflict financing, human rights abuses, and illicit trade. Additional monitoring mechanisms are implemented to ensure ongoing oversight of the supply chain, and all transactions or supplier relationships involving CAHRA exposure are subject to heightened scrutiny. No sourcing activity involving CAHRAs shall proceed without formal review and approval by Senior Management and, where applicable, the designated compliance or responsible sourcing committee. This ensures that any residual risks are adequately identified, assessed, and mitigated in line with the refinery's responsible sourcing obligations and regulatory requirements.

https://www.cahraslist.net/
https://hiik.de/hiik/methodology/?lang=en

10. GEOPOLITICAL STABILITY

Promise Gold Refinery FZE conducts a structured and intelligence-led assessment of the political, institutional, and economic stability of all jurisdictions associated with its supply chain, including countries of origin, transit, and destination, to identify exposure to risks that may compromise the integrity, legality, and continuity of gold sourcing activities. This assessment evaluates factors such as the presence of armed conflict or civil unrest, weak governance or regulatory failure, political instability or regime volatility, and systemic corruption or institutional fragility. The refinery relies on credible and independent sources of information, including publicly available country risk reports, geopolitical intelligence, recognized country risk platforms (such as Know Your Country), and global governance and stability indicators, to inform its assessment. Jurisdictions demonstrating instability, governance weaknesses, or heightened geopolitical risk are classified as elevated risk due to the increased likelihood of supply chain disruption, illicit trade, regulatory evasion, and weakened enforcement of legal and compliance standards. Where such risks are identified, enhanced due diligence measures are applied, including heightened scrutiny of suppliers and transactions, strengthened verification controls, and escalation to the Compliance Officer and Responsible Sourcing Officer for further review and approval in line with the refinery's risk-based supply chain and responsible sourcing framework.

https://www.knowyourcountry.com/country-reports/
https://fragilestatesindex.org

GEOGRAPHICAL RISK SCORING MATRIX

Risk Factor	Weight (%)	Description
AML/CFT Regulatory Environment	15%	Strength of AML/CFT laws and enforcement
Conflict & Human Rights Risk	15%	Conflict exposure, human rights abuses
Corruption & Bribery Risk	10%	Governance and corruption levels
Criminal Organization Presence	10%	Illegal mining, smuggling networks
CAHRA Proximity / Exposure	10%	Linkage to conflict areas
Law Enforcement Effectiveness	10%	Ability to enforce laws
Payment Mechanism Risk	5%	Formal vs informal financial systems
Sanctions / Embargo Exposure	10%	UN / UAE sanctions presence
FATF Rating	10%	Grey list / Black list classification
OECD Risk Indicators	5%	Annex II risk exposure
Total	100	

SCORING SCALE

Score	Risk Level	Description
1	Low	Strong regulatory and governance environment
2	Low–Medium	Minor weaknesses
3	Medium	Moderate risk exposure
4	High	Significant risk factors present
5	Very High	Severe risk / CAHRA / sanctions exposure

DETAILED RISK SCORING MATRIX

A. AML/CFT REGULATORY ENVIRONMENT

Condition	Score
FATF compliant, strong supervision	1
Minor deficiencies	2
Moderate gaps	3
Weak framework	4
FATF Grey/Black list and weak enforcement	5

B. CONFLICT & HUMAN RIGHTS RISK

Condition	Score
Stable, no conflict	1
Minor localized issues	2
Moderate instability	3
Active conflict zones	4
Severe conflict / human rights abuses	5

C. CORRUPTION & BRIBERY RISK

Condition	Score
Low corruption (high CPI score)	1
Moderate corruption	3
High corruption	4
Systemic corruption	5

D. CRIMINAL ORGANIZATION PRESENCE

Condition	Score
No known activity	1
Limited presence	2
Moderate activity	3
Significant smuggling / illegal mining	4
Organized criminal dominance	5

E. CAHRA EXPOSURE

Condition	Score
No exposure	1
Indirect proximity	3
Bordering CAHRA	4
Direct CAHRA involvement	5

F. LAW ENFORCEMENT EFFECTIVENESS

Condition	Score
Strong enforcement	1
Moderate enforcement	3
Weak enforcement	4
Ineffective / non-functional	5

G. SANCTIONS / EMBARGO RISK

Condition	Score
No sanctions	1
Limited restrictions	3
High-risk sanctions exposure	4
Fully sanctioned jurisdiction	5

H. FATF RATING

Condition	Score
FATF compliant	1
Under monitoring	3
Grey list	4
Black list	5

I. OECD RISK INDICATORS

Condition	Score
No OECD risks	1
Minor risks	3
Annex II indicators present	4
Severe OECD risks	5

J. RISK CLASSIFICATION THRESHOLDS

Score Range	Risk Level	Action Required
1.0 – 2.0	Low Risk	Standard Due Diligence
2.1 – 3.5	Medium Risk	Enhanced Monitoring
3.6 – 4.5	High Risk	Enhanced Due Diligence (EDD)
>4.5	Prohibited / Critical	Reject / Escalate

13. RISK SCORING METHODOLOGY

1.RISK RATING SCALE

Promise Gold Refinery FZE applies a standardized and quantitative risk rating scale to ensure consistent, objective, and auditable assessment of risks across all components of its Enterprise-Wide Risk Assessment (EWRA). Each identified risk factor is assigned a score on a scale of 1 to 5, reflecting the severity of inherent risk prior to the application of mitigating controls.

Score	Risk Level	Description
1	Low	Minimal exposure; strong transparency and control environment
2	Low-Medium	Limited exposure; generally controlled with minor risk indicators
3	Medium	Moderate exposure requiring standard controls and monitoring
4	Medium-High	Elevated exposure requiring enhanced controls and oversight
5	High	Significant exposure requiring strict controls, escalation, or restriction

This structured scoring scale ensures that all risks are assessed consistently across the organization, enabling comparability, prioritization, and effective decision-making in line with the Company's Risk-Based Approach (RBA).

2.WEIGHTAGE ALLOCATION

To reflect the relative significance of different risk categories within the gold refining and DPMS sector, Promise Gold Refinery FZE applies a weighted scoring methodology. Each risk area is assigned a specific weight (%) based on its impact on the overall risk profile of the Company.

Risk Area	Weight
Customer & Supplier Risk	20%
Product Risk	20%
Transaction Risk	30%
Delivery Channel Risk	10%
Geographic Risk	10%
Supply Chain Risk	10%

The Company recognizes that Transaction Risk carries the highest weighting (30%), reflecting its position as the primary driver of financial crime exposure within the business model. Customer/Supplier Risk and Product Risk are also heavily weighted due to their direct linkage to source of funds, origin of gold, and counterparty behaviour. Each risk category is assessed individually, scored, and multiplied by its respective weight to produce a weighted inherent risk score, ensuring that the overall risk rating accurately reflects the Company's exposure profile.

3.RESIDUAL RISK CALCULATION

Promise Gold Refinery FZE applies a structured methodology to determine **Residual Risk**, defined as the level of risk remaining after the application of mitigating controls.
The calculation is as follows:

Residual Risk = Inherent Risk – Control Effectiveness Adjustment

Where:

- **Inherent Risk** represents the initial risk score assigned prior to controls
- **Control Effectiveness Adjustment** reflects the strength and effectiveness of the Company's mitigating measures

4. CONTROL EFFECTIVENESS ASSESSMENT

The Company evaluates the effectiveness of its AML/CFT controls across each risk category and assigns an adjustment score based on the strength of the control environment:

Control Effectiveness Rating	Adjustment Impact	Description
Strong	**-2**	Comprehensive, well-implemented controls with proven effectiveness
Moderate	**-1**	Adequate controls in place, with minor gaps or limitations
Weak	**0**	Limited or ineffective controls; significant gaps identified

This adjustment mechanism ensures that effective controls directly reduce residual risk, while weak or insufficient controls do not materially mitigate exposure.

5.APPLICATION OF RESIDUAL RISK SCORING

Following the application of the control effectiveness adjustment, the resulting **residual risk score** is reassessed against the standard risk rating scale to determine the final risk classification.
This ensures that:

- Risks are not only identified but also **evaluated in the context of control effectiveness**
- The Company maintains a **realistic and defensible view of its actual risk exposure**
- Decision-making is based on **post-control risk rather than theoretical exposure**

14. SUPPLIER AND CUSTOMER DUE DILIGENCE FRAMEWORK

Promise Gold Refinery FZE implements a comprehensive Customer Due Diligence (CDD) framework as a fundamental component of its Risk-Based Approach (RBA) to identify, assess, and mitigate risks associated with Money Laundering (ML), Terrorist Financing (TF), and Proliferation Financing (PF). The CDD framework is designed to ensure that the refinery conducts business only with legitimate and transparent counterparties and maintains full visibility over the origin, ownership, and movement of precious metals and associated financial transactions within its operations.

The primary objective of the Customer Due Diligence framework is to ensure that Promise Gold Refinery clearly identifies and verifies the identity of all customers, suppliers, intermediaries, agents, and other counterparties with whom it establishes a business relationship. Through the application of robust due diligence procedures, the refinery seeks to understand the nature and purpose of the business relationship, including the commercial activities of the counterparty, the source and legitimacy of the precious metals being supplied or traded, and the expected nature of transactions.

As part of the due diligence process, the refinery assesses the risk profile of each customer or supplier by evaluating a range of risk factors including customer type, geographic exposure, supply chain characteristics, transaction patterns, delivery channels, and payment mechanisms. Based on the outcome of this assessment, the refinery applies appropriate due diligence measures proportionate to the identified level of risk, ensuring that higher-risk relationships are subject to enhanced scrutiny and monitoring.

A key objective of the CDD framework is to maintain transparency across the precious metals supply chain, enabling the refinery to verify the legitimacy of suppliers, confirm the provenance of precious metals, and ensure that transactions are consistent with the declared business activities of the counterparty. Customer Due Diligence procedures are conducted prior to establishing any business relationship, prior to executing transactions that exceed applicable regulatory thresholds, and on an ongoing basis throughout the lifecycle of the business relationship. Ongoing due diligence includes periodic review of customer information, monitoring of transaction activity, and updating of customer risk profiles where necessary to ensure that the refinery maintains an accurate and up-to-date understanding of the risks associated with each counterparty.

Through the implementation of this structured and risk-based CDD framework, Promise Gold Refinery FZE ensures compliance with applicable UAE AML/CFT legislation, Ministry of Economy regulatory requirements, and responsible sourcing obligations applicable to the precious metals sector, while safeguarding the integrity of its refining and trading operations.

1. General Customer Due Diligence (CDD) Obligation

Promise Gold Refinery FZE shall implement comprehensive Customer Due Diligence (CDD) measures to identify, verify, assess, and continuously monitor all customers, suppliers, intermediaries, and counterparties in order to mitigate risks associated with Money Laundering (ML), Terrorist Financing (TF), and Proliferation Financing (PF). These measures form a core component of the refinery's Risk-Based Approach (RBA) and are implemented in accordance with applicable UAE AML/CFT legislation, Ministry of Economy regulatory requirements for Dealers in Precious Metals and Stones (DPMS), and other relevant regulatory guidance.

The level and depth of due diligence applied by Promise Gold Refinery FZE shall be proportionate to the risk rating assigned to the customer or supplier through the refinery's Customer Risk Assessment (CRA) framework. Higher-risk relationships are subject to enhanced scrutiny and additional verification procedures, while lower-risk relationships may be subject to simplified or standard due diligence measures where permitted under applicable regulatory requirements.

Promise Gold Refinery FZE shall undertake Customer Due Diligence measures in the following circumstances:

- When establishing a business relationship with any customer, supplier, intermediary, broker, or counterparty.
- When conducting occasional transactions exceeding AED 55,000, whether conducted as a single transaction or as a series of linked or related transactions.
- Where there is suspicion of Money Laundering, Terrorist Financing, or Proliferation Financing, regardless of the transaction value or threshold.
- Where there are doubts regarding the authenticity, adequacy, or reliability of previously obtained customer identification or verification data.
- Where there is a material change in the customer's risk profile, ownership structure, business activities, or transaction behaviour, which may affect the risk classification of the relationship.

Promise Gold Refinery FZE shall ensure that no business relationship is established and no qualifying transaction is executed unless appropriate Customer Due Diligence measures have been completed, verified, and documented in accordance with the refinery's AML/CFT policies and procedures. Where CDD requirements cannot be satisfactorily completed or verified, the refinery shall decline to establish the business relationship or proceed with the transaction and may consider filing a Suspicious Transaction Report (STR) with the Financial Intelligence Unit (FIU) where appropriate.

All Customer Due Diligence records and supporting documentation shall be maintained and retained in accordance with UAE AML/CFT record-keeping requirements, and shall remain available for inspection by the Ministry of Economy, the Financial Intelligence Unit (FIU), and other competent authorities for a minimum period of five (5) years following the termination of the business relationship or completion of the transaction.

Adopting the Risk-Based Approach is the best way to improve the effectiveness of the Customer Due Diligence process – Higher the risk exposure, the more stringent AML checks to be applied.

RISK-BASED CUSTOMER CLASSIFICATION

3 TYPES OF CUSTOMER DUE DILIGENCE			
Deciding Parameters	**Simplified Due Diligence**	**Standard Due Diligence**	**Enhanced Due Diligence**
Type of customer's ML/FT risk profile	**LOW**	**MEDIUM**	**HIGH**
Due Diligence measures to be applied	• Identify the UBO • Nationality of all Shareholders • Verify the identity • Screening - PEP - Sancation - Adverse Media	• Obtain Information about address and address proof • Understand the nature of business • Understand the purpose of the transaction • UBO Identification and Nationality • Screening results	• Source of Funds • Source of Wealth • PEP or PEP Association • Senior Management approval
Nature of ongoing monitoring	• Less frequent • Re KYC 12-16 Months • Re Documentation annually • 25% Transaction Review	• Regular monitoring • Re-KYC 12 Months • Re-Documentation Annually • 25%-50% Transaction Review	• More frequent monitoring • Re-KYC 12 Months • Re-Documentation Annually • 100% Transaction Review
Example of customer warranting specific due diligence	• A company listed on the recognized stock exchange • UAE Based • Simple Shareholding structure • LOB more than 5 Years • Geography location of Business • Type of Metal Traded in Fine Gold (DGD-LBMA) Local Scrap	• LLC and Free Zone company in UAE and Low Risk International Co. • Multiple Layer of ownership • LOB less than 1 year • Geography location of Business • Type of Metal Traded in Fine (Non -Certified) and Scrap (Local – International)	• LLC and Free Zone company International and High-Risk Country • Multiple Layer of ownership • LOB less than 1 year • Geography location of Business and sourcing • Type of Metal Traded in Fine (Non -Certified) and Scrap (Local – International)

Risk-Based Customer Classification

Promise Gold Refinery classifies customers and suppliers into three risk categories:

Risk Category	Due Diligence Level	Description
Low Risk	Simplified Due Diligence (SDD)	Customers with transparent ownership structures and limited ML/TF/PF exposure
Medium Risk	Customer Due Diligence (CDD)	Customers with moderate exposure requiring standard verification and monitoring
High Risk	Enhanced Due Diligence (EDD)	Customers with elevated ML/TF/PF risks requiring enhanced scrutiny

The risk classification assigned to each customer, supplier, intermediary, or counterparty of Promise Gold Refinery FZE is determined through the application of the refinery's Customer Risk Assessment (CRA) framework, which forms a key component of the Company's Risk-Based Approach (RBA) to managing Money Laundering (ML), Terrorist Financing (TF), and Proliferation Financing (PF) risks. Under this framework, each counterparty is assessed using a structured evaluation of multiple risk factors to determine the overall risk rating of the business relationship. The classification of customers into Low, Medium, or High-Risk categories is determined based on a holistic analysis of several risk indicators. These indicators include the customer profile, which considers the nature of the customer's business activities, legal structure, ownership transparency, and reputation within the market. The refinery also evaluates geographic exposure, including whether the customer or supplier operates in jurisdictions that present heightened risk, such as high-risk jurisdictions, FATF-listed jurisdictions, or conflict-affected and high-risk areas (CAHRA).

In addition, the refinery assesses product risk, particularly where transactions involve precious metals that may present increased exposure to financial crime risks due to their liquidity, portability, or supply chain complexity. The transaction patterns and expected business activity of the counterparty are also analysed to determine whether the volume, frequency, and value of transactions are consistent with the counterparty's declared business profile. The delivery channels used for the transaction, including whether the relationship involves direct engagement, intermediaries, brokers, remote onboarding, or cross-border logistics arrangements, are also considered as part of the risk assessment. Particular attention is given to the level of supply chain transparency, including the refinery's ability to verify the origin, ownership, and legitimacy of the precious metals being supplied. Based on the combined assessment of these factors, Promise Gold Refinery assigns an appropriate risk classification to the counterparty, which determines the level of Customer Due Diligence (CDD), Enhanced Due Diligence (EDD), monitoring, and approval requirements applied throughout the lifecycle of the business relationship.

Promise Gold Refinery FZE shall implement robust Customer Identification and Verification procedures as part of its Customer Due Diligence (CDD) framework to ensure that all customers, suppliers, intermediaries, and counterparties are properly identified and verified prior to establishing a business relationship or executing qualifying transactions. These procedures are designed to mitigate risks associated with Money Laundering (ML), Terrorist Financing (TF), and Proliferation Financing (PF) and are implemented in accordance with applicable UAE AML/CFT legislation and Ministry of Economy regulatory requirements applicable to Dealers in Precious Metals and Stones (DPMS).

Promise Gold Refinery shall identify every customer, whether a natural person or legal entity, permanent or occasional, and verify their identity using reliable, independent, and verifiable source documents. All identification documents obtained must be valid, clear, legible, and authentic, and must be verified prior to the execution of transactions or establishment of the business relationship, unless regulatory provisions permit verification to be completed shortly thereafter under strictly controlled conditions. Where an individual act on behalf of a customer or legal entity, Promise Gold Refinery shall verify that the individual is duly authorized to represent the customer. The refinery shall independently identify and verify the identity of such representatives and obtain documentary evidence of the authority granted, such as a board resolution, power of attorney, or written authorization letter. Records evidencing such authority shall be retained within the customer due diligence file.

The refinery shall also identify and take reasonable measures to verify the identity of the Ultimate Beneficial Owner (UBO) of any legal entity customer. The UBO is defined as the natural person or persons who ultimately own or control 25 percent or more of the ownership interests of the legal entity or who otherwise exercise effective control over the entity. Where no natural person meets the ownership threshold, Promise Gold Refinery shall identify and verify the senior managing official or controlling person responsible for the management of the entity. As part of the onboarding process, Promise Gold Refinery shall obtain sufficient information to understand the purpose and intended nature of the business relationship. This includes obtaining information regarding the counterparty's business model, commercial activities, expected transaction volumes, geographic exposure, and anticipated nature of transactions involving precious metals. This information enables the refinery to establish a baseline understanding of the customer's expected behaviour and to identify deviations from normal activity during ongoing monitoring.

The refinery shall conduct ongoing monitoring of business relationships to ensure that transactions remain consistent with the counterparty's known business activities, risk classification, and expected transaction profile. Monitoring procedures include reviewing unusual transaction patterns, large or complex transactions, inconsistencies in documentation, cross-border exposures, and any activity that may indicate potential financial crime risks. For all customers, whether natural persons or legal entities,

Promise Gold Refinery shall ensure that the following minimum due diligence measures are applied:

- Identification and verification of the customer using reliable and independent source documents.
- Verification of the identity of any individual acting on behalf of the customer.
- Identification and verification of Ultimate Beneficial Owners holding 25 percent or more ownership or exercising effective control.
- Understanding the purpose and intended nature of the business relationship.
- Conducting ongoing monitoring of transactions and customer activity.
- Ensuring that customer information and documentation remain accurate and up to date throughout the relationship.
- Refusing to establish or continue relationships with shell companies or entities lacking legitimate business purpose or transparency.

For legal persons and legal arrangements, Promise Gold Refinery shall apply additional identification and verification procedures. These include obtaining the trade license or certificate of incorporation, memorandum and articles of association or equivalent constitutional documents, verifying the registered address, head office, and principal place of business, identifying directors and senior management officials, and verifying the ownership and control structure of the entity.

Where no natural person can be identified as owning or controlling 25 percent or more of the legal entity, the refinery shall identify and verify the senior managing official responsible for the management and control of the entity, in accordance with applicable AML/CFT regulatory guidance. All identification and verification records obtained as part of the Customer Due Diligence process shall be properly documented and retained within the Customer Due Diligence file and maintained for a minimum period of five (5) years following termination of the business relationship or completion of the transaction, in accordance with applicable UAE AML/CFT record-keeping requirements. These records shall remain available for inspection by the Ministry of Economy, the Financial Intelligence Unit (FIU), and other competent authorities upon request.

2. SIMPLIFIED DUE DILIGENCE (SDD)- LOW RISK

Promise Gold Refinery FZE applies Simplified Due Diligence (SDD) measures in circumstances where the Money Laundering (ML), Terrorist Financing (TF), and Proliferation Financing (PF) risk associated with a customer or supplier is assessed as low in accordance with the Company's Risk-Based Approach (RBA) and Customer Risk Assessment (CRA) methodology. Simplified Due Diligence may be applied only where the customer demonstrates a high degree of transparency, where the ownership structure is clearly identifiable, and where the business activities and transaction profile present minimal exposure to financial crime risk. The application of SDD is subject to the condition that no risk indicators or red flags are identified during onboarding, screening, or transaction monitoring.

The application of SDD does not exempt the Company from its regulatory obligations to identify and verify customers, screen for sanctions and Politically Exposed Persons (PEPs), and conduct ongoing monitoring of transactions. Rather, SDD allows the Company to apply proportionate and reduced due diligence measures while maintaining appropriate risk controls.

1. **Complete and Verified KYC Documentation:** Promise Gold Refinery shall classify a customer or supplier as Low Risk where all required Know Your Customer (KYC) documentation has been submitted, independently verified, and reviewed without discrepancy. This includes valid identification documents, corporate registration records, constitutional documents, ownership structure details, and clear disclosure of the nature of business activities. There must be no documentation gaps, inconsistencies, or reluctance to provide required information.
2. **Transparent and Simple Ownership Structure:** Low Risk classification applies where the entity demonstrates a straightforward and transparent ownership structure with clearly identifiable Ultimate Beneficial Owner(s) holding 25% or more ownership or control. There must be no complex multi-layered corporate arrangements, nominee shareholders, bearer shares, or opaque trust structures designed to obscure ownership. All UBOs must be natural persons and must not be associated with high-risk jurisdictions.
3. **Favourable Geographic Risk Profile:** Customers or suppliers incorporated, operating, or resident in jurisdictions assessed as Low Risk may qualify for this classification. Such jurisdictions must not be subject to United Nations sanctions, UAE local sanctions, or listed under FATF High-Risk or Increased Monitoring categories. The country must demonstrate effective AML/CFT regulatory oversight and not be associated with significant corruption, terrorist financing, or proliferation risks.

4. **Regulatory and Industry Compliance Standing:** Entities that operate within a recognized regulatory and supervisory framework and demonstrate compliance with applicable laws and industry standards may qualify as Low Risk. Where applicable, alignment with internationally recognized bullion, responsible sourcing, or precious metals standards strengthens the Low-Risk determination. Regulatory transparency and accountability are key considerations.
5. **Product and Transaction Profile Consistency:** Low Risk classification may apply where the products traded are consistent with standard bullion market activity and carry minimal supply chain concerns. This includes fine gold (certified bullion) or verified local scrap with clear provenance. Shipment sizes must be commercially reasonable and proportionate to the customer's business model. There must be no sourcing from Conflict-Affected or High-Risk Areas (CAHRA), and transactions must demonstrate clear economic rationale.
6. **Transparent Delivery and Logistics Arrangements:** The supply chain and logistics arrangements must be secure, traceable, and professionally managed. Customers or suppliers using reputable, insured, and recognized logistics providers with documented chain-of-custody controls may qualify as Low Risk. There must be no unusual routing patterns or unexplained cross-border logistical structures.
7. **Transparent Payment Channels:** Low Risk customers and suppliers must conduct all transactions exclusively through regulated banking channels. No cash transactions shall be involved. Payments must be made directly to and from the verified bank account of the customer or supplier. No unrelated third-party payments, offshore intermediary accounts, or unexplained payment diversions shall be present
8. **Clean Screening Results:** Comprehensive screening through Promise Gold Refinery 's approved screening systems must confirm no sanctions matches, no Politically Exposed Person (PEP) classification or association, and no adverse media linked to financial crime, corruption, fraud, or regulatory enforcement. All screening results must be documented and retained as evidence.
9. **Established and Stable Business History:** The customer or supplier must demonstrate a legitimate, established business history within the precious metals or related sector. Transaction behaviour must align with the declared business profile, and there must be no prior compliance breaches, regulatory warnings, or suspicious reporting history.
10. **Presence of Internal Compliance Controls:** Where applicable, the entity must demonstrate the existence of internal AML/CFT controls, governance structures, and (if involved in bullion trade) responsible sourcing policies. The presence of documented compliance procedures indicates lower exposure to financial crime risk.

Ongoing Monitoring

Notwithstanding the application of Simplified Due Diligence, Promise Gold Refinery FZE maintains ongoing monitoring of all customer relationships and transactions to ensure that activities remain consistent with the customer's risk profile, declared business activities, and expected transaction behavior.

Transactions conducted by low-risk customers are periodically reviewed to identify any unusual patterns, inconsistencies, or potential red flags. Where any elevated risk indicators emerge during the course of the business relationship, the customer's risk classification will be reassessed and may be upgraded to Medium or High Risk, triggering the application of Standard Customer Due Diligence (CDD) or Enhanced Due Diligence (EDD) as appropriate.

All Simplified Due Diligence determinations, supporting documentation, and risk assessments are formally documented and retained in accordance with the Company's record retention policy, and remain available for inspection by the UAE Ministry of Economy, Financial Intelligence Unit (FIU), and other competent regulatory authorities.

Simplified Due Diligence – Course of Action

Where a customer or supplier has been assessed and documented as Low Risk through the Customer Risk Assessment (CRA) framework of Promise Gold Refinery FZE, and no indicators or suspicion of Money Laundering (ML), Terrorist Financing (TF), or Proliferation Financing (PF) are identified, the Company may apply Simplified Due Diligence (SDD) measures in accordance with its Risk-Based Approach (RBA) and the applicable AML/CFT regulatory framework of the United Arab Emirates**.**

The application of Simplified Due Diligence is conditional upon the presence of sufficient transparency regarding the identity, ownership structure, and business activities of the customer, and the absence of any risk indicators identified during onboarding, screening, or transaction analysis.

Notwithstanding the lower risk classification, Promise Gold Refinery FZE shall ensure that core identification and verification procedures are fully completed and documented. This includes:

- Identification and verification of the customer using reliable and independent documentation.
- Identification and verification of Ultimate Beneficial Owners (UBOs) in accordance with applicable regulatory requirements.
- Verification of authorized representatives and confirmation of the legitimacy of the business relationship.

In addition, sanctions screening, Politically Exposed Person (PEP) screening, and adverse media screening shall be conducted at the time of onboarding and maintained on an ongoing basis throughout the lifecycle of the business relationship. Where Simplified Due Diligence is applied, monitoring measures may be implemented on a proportionate basis, provided that transaction activity remains consistent with the customer's declared business profile, expected transaction patterns, and the nature of the commercial relationship. Any unusual or inconsistent activity identified during monitoring shall be escalated for review by the Compliance Officer.

Customers classified as **Low Risk** shall be subject to a full **Re-KYC** review every twenty-four (24) months, or earlier where triggered by risk events. Such trigger events may include, but are not limited to:

- Changes in ownership or beneficial ownership structure;
- Changes in geographic exposure or operational jurisdiction;
- Material changes in transaction behavior or volume;
- Updates in sanctions, PEP, or adverse media screening results;
- Identification of new risk indicators or emerging financial crime risks.

Simplified Due Diligence shall not be applied where any suspicion of ML, TF, or PF arises, nor where risk indicators or red flags are identified during the course of the business relationship. In such circumstances, the customer's risk classification shall be immediately reassessed, and where appropriate, the relationship shall be upgraded to Standard Due Diligence (CDD) or Enhanced Due Diligence (EDD). All Simplified Due Diligence determinations, supporting documentation, and monitoring records shall be formally documented within the Customer Due Diligence file, and retained for a minimum period of five (5) years following termination of the business relationship, in accordance with the record retention requirements of the UAE Ministry of Economy and applicable AML/CFT regulations. Records shall be maintained in a manner that ensures accessibility for inspection by the Ministry of Economy, the Financial Intelligence Unit (FIU), and other competent authorities upon request.

3. STANDARD DUE DILIGENCE – MEDIUM RISK

Promise Gold Refinery FZE applies Standard Customer Due Diligence (CDD) measures to customers and suppliers that are assessed as presenting Medium Risk within the Company's Customer Risk Assessment (CRA) framework. A Medium Risk classification indicates that there is a moderate level of exposure to Money Laundering (ML), Terrorist Financing (TF), or Proliferation Financing (PF) risks, requiring a more comprehensive due diligence process than Simplified Due Diligence, but not reaching the threshold requiring Enhanced Due Diligence (EDD).

Medium Risk customers are typically those whose activities involve elements that may increase exposure to financial crime risk but where sufficient transparency, cooperation, and documentation are available to allow the Company to establish and maintain a business relationship under appropriate monitoring controls.

The application of Standard Customer Due Diligence ensures that the identity, ownership structure, business activities, and financial profile of the customer or supplier are fully understood and documented prior to the establishment of the business relationship and prior to the execution of any material transactions.

Customers or suppliers may be classified as Medium Risk where they demonstrate characteristics including, but not limited to, the following:

1. A customer or supplier shall be categorized as Medium Risk where complete and verified KYC documentation has been obtained, including identification records, corporate documents, ownership disclosures, and confirmation of the nature and purpose of the business relationship. Documentation must be reviewed without material discrepancies; however, certain geographic, transactional, or structural factors may warrant enhanced monitoring beyond Low-Risk classification.
2. Medium Risk classification typically applies where the customer or supplier is incorporated, operating, or resident in jurisdictions assessed as Medium Risk under recognized country risk intelligence and FATF public statements. Such jurisdictions must not be subject to United Nations or UAE sanctions and must not appear on the FATF High-Risk (Blacklist) category. The country may demonstrate moderate AML/CFT effectiveness, corruption perception levels, or supervisory capacity, requiring closer review but not constituting high-risk exposure.
3. Entities in this category may operate within recognized regulatory or supervisory frameworks and may hold industry certifications relevant to bullion trading and responsible sourcing. Ownership structures are generally transparent but may involve moderate layering that does not obscure beneficial ownership. Ultimate Beneficial Owners (UBOs) must be clearly identified and verified, and may originate from Medium Risk jurisdictions provided they are not subject to sanctions or FATF High-Risk classifications.

4. Customers and suppliers in this category may engage in moderate commercial shipment volumes consistent with their declared business activities. Products traded may include fine gold (certified or non-certified) and local or international scrap gold, provided provenance is documented and supply chain transparency is maintained. Source of Funds (SoF) and Source of Wealth (SoW) documentation must be obtained and reviewed where applicable.
5. Payment activity within this classification may include limited exposure to cash transactions; however, such exposure must remain controlled and proportionate, with the majority of payments conducted through regulated banking channels. All payments must be made directly to or from the verified bank account of the customer or supplier. Third-party or related-party payment arrangements are not permitted unless supported by documented commercial rationale and formal approval.
6. Delivery arrangements must be transparent, documented, and free from unexplained third-party involvement. Chain-of-custody and logistics documentation must be reviewed to ensure traceability and legitimacy of product movement.
7. Domestic (UAE-based) Politically Exposed Persons (PEPs) may fall within the Medium Risk category where no additional high-risk indicators are present. Such relationships require documented approval and enhanced monitoring in accordance with Promise Gold Refinery 's PEP Policy.
8. Comprehensive screening through Promise Gold Refinery 's approved screening systems must confirm no sanctions matches and no adverse media linked to financial crime. Any PEP exposure must be documented and managed through appropriate escalation procedures.
9. Customers and suppliers classified as Medium Risk shall be subject to Standard Due Diligence measures, annual KYC refresh, regular transaction monitoring, and periodic sanctions and PEP re-screening. Risk classification shall be reassessed periodically and upgraded immediately where additional risk indicators arise.

Standard Customer Due Diligence Measures

For customers and suppliers classified as Medium Risk, Promise Gold Refinery FZE conducts full Customer Due Diligence (CDD) in accordance with its AML/CFT compliance framework and applicable UAE regulatory requirements. The due diligence process includes, at a minimum, the following measures:

- Identification and verification of the customer, whether a natural person or legal entity, using reliable, independent, and verifiable documentation.
- Identification and verification of Ultimate Beneficial Owners (UBOs), including individuals who ultimately own or control the customer or exercise effective control over the entity.
- Verification of authorized signatories and representatives acting on behalf of the customer or supplier.
- Understanding the nature and purpose of the business relationship, including the customer's business model, expected transaction patterns, geographic exposure, and supply chain structure.
- Verification of Source of Funds (SoF) and, where appropriate, Source of Wealth (SoW) to ensure that the funds used in transactions originate from legitimate economic activity.
- Screening against applicable sanctions lists, including the UAE-UN Consolidated Sanctions List, and screening against Politically Exposed Person (PEP) databases.
- Adverse media screening and reputation assessment to identify any credible allegations relating to financial crime, corruption, smuggling, sanctions violations, or other regulatory concerns.
- Verification of supply chain documentation, particularly where gold or precious metals originate from upstream suppliers or aggregators.

Ongoing Monitoring

Customers classified as Medium Risk are subject to ongoing monitoring throughout the lifecycle of the business relationship to ensure that transaction activity remains consistent with the customer's known business profile, declared commercial activities, and expected transaction patterns. Transaction monitoring procedures include periodic review of transaction volumes, transaction frequency, geographic exposure, and pricing consistency relative to market benchmarks. Any unusual or inconsistent activity is escalated to the Compliance Officer for review. Medium Risk customers are subject to periodic KYC review and update at intervals determined by the Company's risk-based review schedule, typically every 12 to 24 months, or earlier where triggered by changes in risk indicators such as ownership structure, transaction patterns, geographic exposure, sanctions screening results, or adverse media findings**.** Where additional risk indicators or suspicious activities emerge during the course of the relationship, the customer's risk classification may be reassessed and upgraded to High Risk, resulting in the application of Enhanced Due Diligence (EDD) measures and, where necessary, consideration of regulatory reporting obligations.

All Customer Due Diligence documentation, risk assessments, and monitoring records are maintained within the customer file and retained in accordance with the Company's record retention policy, ensuring availability for inspection by the UAE Ministry of Economy, the Financial Intelligence Unit (FIU), and other competent regulatory authorities.

Standard Due Diligence Course of Action: Medium Risk

Customers or suppliers classified as Medium Risk through Promise Gold Refinery FZE's documented Customer Risk Assessment (CRA) framework shall be subject to Standard Customer Due Diligence (CDD) measures in accordance with the Company's Risk-Based Approach (RBA) and the applicable AML/CFT regulatory requirements of the United Arab Emirates.Under the Standard CDD framework, Promise Gold Refinery FZE shall ensure that full identification and verification procedures are completed for both the customer and the Ultimate Beneficial Owner (UBO) prior to establishing or continuing a business relationship. The Company shall obtain and document sufficient information to understand the purpose and intended nature of the business relationship, including the customer's business activities, transaction expectations, geographic exposure, and supply chain involvement within the precious metals trade.

As part of the due diligence process, the Company shall conduct comprehensive screening of the customer, beneficial owners, authorized signatories, and related parties against applicable sanctions lists, Politically Exposed Person (PEP) databases, and adverse media sources. Screening results shall be reviewed and documented within the customer due diligence file.

In addition, Promise Gold Refinery FZE shall evaluate key risk indicators associated with the customer relationship, including geographic exposure, ownership structure, product type, transaction patterns, and supply chain characteristics, in order to confirm that the proposed activities are consistent with the customer's declared business profile and expected commercial activities.

Customers classified as Medium Risk shall be subject to ongoing transaction monitoring throughout the lifecycle of the relationship. Monitoring procedures include proportionate review of transaction activity, periodic sampling of transactions, and ongoing sanctions re-screening to identify any emerging risks. Any unusual, complex, or atypical transactions lacking clear economic rationale shall be promptly escalated to the Compliance Officer for further assessment and review.

Periodic KYC Review

Customers classified as Medium Risk shall undergo a full KYC refresh and review at least once every twelve (12) months, or earlier where triggered by significant changes in the customer's risk profile. Such trigger events may include:

- Changes in ownership or beneficial ownership structure
- Changes in geographic exposure or operational jurisdiction
- Material changes in transaction behaviour or trading volumes
- Sanctions, PEP, or adverse media screening alerts
- Regulatory updates or developments affecting the customer's risk classification

Where additional risk indicators emerge during the course of the business relationship, the customer shall be immediately reassessed and may be reclassified as High Risk. In such cases, the relationship shall be subject to Enhanced Due Diligence (EDD) measures and may require Senior Management approval and increased compliance oversight. All Standard Customer Due Diligence determinations, monitoring activities, and periodic review outcomes shall be fully documented within the Customer Due Diligence file and retained in accordance with the Company's record retention requirements. Such records shall remain available for inspection by the UAE Ministry of Economy, the Financial Intelligence Unit (FIU), and other competent regulatory authorities upon request.

4. ENHANCED DUE DILIGENCE (EDD) – HIGH RISK

Promise Gold Refinery FZE applies Enhanced Due Diligence (EDD) measures where customers, suppliers, intermediaries, or transactions present elevated exposure to Money Laundering (ML), Terrorist Financing (TF), or Proliferation Financing (PF) risks. The application of EDD forms a key component of the Company's Risk-Based Approach (RBA) and is implemented where the Customer Risk Assessment (CRA) identifies a higher degree of risk that cannot be adequately addressed through Standard Customer Due Diligence (CDD) measures alone.

Enhanced Due Diligence is designed to provide greater transparency, deeper verification, and heightened monitoring of high-risk relationships to ensure that the Company does not inadvertently facilitate illicit financial activity within the precious metals supply chain.

Customers or Suppliers Considered High Risk

Customers or suppliers may be classified as High Risk where one or more of the following risk indicators are identified during the onboarding process, risk assessment, or ongoing monitoring**:**

- **Politically Exposed Persons (PEPs)**, their immediate family members, or close associates, particularly where the individual holds or has held prominent public functions in high-risk jurisdictions.
- Customers, suppliers, or transactions connected to **jurisdictions identified by the Financial Action Task Force (FATF) as High-Risk Jurisdictions or jurisdictions under Increased Monitoring (Grey List)**.
- Gold or precious metals sourced from **Conflict-Affected and High-Risk Areas (CAHRA)** or jurisdictions associated with armed conflict, political instability, weak governance, or human rights concerns.

- Customers with **complex, multi-layered, or opaque ownership structures** that may obscure the identity of the Ultimate Beneficial Owner (UBO), including the use of offshore entities, nominee arrangements, or trusts without clear commercial justification.
- Suppliers providing **gold doré or other precious metals originating from artisanal or small-scale mining operations**, where traceability, supply chain transparency, and responsible sourcing verification may be limited.
- Transactions involving **large-value cash payments**, particularly where such payment methods are inconsistent with the customer's business profile or market practices.
- **Third-party payments or settlements** made by individuals or entities not directly related to the contractual counterparty, where the commercial rationale is unclear or insufficiently documented.
- Customers associated with **negative or adverse media reports**, regulatory investigations, financial crime allegations, corruption concerns, or known links to illicit activities.
- **Intermediary or broker arrangements** that obscure the identity of the true supplier, beneficial owner, or ultimate transaction counterparty within the precious metals supply chain.
- A customer or supplier shall be categorized as High Risk where one or more of the following characteristics are identified:
- High Risk classification applies where the entity has provided only basic KYC documentation and lacks sufficient historical engagement with Promise Gold Refinery . Customers or suppliers that have been in operation for less than one year, or where Promise Gold Refinery has no long-standing relationship, shall be subject to heightened scrutiny due to limited historical transaction behaviour.
- Entities demonstrating complex, multi-layered ownership structures including multiple tiers of holding companies, cross-border ownership arrangements, or opaque control mechanisms shall be considered High Risk, particularly where ownership transparency is difficult to establish or where beneficial ownership tracing requires enhanced verification measures.
- Customers and suppliers incorporated or operating in jurisdictions assessed as High Risk under recognized FATF classifications or credible country risk intelligence sources shall fall within this category. This includes jurisdictions listed under FATF Increased Monitoring (Grey List) or those demonstrating weak AML/CFT supervisory effectiveness, corruption exposure, or governance deficiencies.
- Suppliers sourcing metals directly from mines, particularly in jurisdictions exposed to bribery, corruption, environmental abuse, or weak regulatory oversight, shall be classified as High Risk due to elevated supply chain integrity risks inherent in upstream sourcing.
- Entities conducting large-scale shipment volumes or engaging in high-value bullion transactions beyond normal commercial thresholds shall require enhanced scrutiny to ensure economic rationale and transactional legitimacy.
- Companies that are not subject to recognized regulatory supervision or lack certification under reputable industry or responsible sourcing frameworks shall be treated as High Risk due to reduced compliance transparency.
- Delivery channels involving hand-carry transport, air cargo exposure, or the use of authorized third-party intermediaries in bullion logistics shall be considered higher risk due to increased vulnerability to diversion, concealment, or smuggling risk.
- Customers with partial cash exposure particularly where cash transactions represent a material portion of total activity shall require enhanced monitoring, even where the majority of transactions occur through banking channels. All payments must be made directly to and from the verified bank account of the customer or supplier. Third-party or unrelated payment arrangements remain prohibited without documented justification and formal approval.
- Entities with multi-layered ownership structures where UBOs originate from High-Risk jurisdictions, sanctioned jurisdictions, or politically exposed environments even where such individuals are currently resident in non-sanctioned jurisdictions shall be classified as High Risk pending comprehensive Enhanced Due Diligence verification.
- International Politically Exposed Persons (PEPs), including those from lower-risk jurisdictions but requiring formal review, shall be included within the High-Risk category and subject to Promise Gold Refinery 's PEP approval framework.
- Customers generating potential screening hits including sanctions, PEP, or adverse media matches that are ultimately determined to be false positives following investigation shall nevertheless remain within the High-Risk category due to elevated reputational and compliance sensitivity.
- Where customers maintain AML/CFT and sourcing policies but operate in high-risk geographies or under elevated exposure conditions, classification shall remain High Risk until risk factors are demonstrably mitigated.

Enhanced Due Diligence Measures

Where Enhanced Due Diligence is required, Promise Gold Refinery FZE implements additional verification and monitoring controls designed to mitigate the identified risks. These measures may include:

- **Detailed verification of customer identity and corporate ownership structure, including comprehensive identification and verification of Ultimate Beneficial Owners.**
- **Independent verification of Source of Wealth (SoW) and Source of Funds (SoF) to confirm the legitimate origin of funds used in transactions.**
- **Comprehensive review of supply chain documentation, including verification of gold origin, chain-of-custody records, transportation documentation, and responsible sourcing certifications where applicable.**
- **Senior Management approval prior to the establishment or continuation of the business relationship with the high-risk customer or supplier.**
- **Enhanced transaction monitoring, including more frequent review of transaction activity and closer scrutiny of transaction patterns.**
- **Enhanced examination of trade documentation and payment flows, including verification of invoices, contracts, shipment documentation, and financial settlement arrangements.**
- **More frequent sanctions screening, PEP screening, and adverse media monitoring throughout the lifecycle of the business relationship.**

Risk Mitigation and Escalation

Where Enhanced Due Diligence measures identify concerns that cannot be adequately mitigated or where sufficient transparency cannot be achieved, Promise Gold Refinery FZE reserves the right to implement appropriate risk mitigation actions. Such actions may include:

- Declining to establish the business relationship;
- Rejecting or suspending the proposed transaction;
- Escalating the matter to the Compliance Officer and Senior Management for further review;
- Filing a Suspicious Transaction Report (STR) with the UAE Financial Intelligence Unit (FIU) where reasonable grounds for suspicion exist.

All Enhanced Due Diligence assessments, supporting documentation, and risk mitigation decisions are fully documented within the Customer Due Diligence file and retained in accordance with the Company's record retention requirements. These records are maintained in a manner that ensures availability for inspection by the UAE Ministry of Economy, the Financial Intelligence Unit (FIU), and other competent regulatory authorities upon request.

Risk Rating Reassessment

Promise Gold Refinery FZE periodically conducts a risk rating reassessment of all customers, suppliers, intermediaries, and counterparties as part of its ongoing monitoring framework to ensure that the risk classification assigned at onboarding continues to accurately reflect the current risk exposure of the relationship. Risk reassessment forms an integral component of the refinery's Risk-Based Approach (RBA) and is designed to ensure that any changes in the customer's profile, ownership structure, transaction behaviour, or external risk environment are promptly identified and appropriately addressed. The purpose of the risk reassessment process is to ensure that the customer's assigned risk category remains appropriate and that the level of due diligence and monitoring applied by the refinery remains proportionate to the actual risk posed by the relationship.

Risk rating reassessments are conducted periodically as part of the Re-KYC process, and may also be initiated on an ad-hoc basis when new information or risk indicators become available.

Changes in Geographic Exposure

Promise Gold Refinery FZE reassesses the customer's risk rating where there are changes in the geographic exposure associated with the business relationship, including changes in the jurisdictions where the customer operates, sources precious metals, conducts trade, or routes payments. The refinery evaluates whether such geographic exposure introduces elevated risk due to factors such as weak regulatory oversight, corruption risk, conflict-affected regions, or jurisdictions identified by international bodies as presenting higher ML/TF/PF risk.

Changes in Ownership or Beneficial Ownership Structure

The refinery reassesses the risk classification where there are changes in the ownership or beneficial ownership structure of a customer or supplier, including changes to shareholders, Ultimate Beneficial Owners (UBOs), directors, or controlling parties. Where new beneficial owners are identified, the refinery conducts appropriate KYC verification and sanctions/PEP screening to ensure that the updated ownership structure does not introduce additional financial crime risks.

Changes in Transaction Behaviour
Promise Gold Refinery monitors customer transactions to identify material changes in transaction patterns, trading volumes, or transaction structures that may indicate elevated risk. Where transaction behaviour deviates significantly from the customer's previously established activity profile, the refinery reassesses the risk rating to determine whether additional due diligence or enhanced monitoring measures should be applied.

Updates to FATF Risk Lists or Sanctions Regimes
The refinery reviews customer risk classifications where there are updates to international risk indicators, including changes to FATF high-risk or grey-listed jurisdictions, sanctions regimes, or regulatory risk assessments issued by competent authorities. Where customers are linked to jurisdictions that become newly classified as higher risk, the refinery reassesses the relationship to determine whether additional compliance controls are required.

Emerging Risk Indicators Identified Through Monitoring
Risk reassessment is also triggered where new risk indicators are identified through ongoing monitoring activities, including transaction monitoring, sanctions screening, PEP screening, adverse media monitoring, or supply chain due diligence reviews. Such indicators may include unusual transaction patterns, negative media exposure, inconsistencies in documentation, or other information suggesting elevated ML/TF/PF risk.

Supply Chain and Responsible Sourcing Review
Promise Gold Refinery FZE maintains a structured Supply Chain and Responsible Sourcing Review framework as part of its Anti-Money Laundering and Counter-Terrorist Financing (AML/CFT) control program and Responsible Sourcing obligations. Given the nature of precious metals refining activities, the refinery recognizes that upstream supply chains may present elevated exposure to Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), Trade-Based Money Laundering (TBML), and illicit gold sourcing risks. Accordingly, Promise Gold Refinery conducts ongoing reviews of supplier relationships and upstream supply chain exposure to ensure that all precious metals received by the refinery originate from legitimate, traceable, and compliant sources. The objective of the supply chain review process is to ensure that the refinery maintains full transparency, traceability, and compliance with applicable responsible sourcing standards and regulatory expectations.

Verification of Gold Origin Documentation
Promise Gold Refinery FZE verifies documentation relating to the origin of gold supplied to the refinery, including mining origin declarations, supplier certifications, export permits, invoices, and other supporting documentation. This verification process ensures that the gold feedstock received by the refinery originates from legitimate sources and that the supplier is able to demonstrate lawful ownership and transfer of the precious metals. Where discrepancies or inconsistencies are identified in origin documentation, the refinery conducts further verification procedures before accepting the material.

Chain-of-Custody Verification
The refinery conducts chain-of-custody verification to confirm the movement of gold from the point of origin to the refinery. This review includes examination of transport documentation, supplier declarations, shipping records, and transaction documentation to ensure that the supply chain remains transparent and traceable throughout each stage of the sourcing process. Where supply chains involve intermediaries, aggregators, or brokers, the refinery verifies the legitimacy and role of each participant to ensure that the chain of custody is properly documented and does not obscure the origin of the material.

Responsible Sourcing Compliance Checks
Promise Gold Refinery FZE conducts responsible sourcing compliance checks to ensure that suppliers adhere to applicable ethical sourcing standards and regulatory obligations. These checks include reviewing supplier policies, compliance declarations, and documentation demonstrating adherence to responsible sourcing practices. The refinery evaluates whether suppliers maintain appropriate internal controls to prevent the sourcing of precious metals associated with human rights abuses, illegal mining activities, or conflict financing.

Monitoring Exposure to Conflict-Affected and High-Risk Areas (CAHRA)
Promise Gold Refinery monitors whether gold supplied to the refinery originates from Conflict-Affected and High-Risk Areas (CAHRA) or jurisdictions identified as presenting elevated risks of corruption, weak governance, or illicit mining activities. Where sourcing from such jurisdictions is identified, the refinery conducts enhanced supply chain due diligence to assess whether the sourcing activities are conducted in accordance with applicable responsible sourcing standards and regulatory expectations.

Enhanced Due Diligence for High-Risk Suppliers
Suppliers presenting elevated sourcing risks may be subject to Enhanced Due Diligence (EDD) measures. Such circumstances may arise where the supply chain involves high-risk jurisdictions, artisanal mining operations with limited traceability, complex intermediary structures, or incomplete documentation relating to the origin of the precious metals. EDD measures may include additional verification of supplier information, review of supporting documentation, enhanced transaction monitoring, and escalation to the Compliance Officer or Senior Management for further assessment.

Supply Chain Audits and Compliance Reviews
Where necessary, Promise Gold Refinery may conduct supply chain audits or enhanced compliance reviews to evaluate the legitimacy of suppliers and the transparency of their sourcing practices. Such reviews may involve requests for additional documentation, independent verification of sourcing information, or on-site supplier assessments where appropriate. Where the refinery determines that supply chain risks cannot be adequately mitigated, the refinery may decline to accept the material, suspend transactions, or terminate the supplier relationship in accordance with its responsible sourcing and risk management policies.

Event-Triggered Reviews
Promise Gold Refinery FZE conducts event-triggered reviews as part of its ongoing monitoring and risk management framework to ensure that any material developments affecting a customer, supplier, intermediary, or counterparty are promptly assessed and appropriately addressed. Event-triggered reviews complement the refinery's periodic monitoring and scheduled risk reassessment processes and are initiated whenever new information, risk indicators, or significant changes arise during the course of a business relationship. The objective of event-triggered reviews is to ensure that the refinery maintains an accurate and up-to-date understanding of the customer's risk profile and that the due diligence measures applied remain proportionate to the level of risk associated with the relationship. Where trigger events occur, the refinery reassesses the customer's risk classification, due diligence status, and monitoring requirements, and implements additional compliance controls where necessary.

Changes in Ownership or Beneficial Ownership
Promise Gold Refinery FZE initiates an event-triggered review where there are changes in the ownership or beneficial ownership structure of a customer or supplier, including changes in shareholders, Ultimate Beneficial Owners (UBOs), directors, or controlling parties. Where such changes occur, the refinery conducts updated Know Your Customer (KYC) verification, sanctions screening, and PEP screening to ensure that newly identified owners or controlling parties do not introduce additional financial crime risks.

Significant Changes in Transaction Volume or Patterns
An event-triggered review is conducted where there are material changes in the volume, frequency, or structure of transactions conducted by the customer that are inconsistent with the previously established transaction profile. Such changes may include sudden increases in trading volume, unusual transaction patterns, or new trading structures that differ from the customer's known business activities. Where such deviations are identified, the refinery conducts a compliance review to determine whether the change is supported by a legitimate commercial rationale.

Sanctions or PEP Screening Alerts
Promise Gold Refinery conducts event-triggered reviews where sanctions screening or Politically Exposed Person (PEP) monitoring identifies new matches, potential matches, or elevated political exposure associated with customers, suppliers, beneficial owners, or related parties. Where a sanctions or PEP alert is generated, the matter is immediately escalated to the Compliance Officer for investigation and verification, and additional due diligence measures may be applied as appropriate.

Adverse Media Reports
The refinery initiates a review where credible adverse media reports or negative information are identified relating to a customer, supplier, beneficial owner, or associated party. Such reports may indicate potential involvement in financial crime, corruption, smuggling, regulatory violations, or other illicit activities. Where such information is identified, the refinery conducts an enhanced compliance review to determine the potential impact on the business relationship.

Regulatory Updates Affecting the Customer's Jurisdiction
Event-triggered reviews are conducted where regulatory developments, sanctions updates, or changes in international risk assessments affect the jurisdiction in which the customer operates or sources precious metals. This may include changes to FATF high-risk jurisdiction listings, sanctions regimes, or regulatory advisories issued by competent authorities. Where such developments occur, the refinery reassesses the geographic risk associated with the relationship.

Suspicious Transaction Indicators
Promise Gold Refinery initiates an event-triggered review where transaction monitoring identifies indicators of suspicious or unusual activity, including transactions lacking economic rationale, complex transaction structures, or unusual payment arrangements. Where suspicious activity indicators are identified, the matter is escalated to the Compliance Officer or MLRO for further investigation, and additional due diligence procedures may be undertaken.

Risk Reassessment and Due Diligence Measures
Where an event-triggered review identifies increased risk exposure, Promise Gold Refinery FZE reassesses the customer's risk classification and determines whether additional compliance controls are required.
Depending on the outcome of the review, the refinery may implement measures including:
• Application of Enhanced Due Diligence (EDD)
• Increased frequency of transaction monitoring
• Additional verification of Source of Funds (SoF) or Source of Wealth (SoW)
• Escalation to Senior Management or the MLRO
• Suspension or termination of the business relationship where risks cannot be adequately mitigated

Enhanced Due Diligence (EDD) for High-Risk Supply Chains
Promise Gold Refinery FZE implements a comprehensive and risk-based Enhanced Due Diligence (EDD) framework for all high-risk supply chains in accordance with the UAE Ministry of Economy Due Diligence Regulations for Responsible Sourcing of Gold (Ministerial Decree No. 68 of 2024) and the OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas (CAHRAs).

Where high-risk elements, red flags, or information gaps are identified within the supply chain, Promise Gold Refinery FZE conducts Enhanced Due Diligence prior to establishing or continuing any business relationship. This ensures that risks associated with conflict financing, human rights abuses, illicit sourcing, money laundering, terrorist financing, and proliferation financing are adequately identified, assessed, and mitigated. Where, based on the refinery's risk assessment framework, no high-risk elements or red flags are identified, no additional enhanced measures are required. In such cases, standard due diligence controls and management systems remain in place and are subject to ongoing monitoring and periodic review. The EDD framework forms a critical component of the refinery's Risk-Based Approach (RBA) and is designed to ensure that all material risks associated with gold sourcing are effectively identified, evaluated, and controlled prior to onboarding, transaction execution, or continuation of any business relationship.

Trigger for Enhanced Due Diligence (EDD)
Promise Gold Refinery FZE applies Enhanced Due Diligence (EDD) as a mandatory risk mitigation measure where elevated risk indicators are identified within its supply chain, counterparties, or transactions. The application of EDD is aligned with the refinery's Risk-Based Approach and is conducted in accordance with the UAE Ministry of Economy Due Diligence Regulations for Responsible Sourcing of Gold (Ministerial Decree No. 68 of 2024) and the OECD Due Diligence Guidance, including Annex II risk indicators.
Enhanced Due Diligence is triggered where the refinery identifies, inter alia:

- involvement in high-risk supply chains, including sourcing from Conflict-Affected and High-Risk Areas (CAHRAs)
- presence of red flags consistent with OECD Annex II, including indicators of conflict financing, human rights abuses, or illicit sourcing
- gaps, inconsistencies, or lack of transparency in documentation, chain-of-custody records, or origin verification
- complex, layered, or opaque ownership structures, including difficulty in identifying Ultimate Beneficial Owners (UBOs)
- involvement of Politically Exposed Persons (PEPs) or politically sensitive entities
- adverse media findings indicating potential financial crime, corruption, or reputational risk
- unusual transaction patterns, including inconsistencies in value, volume, frequency, or economic rationale
- exposure to high-risk jurisdictions, including FATF-listed countries, sanctioned jurisdictions, or regions with weak AML/CFT controls

Where any of the above risk indicators are identified, the refinery immediately escalates the case for Enhanced Due Diligence. No onboarding, continuation of relationship, or execution of any transaction shall proceed unless:

- Enhanced Due Diligence has been fully conducted and documented
- all identified risks have been assessed and, where possible, mitigated
- the case has been reviewed and formally approved in accordance with the refinery's escalation and governance framework

Enhanced Due Diligence Measures
Promise Gold Refinery FZE applies a combination of onsite inspections, desk-based reviews, and transaction testing to ensure a comprehensive assessment of high-risk supply chains.

Onsite Visits and Independent Assessments
Promise Gold Refinery FZE conducts onsite inspections and independent assessments as an integral component of its Enhanced Due Diligence framework to ensure the authenticity, legitimacy, and transparency of high-risk supply chains. Such inspections are carried out either directly by the refinery or through qualified and independent third-party assessors, including participation in joint industry assessment initiatives where appropriate. These assessments are designed to validate supplier operations, verify the accuracy of KYC and supply chain documentation, assess sourcing practices and operational controls, and identify any discrepancies between declared information and actual practices. Notwithstanding the use of external assessors, ultimate responsibility for due diligence outcomes and regulatory compliance remains with the refinery. Any adverse findings are formally documented, escalated, and addressed through appropriate risk mitigation or disengagement measures.

Determination of Mining Type (ASM vs LSM)
As part of its Enhanced Due Diligence procedures, Promise Gold Refinery FZE determines whether gold is sourced from Large-Scale Mining (LSM) operations or Artisanal and Small-Scale Mining (ASM) activities. This distinction is critical to risk assessment, as ASM operations are generally associated with higher levels of risk, including informal practices, weak regulatory oversight, and potential exposure to illicit or conflict-related activities. Where ASM sourcing is identified, the refinery applies enhanced scrutiny, including verification of legal status, licensing, operational legitimacy, and compliance with applicable regulations. ASM-related supply chains are subject to heightened monitoring, additional verification controls, and Enhanced Due Diligence prior to approval.

Comprehensive Supply Chain Information Gathering
Promise Gold Refinery FZE undertakes comprehensive and end-to-end supply chain information gathering to ensure full transparency, traceability, and accountability of gold sourced. This includes identification and verification of all entities involved in the supply chain through official documentation, verification of ownership structures including direct and indirect beneficial ownership, identification of mine origin, transportation routes, and trading points, and assessment of processing, handling, and logistics practices. The refinery also identifies related entities such as parent companies, subsidiaries, and affiliates, and verifies corporate identity through reliable independent sources. This process ensures that all supply chain participants are fully known, verified, and assessed for risk.

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Human Rights and Conflict Risk Assessment
In alignment with OECD Annex II requirements, Promise Gold Refinery FZE performs a comprehensive assessment of human rights and conflict-related risks across its supply chain. This includes evaluating the presence of serious human rights abuses, forced or child labour, unsafe working conditions, and any direct or indirect support to armed groups or security forces. Assessments are conducted using public domain research, screening tools, and onsite verification where applicable. Where such risks are identified, the refinery applies strict escalation procedures, Enhanced Due Diligence measures, and may disengage from the supply chain where risks cannot be adequately mitigated.

Sanctions and Adverse Media Screening
All supply chain participants, including entities, Ultimate Beneficial Owners, and associated parties, are subject to comprehensive sanctions and adverse media screening. Screening is conducted against United Nations sanctions lists, UAE Local Terrorist List, UAE Executive Office for Control and Non-Proliferation lists, and other relevant international databases, as well as credible adverse media sources. Any identified matches or adverse findings are immediately escalated to the Compliance Officer for investigation and resolution in accordance with the refinery's sanctions and escalation framework. Confirmed sanctions exposure results in immediate prohibition of the relationship and regulatory reporting where required.

Production and Capacity Verification
Promise Gold Refinery FZE conducts analytical assessments to verify the consistency between declared production capacity and actual output of mining operations, as well as the processing capacity of refining or smelting facilities. This includes comparing production volumes against known operational capabilities. Any discrepancies, inconsistencies, or overstatements are treated as material risk indicators, potentially signalling illicit sourcing, smuggling, or trade-based money laundering. Such findings trigger further investigation and Enhanced Due Diligence.

Financial Transparency and Government Payments
The refinery assesses financial transparency across the supply chain by verifying documentation related to the payment of royalties, taxes, and government fees, as well as financial transactions involving regulatory authorities and security providers. This process ensures that operations are conducted in compliance with applicable laws and that there is no involvement in corruption, bribery, or illicit financial practices. Any irregular, unexplained, or non-transparent payments are treated as red flags and escalated for further investigation.

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Security and Militarization Assessment
Promise Gold Refinery FZE evaluates the presence of security risks and militarization within the supply chain, including the involvement of armed groups, private security forces, or control of mining areas and transport routes by non-state actors. This assessment ensures compliance with OECD Annex II requirements related to conflict financing and security-related risks. Where militarization or armed involvement is identified, the refinery applies strict escalation measures and may disengage from the supply chain if risks cannot be mitigated.

Transaction Testing and Document Verification
Promise Gold Refinery FZE conducts transaction testing and document verification to ensure consistency between declared transactions and actual activities. This includes sampling and verification of invoices, shipping documents, customs records, and payment transactions. This process is critical in identifying trade-based money laundering, misrepresentation of gold origin or value, and inconsistencies in documentation. Any discrepancies identified are treated as material red flags and escalated for further investigation and corrective action.

Overall Control Objective
Through the implementation of these Enhanced Due Diligence measures, Promise Gold Refinery FZE ensures that high-risk supply chains are subject to rigorous scrutiny, risks are effectively identified and mitigated, and all sourcing activities are conducted in compliance with UAE regulatory requirements and international responsible sourcing standards.

Escalation Trigger Matrix

Trigger Event	Escalation Level	Timeframe	Mandatory Action
Incomplete / inconsistent KYC	Compliance Officer	Within 24 hrs	Request clarification / apply EDD
Partial sanctions / PEP match	Compliance Officer / MLRO	Immediate	Secondary review
Confirmed PEP	MLRO + Senior Management	Before onboarding	Apply full EDD
Adverse media (moderate)	Compliance Officer	Within 24 hrs	Risk assessment
Adverse media (serious)	MLRO + Senior Management	Immediate	EDD + escalation
CAHRA sourcing identified	MLRO	Immediate	Full EDD + risk mitigation
ASM sourcing (high-risk)	MLRO	Immediate	Enhanced controls
Chain-of-custody gaps	Compliance Officer	Within 24 hrs	Investigation
Suspicious transaction pattern	MLRO	Immediate	STR consideration
Confirmed sanctions match	MLRO + TFS Authority	Immediate	Freeze + report
PF risk indicators	MLRO	Immediate	Escalation + reporting
Human rights violations	Senior Management	Immediate	Suspend / disengage

Approval of the Authority Matrix

Risk Level	EDD Requirement	Approval Authority	Decision Type
Low Risk	Standard CDD	Operations / Compliance	Approve
Medium Risk	Enhanced Monitoring	Compliance Officer	Approve with conditions
High Risk	Full EDD	Compliance Officer + MLRO	Conditional Approval
Very High Risk	Full EDD + Site Visit	MLRO + Senior Management	Approve / Restrict
Critical / Prohibited	EDD + Investigation	Senior Management / Board	Reject / Terminate

EDD Escalation Workflow

Stage	Action	Owner
1	Risk identified / red flag triggered	Operations / Screening
2	Initial review and classification	Compliance Team
3	Escalation (if required)	Compliance Officer
4	Secondary review	MLRO
5	EDD execution (site visit, verification)	Compliance / Sourcing
6	Risk scoring and recommendation	Compliance
7	Final approval / rejection	MLRO / Senior Management
8	Documentation and record keeping	Compliance
9	Ongoing monitoring	Compliance + Operations

15. CONTROL FRAMEWORK AND RISK MITIGATION MECHANISMS

Promise Gold Refinery FZE establishes and maintains a comprehensive, risk-based control framework to ensure the effective identification, prevention, detection, and mitigation of risks related to Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), and Trade-Based Money Laundering (TBML) across all aspects of its operations.

The Company recognizes that the nature of its business as a gold refinery and Dealer in Precious Metals and Stones (DPMS) inherently exposes it to elevated financial crime risks due to the high value, portability, liquidity, and fungibility of gold. In response, Promise Gold Refinery FZE has implemented a robust and layered control environment, ensuring that all risks identified through the Enterprise-Wide Risk Assessment (EWRA) are systematically assessed and managed through proportionate, risk-based controls aligned with the Company's defined risk appetite.

This control framework is designed and implemented in full alignment with:

- Federal Decree-Law No. 10 of 2025 on Anti-Money Laundering, Countering the Financing of Terrorism and Proliferation Financing, and its Executive Regulations under Cabinet Decision No. 134 of 2025
- UAE Ministry of Economy (MoE) supervisory expectations applicable to DNFBPs and DPMS entities
- UAE National Risk Assessment (NRA 2024), including sector-specific vulnerabilities such as high-value transactions, cash intensity, and TBML exposure
- OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas (CAHRA)

  The framework adopts a structured and integrated control lifecycle model, consisting of:
- Preventive Controls, which aim to mitigate risks at the point of onboarding and prior to transaction execution. These include Customer Due Diligence (CDD), Enhanced Due Diligence (EDD), supplier onboarding and verification, sanctions and PEP screening, and risk-based acceptance criteria, ensuring that only legitimate and compliant counterparties are engaged.
- Detective Controls, which focus on the ongoing monitoring and identification of risks during and after transaction execution. These include transaction monitoring systems, red flag detection mechanisms, behavioural and pattern analysis, and periodic reassessment of customer and supplier risk profiles, enabling early detection of suspicious or anomalous activity.
- Corrective Controls, which ensure that identified risks are addressed in a timely, proportionate, and effective manner. These include escalation to the Compliance function and MLRO, application of Enhanced Due Diligence (EDD), transaction suspension or rejection, termination of business relationships, and regulatory reporting through GOAML, where suspicion of ML/TF/PF arises.

Through this layered and risk-based approach, Promise Gold Refinery FZE ensures that its control framework functions as a dynamic, responsive, and continuously evolving system, capable of adapting to changes in business operations, emerging financial crime typologies, and evolving regulatory expectations. This policy reflects the Company's commitment to maintaining strong governance, effective internal controls, and a culture of compliance, ensuring that all identified risks are appropriately mitigated, documented, and auditable, in full alignment with UAE regulatory requirements and international best.

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This policy reflects the Company's commitment to maintaining strong governance, effective internal controls, and a culture of compliance, ensuring that all identified risks are appropriately mitigated, documented, and auditable, in full alignment with UAE regulatory requirements and international best practices.

15.1. CONTROL FRAMEWORK STRUCTURE

Promise Gold Refinery FZE adopts a structured, multi-layered control framework to ensure the effective management of risks related to Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), and Trade-Based Money Laundering (TBML). This framework is designed in line with the Company's Risk-Based Approach (RBA) and ensures that risks are addressed across the full lifecycle of business activities. The control framework is organized into three key layers Preventive, Detective, and Corrective Controls each serving a distinct and complementary function to ensure comprehensive risk mitigation, regulatory compliance, and operational integrity.

A. Preventive Controls

Promise Gold Refinery FZE implements preventive controls to mitigate risks prior to onboarding customers, engaging suppliers, or executing transactions. These controls are designed to ensure that only legitimate, transparent, and compliant business relationships are established, thereby reducing the likelihood of exposure to financial crime risks at the outset.
Preventive controls include:

- Customer Due Diligence (CDD) and Enhanced Due Diligence (EDD) processes
- Supplier onboarding and verification, including UBO identification and validation
- Sanctions screening, PEP identification, and adverse media checks
- Risk-based customer and supplier classification (CRA integration)
- Verification of Source of Funds (SOF) and Source of Wealth (SOW)
- Pre-transaction approval and validation mechanisms
- Responsible sourcing checks in line with OECD and MoE requirements

These controls ensure that high-risk or non-compliant customers, suppliers, or transactions are identified and restricted at the entry point, thereby preventing exposure before it materializes.

B. Detective Controls

Promise Gold Refinery FZE applies detective controls to identify and monitor risks during and after transaction execution, ensuring continuous oversight of business relationships and transaction activity.
These controls are designed to detect:

- Suspicious transaction patterns
- Behavioural anomalies
- Structuring, layering, or TBML indicators
- Changes in customer or supplier risk profile

Detective controls include:

- Transaction monitoring systems and rule-based alerts
- Red flag identification and escalation mechanisms
- Pattern and behavioural analysis (frequency, value, structuring)
- Ongoing customer and supplier monitoring (CRA updates)
- Periodic reviews and risk reassessments
- Monitoring of delivery channels, logistics, and supply chain activity

Through these mechanisms, the Company ensures that emerging risks are promptly identified and assessed, enabling timely intervention.

C. Corrective Controls

Promise Gold Refinery FZE implements corrective controls to respond effectively to identified risks and ensure that appropriate action is taken to mitigate impact and maintain compliance.

These controls are activated when suspicious activity, elevated risk, or control deficiencies are identified and include:

- Escalation to the Compliance Officer and MLRO
- Application of Enhanced Due Diligence (EDD)
- Transaction suspension or rejection
- Termination of business relationships where risks cannot be mitigated
- Filing of Suspicious Transaction Reports (STR) via GOAML
- Implementation of remedial actions and control enhancements
- Documentation of decisions and maintenance of audit trail

Corrective controls ensure that all identified risks are appropriately contained, resolved, and reported, thereby protecting the Company from regulatory, financial, and reputational exposure.

15.2. PREVENTIVE CONTROL MECHANISMS

Promise Gold Refinery FZE implements a comprehensive set of preventive control mechanisms designed to ensure that financial crime risks are identified, assessed, and mitigated prior to onboarding any customer or supplier, and before the execution of any transaction. These controls form the first line of defense within the Company's Risk-Based Approach (RBA), ensuring that high-risk or non-compliant activities are prevented at the point of entry.

A. Customer and Supplier Due Diligence

Promise Gold Refinery FZE applies robust due diligence procedures to all customers, suppliers, and counterparties to ensure that only legitimate and transparent entities are engaged.

The Company conducts Risk-Based Customer Due Diligence (CDD) for all counterparties, ensuring that identification, verification, and profiling are completed prior to establishing any business relationship. For counterparties classified as higher risk, the Company applies Enhanced Due Diligence (EDD), which includes additional scrutiny, verification, and ongoing monitoring.

As part of this process, the Company ensures the full identification and verification of Ultimate Beneficial Owners (UBOs), including ownership and control structures, to prevent concealment of ownership or misuse of legal entities.

All counterparties are subject to screening against international and local sanctions lists, Politically Exposed Persons (PEP) databases, and adverse media sources, ensuring that no relationship is established with sanctioned or high-risk individuals or entities.

B. Onboarding and Risk Classification

Promise Gold Refinery FZE ensures that all customers and suppliers undergo a mandatory Customer Risk Assessment (CRA) prior to onboarding, in alignment with the Company's EWRA methodology.

Each counterparty is assigned a risk classification (Low, Medium, or High) based on factors such as geographic exposure, business activity, ownership structure, and transaction profile. This classification determines the level of due diligence and monitoring required. The Company maintains a strict policy of restricting or rejecting onboarding of high-risk, non-transparent, or unverifiable counterparties, ensuring that only compliant and risk-appropriate relationships are established.

C. Product and Supply Chain Controls

Recognizing the inherent risks associated with gold and precious metals, Promise Gold Refinery FZE implements stringent controls over product integrity and supply chain transparency.

The Company verifies the source, origin, and legitimacy of all gold supplied, ensuring that materials are not derived from illicit or high-risk sources. This includes the implementation of chain-of-custody controls, ensuring full traceability throughout the supply chain.

The Company strictly adheres to Responsible Sourcing requirements under Ministerial Decree No. 68 of 2024, ensuring compliance with UAE regulatory expectations and international standards, including OECD guidance. Sourcing from unverified, high-risk, or opaque origins is prohibited, unless subjected to Enhanced Due Diligence (EDD) and appropriate approvals.

D. Payment and Transaction Controls

Promise Gold Refinery FZE enforces strict controls over payment methods and transaction structures to prevent misuse for financial crime purposes. The Company maintains a policy of restricting third-party payments, ensuring that all payments are directly linked to the contracting counterparty and are fully transparent. For cash transactions, mandatory Source of Funds (SOF) verification is conducted to confirm the legitimacy of funds. The Company enforces regulatory cash threshold controls (AED 55,000), ensuring compliance with reporting obligations and preventing structuring behaviour. All transactions identified as high risk are subject to pre-transaction Compliance review and approval, ensuring that risks are assessed and mitigated prior to execution.

E. Delivery and Logistics Controls

Promise Gold Refinery FZE implements strict preventive controls over delivery channels and logistics arrangements, recognizing the risks associated with the physical movement of gold. The Company mandates the use of approved and vetted logistics providers only, ensuring that all transport arrangements meet required security and compliance standards. All shipments must utilize tamper-evident packaging and secure transport protocols, ensuring the integrity of the product during transit. The Company maintains full chain-of-custody documentation, evidencing each stage of transfer and handling, ensuring traceability and accountability. Delivery to unverified or unrelated third parties is strictly prohibited, ensuring that all delivery arrangements remain transparent and aligned with the underlying transaction.

15.3. PREVENTIVE CONTROL MATRIX

1. CUSTOMER & SUPPLIER DUE DILIGENCE CONTROLS

Risk Area	Risk Description	Preventive Control	Control Objective	Evidence / Audit Trail	Residual Risk
Customer Risk	Onboarding high-risk or illicit customers	Risk-Based CDD & EDD	Ensure only legitimate customers are onboarded	KYC files, EDD reports	Medium
UBO Risk	Concealment of ownership	UBO identification & verification	Transparency of ownership structure	UBO register, corporate docs	Medium
Sanctions Risk	Dealing with sanctioned entities	Sanctions / PEP / Adverse Media screening	Prevent regulatory breaches	Screening logs, reports	Low
Supplier Risk	High-risk or non-compliant suppliers	Supplier due diligence	Ensure supplier legitimacy	Supplier DD files	Medium

2. ONBOARDING & RISK CLASSIFICATION CONTROLS

Risk Area	Risk Description	Preventive Control	Control Objective	Evidence	Residual Risk
Risk Misclassification	Incorrect risk rating	Customer Risk Assessment (CRA)	Accurate risk profiling	CRA forms, scoring sheets	Low
High-Risk Exposure	Accepting high-risk clients	Risk classification (Low/Medium/High)	Apply appropriate controls	Risk register	Medium
Non-Transparent Entities	Hidden structures	Onboarding rejection policy	Avoid illicit relationships	Rejection logs	Low

3. PRODUCT & SUPPLY CHAIN CONTROLS

Risk Area	Risk Description	Preventive Control	Control Objective	Evidence	Residual Risk
Illicit Gold Entry	Unknown or illegal origin	Source verification	Ensure legitimate sourcing	Supplier declarations	Medium
Traceability Risk	Lack of origin tracking	Chain-of-custody controls	Maintain traceability	Chain-of-custody logs	Medium
Responsible Sourcing	Non-compliance with MD 68	OECD-aligned sourcing controls	Regulatory compliance	Sourcing policy, audit reports	Medium
High-Risk Origin	CAHRA sourcing	EDD + approval requirement	Mitigate geopolitical risk	EDD reports, approvals	Medium-High

4.PAYMENT & TRANSACTION CONTROLS

Risk Area	Risk Description	Preventive Control	Control Objective	Evidence	Residual Risk
Cash Risk	ML placement via cash	SOF verification	Validate source of funds	SOF forms	Medium
Threshold Evasion	Structuring below AED 55K	Cash threshold controls	Detect and prevent structuring	Cash logs, reports	Medium
Third-Party Payments	Concealed ownership	Restriction on third-party payments	Ensure payment transparency	Payment records	Low
High-Risk Transactions	Complex or large transactions	Pre-transaction approval	Prevent high-risk exposure	Approval logs	Medium

5.DELIVERY & LOGISTICS CONTROLS

Risk Area	Risk Description	Preventive Control	Control Objective	Evidence	Residual Risk
Logistics Risk	Use of unreliable transport	Approved logistics providers	Ensure secure transport	Vendor list, contracts	Low
Product Tampering	Substitution/diversion	Tamper-evident packaging	Maintain integrity of gold	Packaging records	Low
Traceability Loss	Chain-of-custody gaps	Full documentation	Ensure audit trail	Delivery logs	Medium
Third-Party Delivery	Unverified delivery parties	Delivery restrictions	Prevent diversion risk	Delivery instructions	Low

6.GOVERNANCE & CONTROL PRINCIPLES

Control Principle	Implementation
Risk-Based Approach	Controls aligned with risk level
Preventive Focus	Risks mitigated before occurrence
Documentation	Full audit trail maintained
Segregation of Duties	Clear roles across functions
Regulatory Alignment	MD 68, NRA, AML Law

We apply a structured preventive control matrix linking each risk to specific controls, supported by documentation and evidence, ensuring risks are mitigated at the onboarding and pre-transaction stage.

15.4. DETECTIVE CONTROL MECHANISM

Promise Gold Refinery FZE implements a comprehensive suite of detective control mechanisms designed to identify, monitor, and escalate suspicious behaviour and emerging risks related to Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), and Trade-Based Money Laundering (TBML). These controls operate as a critical second line of defense within the Company's Risk-Based Approach (RBA), ensuring that risks not prevented at the onboarding stage are detected in a timely and effective manner during and after transaction execution.

1. Transaction Monitoring System

Promise Gold Refinery FZE maintains a comprehensive and structured Transaction Monitoring System designed to continuously identify and assess transactional activity that may indicate exposure to Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), and Trade-Based Money Laundering (TBML). The system operates on a rule-based monitoring framework, supported by both automated detection mechanisms and manual Compliance review, ensuring that transactions are evaluated against predefined risk indicators. These include monitoring of cash threshold breaches (including AED 55,000 regulatory thresholds), structuring patterns, pricing deviations from market benchmarks (such as LBMA), and other transaction anomalies relating to value, frequency, or behavioural inconsistencies.

The Company applies both real-time monitoring, which enables pre-transaction identification of high-risk activity, and post-transaction monitoring, which facilitates the detection of emerging risks through pattern analysis and behavioural trends over time. Through this integrated monitoring approach, Promise Gold Refinery FZE ensures that all transactions are continuously assessed, risk-rated, and subject to appropriate escalation where anomalies or suspicious indicators are identified, thereby strengthening its ability to detect and respond to financial crime risks.

2. Red Flag Identification Framework

Promise Gold Refinery FZE maintains a comprehensive Red Flag Identification Framework, supported by a structured Red Flag Indicator Register, to systematically identify indicators of suspicious activity and emerging financial crime risks.

This framework is aligned with UAE Financial Intelligence Unit (FIU) guidance, FATF typologies, and sector-specific risks applicable to the precious metals industry, ensuring relevance and regulatory alignment.

The Red Flag framework captures a wide range of risk indicators, including but not limited to:

- Unusual transaction patterns, such as sudden increases in volume or frequency
- Inconsistent or incomplete documentation, indicating potential fraud or misrepresentation
- Pricing anomalies, including deviations from recognized market benchmarks
- Rapid turnover or circular trading, suggesting layering or artificial transaction structures
- Customer profile mismatches, where transactions are inconsistent with known business activity

All identified red flags are subject to immediate Compliance review, risk assessment, and escalation, ensuring that suspicious indicators are promptly addressed and, where necessary, reported in accordance with regulatory obligations.

3. Screening and Surveillance

Promise Gold Refinery FZE implements a robust and continuous screening and surveillance framework to ensure that risks associated with customers, suppliers, and counterparties are monitored throughout the lifecycle of the business relationship. The Company conducts ongoing sanctions and PEP screening, ensuring compliance with UAE Targeted Financial Sanctions (TFS) requirements and preventing engagement with sanctioned or high-risk individuals or entities. In addition, the Company performs continuous monitoring of customer behaviour, including changes in transaction patterns, ownership structures, or risk profiles, which may indicate emerging risk exposure. Periodic re-screening of existing counterparties is also conducted to capture new developments such as updated sanctions listings, adverse media exposure, or changes in regulatory status. This continuous surveillance ensures that Promise Gold Refinery FZE remains responsive to dynamic risk environments, enabling early identification and mitigation of evolving financial crime risks.

4. Audit and Review Controls

Promise Gold Refinery FZE establishes and maintains robust audit and review controls to ensure the ongoing effectiveness, integrity, and compliance of its detective control mechanisms. The Company conducts periodic internal compliance reviews, assessing adherence to AML/CFT policies, procedures, and control requirements, and identifying any gaps or areas for improvement. In addition, the Company is subject to independent third-party audits, conducted in accordance with Ministry of Economy (MoE) requirements, particularly in relation to Responsible Sourcing and AML/CFT compliance frameworks. These audits provide an independent assessment of the Company's control environment and ensure alignment with regulatory expectations. The Company also performs continuous testing of control effectiveness, including validation of transaction monitoring rules, alert thresholds, escalation procedures, and system performance, ensuring that controls remain effective, relevant, and responsive to evolving risks. Through these audit and review mechanisms, Promise Gold Refinery FZE ensures that its detective controls are continuously strengthened, properly implemented, and fully auditable, supporting regulatory compliance and operational resilience

1.TRANSACTION MONITORING CONTROLS

Risk Area	Risk Description	Detection Mechanism	Control Objective	Evidence / Audit Trail	Escalation	Residual Risk
Cash Risk	ML placement via cash	Cash threshold monitoring (≥ AED 55,000)	Detect high-risk cash activity	Cash logs, GOAML reports	Compliance → MLRO	Medium
Structuring	Threshold evasion	Pattern detection (linked transactions)	Identify structuring behaviour	Monitoring reports	Compliance review	Medium
Pricing Risk	TBML via mispricing	LBMA benchmarking	Detect over/under invoicing	Pricing records	Compliance escalation	Medium
Transaction Anomalies	Unusual activity	Rule-based alerts	Identify suspicious transactions	Alert logs	MLRO review	Medium-High
High-Value Transactions	Large value movement	Threshold triggers	Detect large-risk exposure	Transaction logs	Senior approval	Medium

2. RED FLAG IDENTIFICATION CONTROLS

Risk Area	Risk Description	Detection Mechanism	Control Objective	Evidence	Escalation	Residual Risk
Behavioural Risk	Unusual patterns	Red Flag Register	Identify suspicious behaviour	Red flag logs	Compliance review	Medium
Documentation Risk	Inconsistent records	Document verification checks	Detect fraud/misrepresentation	Verified documents	Escalation	Medium
Pricing Anomalies	Market deviation	Pricing validation	Detect TBML	Pricing reports	Compliance	Medium
Rapid Turnover	Circular trading	Transaction sequencing analysis	Identify layering	Transaction history	MLRO escalation	Medium-High
Profile Mismatch	Customer inconsistency	CRA vs transaction check	Ensure alignment	CRA files	EDD	Medium

3. SCREENING & SURVEILLANCE CONTROLS

Risk Area	Risk Description	Detection Mechanism	Control Objective	Evidence	Escalation	Residual Risk
Sanctions Risk	Dealings with sanctioned parties	Continuous screening	Prevent regulatory breach	Screening logs	Immediate escalation	Low
PEP Risk	Political exposure	PEP screening	Identify high-risk individuals	Screening reports	EDD	Medium
Adverse Media	Negative news	Media monitoring	Detect reputational risk	Media logs	Compliance	Medium
Customer Risk Change	Profile change	Periodic re-screening	Update risk profile	Review logs	CRA update	Medium

3. SCREENING & SURVEILLANCE CONTROLS

Risk Area	Risk Description	Detection Mechanism	Control Objective	Evidence	Escalation	Residual Risk
Sanctions Risk	Dealings with sanctioned parties	Continuous screening	Prevent regulatory breach	Screening logs	Immediate escalation	Low
PEP Risk	Political exposure	PEP screening	Identify high-risk individuals	Screening reports	EDD	Medium
Adverse Media	Negative news	Media monitoring	Detect reputational risk	Media logs	Compliance	Medium
Customer Risk Change	Profile change	Periodic re-screening	Update risk profile	Review logs	CRA update	Medium

GOVERNANCE LINKAGE

Level	Responsible Function	Role in Detection
Level 1	Operations	Initial alert generation
Level 2	Compliance	Risk analysis
Level 3	MLRO	Suspicion determination
Level 4	Senior Management	Final oversight

15.5. CORRECTIVE CONTROL MECHANISMS

Promise Gold Refinery FZE implements a structured and risk-based set of corrective control mechanisms to ensure that any identified risks, suspicious activities, or control deficiencies are promptly addressed, mitigated, and escalated in accordance with UAE regulatory requirements. These controls form the final layer of the Company's AML/CFT framework and are activated where preventive and detective controls identify elevated risk, anomalies, or potential financial crime exposure. The objective is to ensure that all risks are contained, resolved, documented, and, where necessary, reported to competent authorities.

A. Escalation Framework

Promise Gold Refinery FZE applies a clearly defined escalation framework, ensuring that all identified risks are reviewed at the appropriate level of authority based on severity and materiality.
All alerts, red flags, and suspicious indicators are escalated in a structured manner to:

- Compliance Officer, for initial review and validation
- Money Laundering Reporting Officer (MLRO), for assessment of suspicion and determination of reporting obligations
- Senior Management, for approval of high-risk decisions and strategic oversight

Escalation triggers are defined based on risk severity, nature of the red flag, transaction complexity, and potential regulatory exposure, ensuring that all high-risk scenarios receive appropriate attention and decision-making.
This framework ensures segregation of duties, accountability, and effective governance oversight.

B. Enhanced Due Diligence (EDD)

Where elevated risk indicators are identified, Promise Gold Refinery FZE applies Enhanced Due Diligence (EDD) measures to obtain a deeper understanding of the counterparty, transaction, and source of funds.
EDD is applied in situations including:

- Identification of high-risk indicators or red flags
- Unusual or inconsistent transaction behaviour
- Incomplete, inconsistent, or suspicious documentation
- Exposure to high-risk jurisdictions, PEPs, or complex structures

EDD measures include enhanced verification, additional documentation requests, independent validation, and increased monitoring, ensuring that risks are thoroughly assessed before any further action is taken.

C. Transaction Restriction and Rejection

Promise Gold Refinery FZE enforces strict controls to ensure that transactions presenting unresolved or unacceptable risks are not executed.

Where risks are identified and cannot be satisfactorily mitigated, the Company may:

- Suspend transactions, pending further review, clarification, or verification
- Reject transactions outright, where risks are deemed unacceptable or inconsistent with the Company's risk appetite

This ensures that the Company does not facilitate transactions that may expose it to ML/TF/PF or TBML risks, or result in regulatory breaches.

D. Relationship Termination

Promise Gold Refinery FZE maintains a zero-tolerance approach toward ongoing relationships that present unacceptable or unmanaged risks.

The Company may terminate relationships with customers or suppliers where:

- Risks persist despite mitigation efforts
- Counterparties fail to provide adequate transparency or required documentation
- There are regulatory, legal, or reputational concerns, including sanctions exposure or adverse findings

Relationship termination decisions are subject to Compliance and Senior Management approval, ensuring appropriate governance and documentation.

E. Regulatory Reporting and Sanctions Compliance

Where suspicion of financial crime arises and cannot be reasonably resolved, Promise Gold Refinery FZE ensures timely compliance with regulatory reporting obligations.

This includes:

- Filing of Suspicious Transaction Reports (STRs) through the GOAML system, in accordance with UAE AML/CFT regulations
- Compliance with Targeted Financial Sanctions (TFS) obligations under UAE law

In cases of confirmed or potential sanctions matches, the Company takes immediate action, including:

- Suspension or freezing of transactions or assets (as applicable)
- Escalation to the MLRO and Senior Management
- Notification to relevant authorities in line with regulatory requirements

1. ESCALATION CONTROLS

Risk Area	Trigger / Indicator	Corrective Action	Responsible Function	Evidence / Audit Trail	Outcome
Suspicious Activity	Red flags identified	Escalation to Compliance Officer	Operations → Compliance	Alert logs, escalation records	Risk assessed
Elevated Risk	Multiple risk indicators	Escalation to MLRO	Compliance → MLRO	Review notes, case files	Suspicion evaluated
High-Risk Transaction	Complex/high-value transaction	Senior Management review	MLRO → Senior Management	Approval records	Decision made

2. ENHANCED DUE DILIGENCE (EDD) CONTROLS

Risk Area	Trigger	Corrective Action	Responsible Function	Evidence	Outcome
High-Risk Customer	CRA = High	Apply EDD measures	Compliance	EDD reports	Risk mitigated
Unusual Behaviour	Transaction anomalies	Additional verification	Compliance	Supporting documents	Clarified / escalated
Documentation Issues	Missing/inconsistent docs	Request clarification	Compliance	Updated records	Resolved / rejected

3. TRANSACTION RESTRICTION CONTROLS

Risk Area	Trigger	Corrective Action	Responsible Function	Evidence	Outcome
Unresolved Risk	Incomplete verification	Transaction suspension	Compliance	Suspension logs	Pending resolution
High-Risk Exposure	Unacceptable risk level	Transaction rejection	Compliance / MLRO	Rejection records	Risk avoided
Regulatory Concern	Potential violation	Block execution	Compliance	Decision logs	Compliance ensured

4. RELATIONSHIP TERMINATION CONTROLS

Risk Area	Trigger	Corrective Action	Responsible Function	Evidence	Outcome
Persistent Risk	Repeated red flags	Terminate relationship	Compliance + Management	Termination records	Risk eliminated
Lack of Transparency	Failure to provide info	Exit relationship	Compliance	Correspondence logs	Exposure removed
Regulatory Risk	Legal/sanctions issue	Immediate termination	MLRO + Management	Case files	Compliance maintained

5. REGULATORY REPORTING CONTROLS

Risk Area	Trigger	Corrective Action	Responsible Function	Evidence	Outcome
Suspicious Transaction	ML/TF/PF suspicion	STR filing via GOAML	MLRO	STR reports	Regulatory compliance
Sanctions Match	Confirmed match	Freeze / report	MLRO	Screening logs, reports	Immediate action
TFS Obligation	Listed entity exposure	Notify authorities	MLRO	Reporting records	Compliance ensured

15.6. CONTROL EFFECTIVENESS MONITORING

Promise Gold Refinery FZE establishes and maintains a structured framework for the ongoing monitoring and evaluation of control effectiveness, ensuring that its AML/CFT control environment remains robust, responsive, and aligned with evolving risks and regulatory expectations. The Company recognizes that the effectiveness of its Preventive, Detective, and Corrective Controls must be continuously assessed to ensure that identified risks are adequately mitigated and residual risk levels remain within the approved risk appetite.

A. Control Effectiveness Assessment Framework

Promise Gold Refinery FZE evaluates the effectiveness of its control framework through a combination of quantitative and qualitative assessment mechanisms, including:

- EWRA Residual Risk Assessment, which measures the level of risk remaining after the application of controls, ensuring alignment between inherent risk, control strength, and residual exposure
- Periodic Compliance Reviews, conducted by the Compliance function to assess adherence to policies, procedures, and regulatory requirements
- Internal Audit Testing, providing independent assurance on the design and operational effectiveness of controls
- Feedback from Regulatory Inspections, including observations, findings, and recommendations issued by the Ministry of Economy (MoE) and other competent authorities

These mechanisms ensure that the Company's control environment is continuously validated, challenged, and enhanced, based on both internal and external inputs.

B. Control Effectiveness Rating
Promise Gold Refinery FZE applies a standardized **Control Effectiveness Rating Framework** to assess the performance of its controls:

Rating	Definition	Implication
Strong	Controls are fully designed, implemented, and operating effectively, with no material gaps identified	Residual risk is effectively mitigated and within risk appetite
Moderate	Controls are generally effective but may contain minor gaps or areas for improvement	Residual risk is acceptable but requires monitoring and enhancement
Weak	Controls are insufficient, ineffective, or not consistently applied	Residual risk remains elevated and requires immediate remediation

D. Governance and Oversight
The results of control effectiveness assessments are reported to:

- Compliance Officer, for ongoing monitoring and control enhancement
- MLRO, for risk evaluation and regulatory alignment
- Senior Management, for oversight, resource allocation, and strategic decision-making

This ensures that control effectiveness is subject to appropriate governance, accountability, and oversight at all levels of the organization.

15.7. GOVERNANCE AND OVERSIGHT
Promise Gold Refinery FZE establishes a robust governance and oversight framework to ensure the effective implementation, monitoring, and continuous enhancement of its AML/CFT control environment. This framework is aligned with the Three Lines of Defence model, ensuring clear segregation of duties, accountability, and independent oversight across all levels of the organization. The governance structure is designed to ensure that risks related to Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), and Trade-Based Money Laundering (TBML) are appropriately identified, assessed, monitored, and escalated, with decision-making authority assigned to the relevant functions based on risk level and materiality.

A. Governance Structure and Responsibilities
Promise Gold Refinery FZE assigns clear roles and responsibilities across key functions to ensure effective implementation of the control framework:

Function	Responsibility	Role in Control Framework
Business Units (First Line of Defence)	Implementation of AML/CFT controls in day-to-day operations, including adherence to onboarding, transaction processing, and documentation requirements	Ensure that controls are applied at the operational level and risks are identified at source
Compliance Officer (Second Line of Defence)	Conduct risk assessments, oversee implementation of AML/CFT policies, monitor transactions, and perform due diligence reviews	Ensure that risks are assessed, controls are functioning effectively, and regulatory requirements are met
MLRO (Money Laundering Reporting Officer)	Assess suspicious activity, determine reporting obligations, and ensure timely submission of STRs via GOAML	Act as the central authority for suspicion evaluation and regulatory reporting
Senior Management	Provide oversight, approve high-risk transactions and relationships, allocate resources, and ensure alignment with risk appetite	Ensure strategic direction, governance, and accountability for AML/CFT compliance
Internal Audit (Third Line of Defence)	Conduct independent testing of control effectiveness, assess compliance with policies and regulatory requirements, and identify control gaps	Provide independent assurance on the effectiveness of the control framework

B. Segregation of Duties and Independence
The governance framework ensures clear segregation of duties between operational, compliance, reporting, and oversight functions. Business Units are responsible for execution, while Compliance and MLRO functions provide independent review and oversight, and Internal Audit delivers independent assurance. This structure minimizes conflicts of interest and ensures that all decisions, particularly those involving high-risk transactions or relationships, are subject to independent validation and appropriate escalation.

C. Oversight and Reporting Mechanisms

Promise Gold Refinery FZE maintains structured reporting and oversight mechanisms to ensure transparency and accountability, including:

- Regular reporting by the Compliance Officer and MLRO to Senior Management on risk exposure, control effectiveness, and suspicious activity
- Escalation of high-risk issues, regulatory concerns, and control deficiencies to Senior Management for decision-making
- Documentation of decisions, approvals, and actions to ensure a complete audit trail

16. CONTROLS IMPLEMENTED

Controls Implemented to Mitigate Risk Factors arising in Business			
Control Factor		**List of Documents and Tools**	**Assessment of Controls**
Customer Controls to Mitigate Risk Factors	**KYC Documents**	Trade Licence	Nature of Business, Length of Business, Country of Incorporation
		MOA	Nature of Business- Controlling and Voting Rights- Number of Shareholder and Shareholding %
		CDD Policy and Implementation	Implement Policy and Procedure
		TRN/VAT/TIN	Verify if the Company is paying Taxes in Country of Incorporation
		Tenancy Contract of Company	To identify if the company is just a shell and core company- Identify the business Location
		ID of Shareholder UBO-Passport-National ID-Visa	To Identity if the shareholder are legal individual- To verify Nationality, Place of Birth- Date of Birth
	Customer/ Supplier Screening	PEP or Associated PEP Screening	To verify if the Customer / Supplier and their stakeholders have Pep or Associated PEP Concern
		Sancation Screening	To verify if the Customer / Supplier and their stakeholders have Sancation Concerns
		Terrorist List / Financing Screening	To verify if the Customer / Supplier and their stakeholders have Terrorist List / Financing Concern
		Adverse Media Information Screening	To verify if the Customer / Supplier and their stakeholders have Adverse Media Information Concern
	Customer Due Diligence	Standard Due Diligence	Will be conducted on Low Risk Customers /Suppliers
		Enhanced Due Diligence	Will be conducted on Medium and High-Risk Customers/ Suppliers
	Site Visit Review	Site Visit Report Customer	Will be conducted to identify the location of company, process followed -Number of Employs- Websites - Desk Research
		Site Visit Report Supplier Local	Will be conducted to identify the location of company, process followed -Number of Employees-Website - Desk Research
		Site Visit Report Supplier International Low Risk	Will be conducted to identify the location of company, Policy followed (AML-Human Rights-Environment) - Number of Employees-Website -Desk Research
		Site Visit Report Supplier International High Risk	Will be conducted to identify the location of company, Policy followed (AML-Human Rights-Environment) - Number of Employees-Website -Desk Research - Pictures- Video - Transit Declaration
Geo Risk controls	**Country wise Risk Review**	AML Geographic Risk Review	Know your Country and FATF Risk Rating (AML Concerns and Sancation Concerns)
		Supply Chain Geographical Risk Review	List of Countries in CAHRA (Risk Associated with Supply Chain and On-Going Conflicts)

Products Risk Controls	**Product Description**	Declaration of Origin of Gold	To verify the Origin of Gold
	Customs Documents	Customs Clearance Documents	To verify If the gold was purchased legally and imported/ exported Legally
	Quality of Gold	Packing List	To verify the quantity of Gold Purity and Dimension form of the Gold
Transaction Risk Controls	**GO AML Review**	Go -AML Reporting	Report all Cash Transaction above AED 55,000/- Reporting all International Bank Transfers/ Reporting all Foreign Currency Transaction even Local bank Transfers
	Monitoring Transactions	Reviewing all transaction based on Customer/ Supplier Risk Category	Ensuring Transaction are reviewed based on Risk Category- Low Risk 25%- Medium Risk-40% and High Risk-60%.
	Transaction Doc Review	Invoices and Receipts Review	Review and Confirming if all the documents are collected and Reviewed
	SAR/STR Policy Implementation	Company Policy to be implemented	Ensuring No Cash Transaction is Conducted / No Virtual Currency / No Third-party Transfers
Delivery Risk Controls	**Transit Documents**	AWB, Packing List, Certificate of Origin	Ensuing Supplier's Documentation are collected
	Supply Chain Policy Implementation	Company Responsible Sourcing Policy to be implementation	Ensure OECD -DMCC Responsible Sourcing Policy has been implemented through company

17. RISK ANALYSIS SCENARIOS

Likelihood of Occurrence	
Likelihood Type	**Occurrence**
Low	The scenario which occurs less than once per year, very unlikely
Medium	The scenario which occurs a few times per year, there is a reasonable chance
High	The scenario which occurs several times per year, high chance

Impact on Business	
Impact Type	**Loss/damage and measures to be taken**
Low	Negligible loss or damage, no measure from Compliance Officer, no effect
Medium	Limited loss or damage, simple measure from Compliance Officer, short-term effect
High	Significant loss or damage; enhanced measures from Compliance Officer, long-term effect

Level of Controls	
Control Type	**Control Status**
Strong	There are several measures in place to control risk, fully operational and fully effective
Effective	Risk is managed adequately, could be improved in certain parts, but works adequately & is effective
In Effective	Risk is not managed adequately, substantial improvement is necessary, but it has some effect
Non-Existent	No controls or controls have no effect

Residual Risk	
Residual Risk	**Description**
Low	The risk is unlikely to cause damage
Medium	There is a slight chance of this risk causing some damage
High	There is a considerable likelihood of this risk causing significant damage

Risk Appetite	
Residual Risk	**Description**
Accept	Mitigating measures are working
Reduce	Reduce risk or improve controls
Avoid	End the activities

18. CONTINUOUS IMPROVEMENT

Promise Gold Refinery FZE is committed to maintaining a dynamic, adaptive, and continuously evolving AML/CFT control framework, ensuring that its risk management practices remain effective, relevant, and aligned with regulatory expectations and emerging financial crime risks. The Company recognizes that the financial crime risk landscape, particularly within the precious metals and gold refining sector, is subject to continuous change due to evolving typologies, regulatory developments, and market practices. Accordingly, the Company has established a structured Continuous Improvement Framework to ensure that its controls, methodologies, and risk assessments are regularly reviewed, updated, and enhanced.

Annual EWRA Updates

Promise Gold Refinery FZE conducts a comprehensive annual review and update of its Enterprise-Wide Risk Assessment (EWRA) to ensure that its risk profile accurately reflects current business activities, transaction patterns, and external risk developments. This process enables the Company to reassess inherent and residual risks, refine control measures, and ensure continued alignment with UAE regulatory requirements and its defined risk appetite.

Event-Triggered Reassessments

Promise Gold Refinery FZE performs event-triggered reassessments of its risk framework in response to significant changes, including regulatory updates, operational developments, emerging risk indicators, or findings from audits and inspections. This ensures that the Company's control environment remains responsive, adaptive, and aligned with evolving risk exposures.

Incorporation of NRA Findings and Emerging Typologies

Promise Gold Refinery FZE ensures that its AML/CFT framework is continuously updated to reflect the findings of the UAE National Risk Assessment (NRA 2024) and emerging financial crime typologies. The Company integrates sector-specific vulnerabilities, regulatory guidance, and international best practices into its risk assessment and control framework to maintain a forward-looking and risk-informed approach.

Staff Training and Awareness Programs

Promise Gold Refinery FZE implements ongoing training and awareness programs to ensure that all relevant personnel are equipped with the knowledge and skills required to identify and respond to AML/CFT risks. These programs are designed to enhance staff understanding of regulatory obligations, red flag indicators, and internal escalation procedures, thereby strengthening the overall effectiveness of the Company's control framework.

CONCLUSION

Promise Gold Refinery FZE, through the implementation of its comprehensive, risk-based Control Framework and Risk Mitigation Mechanisms, ensures that all identified risks arising from its operations are systematically identified, assessed, managed, and controlled across the entire business lifecycle.

The Company adopts a structured and integrated approach, whereby risks related to Money Laundering (ML), Terrorist Financing (TF), Proliferation Financing (PF), and Trade-Based Money Laundering (TBML) are addressed through a layered control environment, consisting of preventive, detective, and corrective measures that operate cohesively to ensure effective risk management.

At the preventive level, Promise Gold Refinery FZE ensures that risks are proactively mitigated through robust onboarding procedures, risk-based due diligence (CDD/EDD), sanctions and PEP screening, supplier verification, responsible sourcing controls, and pre-transaction validation mechanisms. These controls are designed to prevent the entry of high-risk or non-compliant customers, suppliers, or transactions into the Company's operations.

At the detective level, the Company applies continuous monitoring through transaction monitoring systems, rule-based alert mechanisms, red flag identification frameworks, ongoing customer and supplier surveillance, and periodic risk reassessments. These controls enable the timely identification of suspicious behaviour, emerging risks, and deviations from expected patterns.

At the corrective level, Promise Gold Refinery FZE ensures that all identified risks are appropriately escalated, investigated, and resolved through structured escalation procedures involving the Compliance function, MLRO, and Senior Management. Corrective actions include Enhanced Due Diligence (EDD), transaction suspension or rejection, termination of business relationships, and regulatory reporting through GOAML, ensuring full compliance with reporting obligations and regulatory expectations.

This integrated approach ensures that risks are:

- Proactively prevented at the point of onboarding and transaction initiation
- Continuously monitored throughout the lifecycle of transactions and business relationships
- Effectively mitigated through proportionate and risk-based controls
- Appropriately escalated and reported in accordance with internal governance frameworks and UAE regulatory requirements

The control framework is further supported by strong governance and oversight, continuous control effectiveness monitoring, and a commitment to ongoing improvement through EWRA updates, regulatory alignment, and staff training initiatives.

Accordingly, Promise Gold Refinery FZE demonstrates a robust, resilient, and regulator-aligned AML/CFT control environment, ensuring full compliance with:

- Federal Decree-Law No. 10 of 2025 and its Executive Regulations
- Ministry of Economy (MoE) supervisory expectations for DPMS entities
- UAE National Risk Assessment (NRA 2024)
- OECD Due Diligence Guidance and international best practices

This framework reinforces the Company's commitment to maintaining high standards of transparency, accountability, and integrity, ensuring that its operations are safeguarded against misuse for illicit financial activities and remain fully audit-ready and compliant at all times.